

Sai Life (SAILIFE)

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Sai Life Sciences Limited

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To

National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G, Bandra Kurla

Complex, Bandra (E), Mumbai – 400 051

NSE Scrip Symbol: SaiLife To

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street

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BSE Scrip Code: 544306

Sub: Transcript of Earnings Call for the Unaudited Financial Results of the Company for the quarter and nine months ended on 31 December 2024

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015, please find attached herewith the transcript of the Earnings Call for Unaudited Financial Results of the Company for the quarter and nine months ended 31 December 2024 held on Friday, 07 February 2025, at 4:30 PM (IST).

The transcript is uploaded on company's website on below link:

https://www.sailife.com/wp-content/uploads/2025/02/Sai-Life-Sciences_Q3FY25-Earnings-Call-Transcript.pdf

We request you to take note of the same and oblige.

Thank you.

For Sai Life Sciences Limited

Runa Karan

Company Secretary & Compliance Officer

Membership No.: A13721

Encl: As above

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Sai Life Sciences Limited
Q3 FY25 Earnings Conference Call

February 07, 2025

MANAGEMENT : MR. KRISHNA KANUMURI – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
MR. SIVA CHITTOR – CHIEF FINANCIAL OFFICER

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Moderator : Ladies and gentlemen , good day, and welcome to the Sai Life Sciences Q3 FY '25 Earnings Conference Call .

As a reminder , all participant s' line will be in listen -only mode and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Siddesh Chawan from EY. Thank you , and over to you, sir.

Siddesh Chawan: Thank you, S ejal. Good evening to all the participants on this call. Before we proceed with the call, let me remind you that the discussion may contain forward - looking statements that may involve known or unknown risks, uncertainties, and other factors. It must be viewed in conjunction with our business risk that could cause future result performance or achievements to differ significantly from what it is expressed or implied by such forward -looking statements. Please note that we have mailed the results and the same are available on the Company 's website. In case if you have not received the sam e, you can write to us , and we will be happy to send the same over to you.

To take us through the results and answer your questions today, we have the top management of Sai Life Sciences Limited, represented by Mr. Krishna Kanumuri – Managing Director and Chief Executive Officer, and Mr. Siva Chittor – Chief Financial Officer.

We will start the call with a brief overview of the Company and quarter gone by and then conduct a Q&A session.

With that said, I will now hand over the call to Mr. Krishna Kanumuri . Over to you, sir.

Krishna Kanumuri: Thank you, S iddesh . Good evening, everyone. Thank you for joining us today. It's my pleasure to welcome you to the first conference call from Sai as a public Company . It's a great experience for us. We are really excited about the progress we have made. I want to shar

e our

performance for the last quarter and give you an overview of our strategy going forward.

But before we begin, I really want to thank all our investors and shareholders who participate d in the IPO and made this place the trust in us. And we take this very seriously. And we are really focused on building long -term value for all investors.

A special thanks to our bankers, legal counsels and all stakeholders who played a critical role in guiding us through this process.
Most importantly, I want to extend my heartfelt gratitude to the entire Sai Life Sciences team. Their dedication and hard work have been instrumental in shaping the Company into what it is today.

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And let me start with a brief introduction of the Company :

Sai Life Sciences was founded in 1999 with a vision to be a trusted partner to global pharmaceutical and biotech innovators. Our journey began in Hyderabad, India, where our founder of Dr. K. Ranga Raju recognized an opportunity to create a world -class research and manufacturing organization rooted in scientific excellence and operations efficiency . From day one, we have been focused on accelerating the journey of molecules from discovery to the market by providing best -in-class Contract Research Development and Manufacturing (CRDMO) services. Over the years, we evolved from being a Chemistry service provider into an integrated , end-to-end solution provider , catering to the leading innovators from U.S., UK, EU and Japan.

A key strength of Sai Life Sciences is the culture and the team. Our culture is based on a high level of transparency, focus ed on fundamentals and building empowered teams. We have one of the most experienced senior leadership teams in the CDMO industry, with over 25 years of average experience of fully integrated global teams across India, U.S. and UK, which brings diverse experiences and a foundational scientific team we have dealt over the years and further strengthening our ability to serve clients with industry expertise. This deep sector knowledge combined with our relations, relentless focus on innovation has positioned us as a preferred partner for global pharmaceutical companies.

Today we serve 300 + active customers, including 18 of the top 25 global pharmaceutical companies. We have an impeccable track record of 100% successful regulatory inspections across both our R&D and manufacturing facilities, including approvals from USFDA and PMDA.

One of our early milestones was establishing a cutting -edge R&D cent re in Hyderabad which became the foundation for innovation -driven approach. This phase of development was focused on process research and early clinical supplies . Soon after, we strategically expanded to Bidar, setting up a large -scale manufacturing facility designed to handle and deliver complex, innovative clinical and commercial APIs.

In 2020, we established our 'Centres of Excellence ' in Manchester, UK for Process Chemistry , and Discovery Biology at Cambridge, USA, allowing us to better serve customers close r to the innovation hubs and significantly expand our scientific team. These facilities enable our customers to have face -to-face interactions with the Sai scientists and to accelerate the pace of tech-trans fer to India and getting new programs started. The expansion reflects our commitment to being a global, integrated CR DMO partner and not just an outsourced service provider.

Today , Sai Life Sciences is at the forefront of India 's rise in the global pharmaceutical clinical landscape . We supply over 31 commercial molecules and have a strong development pipeline

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of life -saving medicines across diverse therapeutic areas, oncology, metabolic diseases, CNS disorders, inflammation, antivirals, and rare diseases.

While I have set the narrative on an overall basis for who we are, I woul d like to focus on a few pointers for investors and analysts to understand our market positioning and aspirations. We are one of the few companies that is globally competitive across the full range of integrated services by discovery , development to commercial manufacturing. The most successful companies in the CDMO sector over the last two decades have been WuXi and Pharmaron . The key to their success has been the ability to offer high-quality services at scale across the drug discovery development and commercialization journey. The pharma industry is getting increasingly competitive with time -to-market being one of the

key success factors. All things being equal, innovators want to work with companies offering a broader range of services as it reduces the time and effort that is needed to transition between development stages, eliminating the need to break faster. We admit from a scale standpoint, we have a way to go. At a foundational level and at a scientific level, we are now able to compete qualitatively globally on all these aspects.

Over the last decade, we have built a very long-standing relationship with large pharma innovators and the biotech ecosystem which has become a strong mode for us as we strive to grow the business by increasing both the breadth and depth of our services and these relationships. And we are seeing tremendous traction and see strong momentum because of relentless pursuit of this strategy and by making strategic investments in both people and infrastructure at the appropriate time.

The second aspect is the CRDMO business itself is inherently lumpy in nature. You are basically working through a complete product development cycle. You are not dealing with a mature product or two. This can give rise to short-term spikes in our financials. These are about new products being launched in markets through the cycle, Phase 1, Phase 2, or multiple phases based on critical data.

So, it's a long lead cycle business, and we would urge all analysts and investors to analyze us from a 3 to 5 year horizon perspective, as opposed to focus on short-term results which could then lead to questions topmost to the mind of most investors. How do they look at our future as we go forward?

While we adopted a policy of not giving specific guidance on any parameters, the long-term aspirations will go up to CAGR 15-20% when you consider 3 to 5 year blocks and ensure that margins continue improving as we move on this path.

Siva will speak a bit more on the financials in his prepared remarks, but I felt it was very important to set this marker. So, we can focus on the direction of business as we meet at the next conference call.

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Now turning to our performance for Q3, '25:

We are pleased to report healthy performance this quarter, driven by our focus on expanding capacity, embracing cutting-edge technologies and meeting evolving needs of the industry. This quarter we delivered 15% year-over-year growth, with our CDMO and CRO businesses contributing 60% and 40% total revenue, respectively.

Our EBITDA grew by 19% year-over-year, with a margin expansion of 110 basis points, while the PAT grew by 29% year-over-year, supported by operational efficiencies and strong order pipeline. Again, Siva will dwell deeper into financials, but I am just stating the top line numbers.

What gives me confidence for this business as we move forward? I like to enumerate a few areas where we believe our model and expertise will play out. A broader set of offerings, as mentioned earlier, we are not a one-trick pony. And hence our broader sales funnel enables us to bring customers at different points of the development journey. And we are able to cross-sell more effectively because

of our multiple service offerings.

And with supply chain diversification post-COVID, everybody is actively looking at credible sources outside of China. And India only has 5% of the global market. So, we have enough room for significant growth in the coming decade easily.

Long standing relationships, while I have spoken about this initially, this remains a premium strength. We worked with 18 of the 25 big pharma companies. And these relationships have been cultivated over the years. With this as a base customers, we have expanded the service needs across multiple modalities. Our ability to meet these diverse demands and get products to market is a value proposition few Indian companies offer.

Sustainability remains the key pillar for our long-term vision. We continue to integrate responsible practices across our operations focusing on energy efficiency, digital transformation and innovation in sustainable manufacturing.

Our investment in renewable energy, including a 2.7 megawatt wind turbine, has significantly increased the use of green energy at our Bidar facility to 89% in FY '24. We remain committed to reduce our environmental footprint, enhancing workplace safety, fostering an inclusive workforce, while delivering long-term value to our stakeholders.

In closing, we firmly believe that India is entering a golden era in the global pharmaceutical innovation. Historically, only a few companies have successfully scaled as integrated players. But over the next decade, India is set to emerge as a major player in the global innovation

ecosystem with the ability to match China's scale while maintaining the cost efficiencies. India presents a compelling alternative for global pharma companies seeking long-term partnerships. Looking ahead, we are confident in our ability to build on the momentum we have established. We are committed to further enhancing our technological capabilities,

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investing in infrastructure and expanding the global footprint. We are excited about the road ahead and remain focused on driving long-term value for all our stakeholders.

With that, I would like to hand over the call to Siva Chittor, our CFO, who will provide an update on our financial performance for Q3 '25.

Siva Chittor: Thank you, Krishna. Thank you everyone for joining us today. I am pleased to share our Q3 FY '25 Financial Performance. This reflects our continued business momentum, our operational discipline and strong customer relationship.

The small molecule outsourcing business remains robust, with both the CRO and CDMO segments meeting anticipated growth trends. Revenue growth across both segments reflects increased business from existing customers and products as well as new collaborations. This quarter, our revenue from operations grew to 440 crores, a 15% increase compared to the 384 crores in Q3 FY '24. This growth was on account of continued momentum across the CDMO and the CRO business which account for 60 and 40 % of the total revenue approximately.

Margin improvement remains a key focus with multiple operational efficiency activities underway. For Q3 FY '25, our EBITDA margin increased to 28%, up from 27% in Q3 FY '24. This steady margin improvement reflects enhanced operational productivity, operating leverage, and cost control initiatives that we had undertaken during the year.

Profit before tax saw a significant increase of 35%, rising from 53 crores in Q3 FY '24 to 72 crores in '25. Our profit after tax rose to 54 crores in Q3 '25 from 40 crores in Q3 '24, which reflects a 36% growth. The improved profitability is primarily driven by strong revenue growth and cost management and stable finance costs.

Employee cost of the period increased by 9%, moving from 122 crores in Q3 FY '24 to 133 crores in Q3 FY '25, aligning with the increased bill

able headcount in relation to the discovery

business. This increase also reflects our continued investment in talent and organizational growth, which is very critical for a business that is based on people and talent.

Finance costs remain relatively stable at 23 crores for Q3 FY '25 compared to 23 crores in the same quarter last year, indicating effective debt management and working capital. As of December 24, the Company had repaid 585 crores of debt out of the planned repayment of 720 crores of the IPO proceeds. The remaining debt was repaid in January and we expect a reduction in interest cost in the current quarter.

Our earnings per share increased from Rs. 2.2 in Q3 FY '24 to 2.9 in Q3 FY '25. This reflects a 32% year-on-year increase.

Now, coming to the nine months' performance :

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Performance for the nine months ended December 31st, 2024, as compared to last year's same period, showed an overall increase in total income from 1,052 crores to 1,142 crores. This reflects 9% growth.

Our EBITDA margin rose to 24% compared to 17% in the same period last year. And this reflects a 700-basis point improvement.

Our profit before tax for the nine months grew significantly from 33 crores to 109 crores in '25. This reflects an increase of 228% and our profit after tax grew 207% to 82 crores from 27 crores in fiscal '24.

Gross margin for the period was around 73%, up from 69% in the previous period. Employee costs rose in line with our strategic investment in talent and the growth and discovery business increased from 364 crores in '24 to 398 crores in '25.

Operating cash flows to the 9 months ended December 24 was 246 crores. This represents 92% of the EBITDA for the period. The Company recorded a positive free cash flow of 21 crores

during this period.

Capital expenditure for the 9 months ended December 24 was 300 crores. The Company added 100 KL to its manufacturing capacity in November and expects to add another 100 KL in Q1 FY '26.

Average capacity utilization for the nine months ended December 2024 was 65%. In addition to this manufacturing capacity addition, the Company expanded the discovery R&D capacity in Hyderabad by 15% to addition of lab spaces for chemistry and biology.

We believe that growth is on account of the long-term growth strategy that was initiated in 2019. And we remain committed to expanding capacities and enhancing technological capabilities to drive long-term growth. Our ongoing investments in digitization and automation are key to improving our operational efficiencies and positioning the business for sustained success.

As part of our strategic financial management, we are utilizing the proceeds from the IPO to repay debt, strengthen our balance sheet and reduce financial leverage. This proactive approach supports our long-term growth and operational flexibility.

Over the past five years, we have consistently invested in expanding capabilities, including advanced technology platforms, scientific expertise, and infrastructure enhancements. These investments are translating today into higher customer retention, an increasing share of projects and a growing pipeline of opportunities.

As alluded by Krishna, we will emphasize improving margin and we aspire to reach an EBITDA margin range of 28 to 30%. For the next four to five years, we aim for a revenue CAGR of around 15 to 20%.

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That said, I would like to reiterate that the business has certain amount of lumpiness and quarterly swings. And hence, we would like the investors to look at a longer horizon to evaluate the Company.

Looking ahead, we remain confident in our long-term growth trajectory. The global pharmaceutical and biotech industry continues to shift towards outsourcing. This is

driven by

the need for innovation, efficiency, speed and scalability. With our established relationship, integrated capabilities, and track record of execution, we are well positioned to capitalize on this trend.

Additionally, we see strong demand across our CDMO business, as pharma and biotech companies seek cost-efficient, high-quality manufacturing solutions and supply chain diversification. The aging global population and increasing healthcare needs will continue to drive long-term demand for pharmaceutical innovation, creating significant opportunities for our business.

From a financial perspective, our focus will remain on maintaining revenue growth, optimizing margin and improving cash flow efficiency. We will continue to invest in expanding capacity, strengthening our talent base and enhancing operational efficiency. This, we believe, will drive sustainable and profitable growth.

To conclude, Q3 FY '25 was a robust quarter, marked by healthy top-line growth, improving profitability and a promising outlook for the future. Our integrated business model, strong customer relationship, and financial discipline position us for a long-term value creation. We remain committed to delivering sustained growth, enhancing shareholder value, and strengthening our market leadership.

Thank you. I would now like to open the floor for the Q&A session.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Binay Singh from Morgan Stanley. Please go ahead.

Binay Singh: Hi, team. Thanks for the opportunity, and congratulations for a good set of numbers, and best wishes for the journey ahead. My first question will be on the biotech funding in U.S. One of your peers talked about the pace of recovery being more gradual than they anticipated. Thus, the discovery business revenues were slower than what they were expecting a few quarters back. How is the demand environment that we are seeing?

Krishna Kanumuri: The discovery business, if you look at it, it's in a different cycle at this point. If I just have to go back and take a step back, a lot of money is coming into biotech, but it's going into later phase programs. A number of new Company startups have not really started yet. You will probably see the new Company formation start right after some consolidation happens.

So, we are seeing a lot of consolidation right now. And the consolidated entities are raising money. And these companies are expanding. But the new Company creation definitely has

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slowed down. Time frame is hard to judge. It's your guess as good as mine in terms of when new Company formation is going to start. But the demand from the larger players has been pretty robust at this point.

Binay Singh: Right. So, in light of that, like, when we look at seasonality from the limited data that we have, typically Quarter 4 is the strongest for the Company. Would that still hold with the visibility that you have today?

Siva Chittor: Yes, broadly, without giving a specific guidance, Binay, I think Quarter 4 has generally been the strongest quarter that we have had. And Quarter 3 and Quarter 4 relatively, H2 is generally stronger than H1, which is, you know, it's the case with most of the CDMO business across, and we also believe that it will be the same way.

Binay Singh: And lastly, just on capacity and CAPEX, I saw the comment that you made about 65% utilization rate of capacity. That would be as of, so in a way, the November facility would only be available for one month. So, the actual utilization rate that you would have in this quarter would have, in a way, come down. So, do you think, do you expect any adverse impact of that on margins?

Siva Chittor: I don't believe so, Binay. I think the second set of capacity, because

we believe that there are

products that are ready to go into this facility. Not that they will all be at the 65-70%, but we don't believe that this will impact the margin, you know, significantly.

Binay Singh: That's good to know. And lastly, just on CAPEX, we have done around 300 crores in the nine months. If you could give some guidance for the full-year number and for next year.

Siva Chittor: I think based on how deliveries and how, you know, things reach our side, this expenditure is based on how we book our numbers. We probably expect to add another 100 to 125 crores in this current quarter.

Binay Singh: And how to think about it for next year?

Siva Chittor: We are working on much more details and as we kind of finalize our plans, we will come back to you with some more specific items.

Krishna Kanumuri: Just to give you a perspective, Binay, a little bit about what we have done so far is, we have completed some land acquisition in the last quarter. We have doubled the land area we have available for our research centre in Hyderabad. We have bought land for another site in Hyderabad for manufacturing. And we also bought a lot of ground in Bidar to expand our footprint there.

Right now, we are in detailed planning stage, both from a revenue guidance standpoint and investment across all three areas of our business: discovery, CMC, and development. We expect we will have significant investment, not investment, but increase in capacity across all

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three areas based on the demand we are seeing right now from our customers. And we will update you as soon as we make a little bit more clarity on the numbers.

Binay Singh: Great, team. That's encouraging to know. I will come back in the queue. Thanks.

Moderator: Thank you. Before we take the next question, a reminder to all the participants that you may press "*" and "1" to ask a question. The next question is from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

Alankar Garude: Hi, good evening, everyone, and thank you for the opportunity. So, firstly, can you comment on the visibility for the CRO segment in particular, given that the funding environment is not fully back yet?

Siva Chittor: Alankar, what we are seeing, and I think based on the whole integrated discovery strategy that we had put in place, we are seeing a reasonable trend in terms of growth. And that is kind of reflected in our numbers for this year. I believe that the funding situation is not 100% back to where it probably was during the COVID period. And I don't believe that we will get to the COVID period funding.

But our understanding of what we are seeing is that there is a reasonable amount of traction in the business. That said, one of the increased focus for us as a Company is to kind of add increased, you know, traction with the large pharma customers, which has also helped us kind

of take care of any specific shorter term funding related issues.

Alankar Garude: Understood. The second one is more on the , I mean, both on CRO and CDM O, actually.

Qualitatively, possible to provide some color on the number of RFPs as well as the number of client audits, which you have been seeing over the last one ? Specifically within that, is there any change in these RFPs as well as client audits given the delay in the Biosecure Act?

Krishna Kanumuri: Alankar, we don't really focus too much on RFPs per se. We focus much more on customer visits and what we are seeing. But what I can definitely say is that from the pharma standpoint, nothing has changed. I think pharma has made a long -term decision to kind of diversify from China. It's just a question of customer concentration. I think this deleveraging started back in post-COVID.

I think Biosecure probably just pushed it in the right direction. I think nobody

seems to be

going any slower. I think they are accelerating their plan , not accelerating their plan, but just to be very kind, Pharma came with a 5–10-year horizon. They haven't come and said, we are here today, I want you to perform tomorrow. They are really building these relationships slowly.

So, I think, fundamentally, I think we are seeing that traction continue.

And what you are saying in terms of the Biosecure Act , biotech funding is more to blame rather than the Biosecure itself. I think any biotech with funding is looking at both China and India's options. So, we are not seeing any change in terms of people's strategy. It's the timing might change based on the funding environment.

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Siva Chittor: Alankar , just to kind of go back to the prospectus that we had filed, even prior to Biosecure and post -COVID, if you look at our number of products that we have tech transferred from other geographies as a means of supply chain diversification, we have actually added more than 15 products that have moved from a different geography into Sai as part of supply chain diversification. And we continue to see a lot more traction in that area.

Alankar Garude: That's helpful, sir. And one bookkeeping question. You mentioned the split between CRO and CDMO for the nine months. Possible to share that for the third quarter as well ?

Siva Chittor: I think it is almost, you know, reasonably similar, but I can come back to you with specific numbers , Alankar .

Alankar Garude: Fair enough, sir. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Nikhil Mathur from HDFC Mutual Fund.

Please go ahead.

Nikhil Mathur: Good evening, all. I think your comments on margins and growth are kind of pretty well understood, for me at least. The challenge I see is that if I assume a 400, 500 crore of CAPEX over the next three, four years , I don't find the asset turns to be improving quite meaningfully from where they are at currently. Given that the utilization is at 65%, I estimate that the asset turns on a full balance sheet basis will be 0.5 to 0.6x, and on a fixed asset turns basis will be 1.1x to 1.2 x. So, any particular reason why asset turns are slightly on the lower side for a business which is also 40% into CRO?

Siva Chittor: So, Nikhil, I think even when we had given the numbers for fiscal 24 , our asset turn, the net fixed asset turn excluding CWIP was around 1.2 x. I would guess we would probably be around the same number at the end of the year, somewhere give or take . CRO does not necessarily mean lower expenditure.

I think what we need to understand is biology, the MPK, automations all call for huge expansion with respect to equipments and analytical instruments that we need to buy. So , I do not believe that just because it is discovery that the asset turn should be higher. And if you can look at the global trends and Indian peers in CRO, you will find that the asset turns are fairly similar.

Nikhil Mathur: Okay . So, just trying to understand the capital efficiency of the business, where does it settle at? Because margins are improving this year. I think, if let 's say all goes well in 4Q and you close FY '25 with 24 -25% margins and 65 -67% utilization, which is what you have disclosed, the capital efficiency of the business or return on equity will be 9 -10%. So , what are your thoughts over a 3 -4 year period where this capital efficiency number can kind of settle at if there is no major levy available on the asset turn side?

Siva Chittor: I think our aspiration on the RO CE side, I am looking at more return on capital employed, is probably a mid to high teens over a 3 -4 year period. That's really what we aspire to get to.

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Nikhil Mathur: Okay. A

nd for that to happen, a minimum 15% gross CAGR has to happen and that you are quite confident of in a 3 -4 year timeframe. Is that the right way of looking at it?

Siva Chittor: That is the right way of looking at it. And that's really what we are , as we see today, we believe that that is something that is possible.

Nikhil Mathur: Okay, got it. Thank you so much.

Moderator: Thank you. The next question is from the line of Madhav from Fidelity Investments. Please go ahead.

Madhav: Good evening. My question is similar to the earlier participant's question . If you are investing about 400 -450 crores in CAPEX this year, and you must maintain that run rate going ahead , that's just an assumption. If we are guiding 15 -20% revenue growth, that would still mean that our assets would remain a bit underutilized. Is it fair to assume that we are being a bit conservative in our guidance that if some of the pipeline comes through, we can grow a bit faster? Is that how we should read it? Because otherwise, we are investing more than what we are guiding for in terms of growth. So, just try to connect the two and make a better understanding. Thank you.

Siva Chittor: So, Madhav , what we are guiding you is a 3 -4 year period kind of a growth rate. The investment period for any asset to become productive is 18 to 24 months before they actually become productive even to do 1% utilization. And then at that point in time, you start utilizing the asset. So, there is obviously some bit of underutilization that is factored , and that's kind of the nature of the industry. Unfortunately, that's how the industry works.

If a customer does not see a facility up and running, a product is at a Phase -2, let's say , in clinical trial, it will be very difficult as a partner to kind of go ahead and actually capture that business. So, you are right about there is this phenomena in the industry. And that's why we are saying , and then look at the global trends. Go back and look at WuXi . Go back and look at Pharmaron . Look at anybody in the global sector , people who have been reasonably successful, considered very successful in the CRO /CDMO business. I think global ly, the asset turns, the ROC E is all guided by factors of continuous investment. And if you do not invest in the shorter term, our overall growth rate over long term will suffer. While we will be able to continue to show a better ROC E, we will not be able to show growth and revenue on a consistent basis.

Madhav: No, that makes sense. And given that, if you just look at the , of course, we have only three years of data, even recently listed Company . It seems that, you know, we have stepped up on the CAPEX . If I look at FY '22, '23, '24, the combined CAPEX we would be doing this year is more than the last three years combined. So , basically, is that just qualitatively sign that some of the molecules in the pipeline are a bit more late stage, which could help in growth over a 2-3 year period? Is that how we should read it? I mean, is that how the Company management is thinking as well?

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Siva Chittor: That is true. If you look at the commentary that we had provided at the DR HP Stage 2, I think what we had stated is that there has been a lot of molecules that even got tech transferred from China, something that we also alluded to earlier in the conversation. A lot of these molecules are now reaching a phase where they are independently scaling up and we are seeing capacities getting utilized.

I think what we are seeing from the way we look at the addition is not just the capitalization in the books, but more in terms of stating what we bought during the year . That is what I said, is 300 crores. The cash spend will be slightly lower , and that just depends on the timing and payment and everything else. But it is, you are right, th

ere are molecules that are scaling up , and these will kind of get to more efficiency as these molecules kind of become bigger by themselves.

Krishna Kanumuri: Just adding a little bit, I think as we focus on commercial molecules, another trend which we have to look at, which is we are seeing very clearly , a lot of the development assets of large pharma are moving to India , especially beyond Phase 1 from China. So , we are seeing a significant increase of traction over the last couple of quarters in the number of compounds

coming in just from development stage, which all will need plant capacity. So, we are seeing a new trend in terms of number of clinical trials likely to come in as well.

So, there is definitely a lot healthier pipeline coming in because of the global strategy, which also will hopefully lead to better utilization of the CAPEX as we move forward. But the only thing is we can't, right, so that's why we say we are doing the detailed planning along with forecasts because we have a lot more data in front of us. That's the best way I can answer it right now.

Madhav: No, that makes a lot of sense. Just one last follow-up question was, these molecules are kind of, you know, you are seeing an accelerated pipeline build-out is what I understand. Are more of these molecules versus the past, more in the later stage of the development cycle, like maybe Phase -2, Phase 3, where we are seeing, is that how we should understand?

Krishna Kanumuri: Actually, it's an interesting mix of other kind. I think we have always seen late phase because typically if you look at what used to happen, most of the molecules were developed in China as primary source. And they would come to India for secondary source. We used to see products generally later in the process.

But what we are seeing is that now today we are seeing both late phase, which are coming from China, but we are seeing a lot more of the Phase 1 to Phase 3 assets coming in, which are moving much earlier than they did post-COVID.

So, we are seeing a big pipeline of compounds coming much earlier. And that might be relatively key to us because we are very strong in development. That's a big area we are focused on. So, I think we are seeing a lot of traction on the development side as well of early pipeline coming from pharma, which was not the case before.

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Madhav: And we are the primary supplier now versus being secondary. Is that a change as well that happened?

Krishna Kanumuri: It's hard to say at this point. It's too early to see where it's going to pan out.

Madhav: Thank you.

Moderator: The next question is from the line of Alok Dalal from Jefferies India Private Limited. Please go ahead.

Alok Dalal: Yes, good afternoon, and thank you for taking my questions. So, Krishna, just to understand, for the CDMO business, for next year, the driver will be these existing products, or is there some new filing which has happened and you can see incremental growth from that?

Krishna Kanumuri: Alok, there are some products from the existing pipeline which are growing, but there are also a lot of other products also we are working on right now, which obviously will contribute to it. But existing pipelines will contribute to a significant part of that growth from visibility we have at this point.

Alok Dalal: And within those existing, is it that you become a preferred supplier now versus a secondary supplier earlier?

Krishna Kanumuri: I don't have much data on that. I don't want to comment on that at this point. But it's just based on the maturing of molecules and growth of the molecules more than anything else.

Alok Dalal: Okay. And is there any molecule from the partner side which is expected to go off-patent?

Krishna Kanumuri: Not next year, no.

Alok Dalal: Okay. The second question is on the

overseas sites, Boston and Manchester. Are they still a drag on profitability or you have seen a change here?

Siva Chittor: There has been a change. It's not probably at the most ideal point that we would like it to be, but there has been a very positive change in terms of how those businesses are functioning.

Alok Dalal: So, basically they are no longer a drag on profitability when you look at your third quarter or nine month number.

Siva Chittor: Correct.

Alok Dalal: Okay. And Siva, would you have the sales mix for 9 month FY '24, so same time last year? Would you have the sales mix between CDMO and CRO?

Siva Chittor: Give me a second, Alok. I don't have this ready-made with me, but I can send that out to you.

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Alok Dalal: Okay, fine. Okay, thank you so much. We will connect offline.

Moderator: Thank you. The next question is from the line of Rahil Shah from Crown Capital. Please go ahead.

Rahil Shah: Sir, when you mentioned in the early statements that you envisaged an EBITDA margin range of 20% to 30%. So, by when do you expect this starting to show on our P&L? Is it from next quarter you meant from slowly progressing from next year onwards?

Siva Chittor: I think the 28 -30% steady state that we are saying, we will get there in the next 2 to 3 years. That's our stated objective.

Rahil Shah: So, this 27% or so which you did in the third quarter of this year, is that also sustainable for the next few quarters?

Siva Chittor: So, Rahil, here is the thing. I think the business inherently has some amount of seasonality. So, you know, quarters where your revenues are lower, your fixed cost kind of then impacts your operational efficiency and then EBITDA and profitability. So, to that extent, the second half of the year will have a sustainable number that you are seeing today and the first half, as we get more commercial products and revenue becomes much more steady state and linear, will actually get us to 28 -30%, and that's why we are giving us a couple of years, 2 -3 years that we are talking about.

Rahil Shah: Okay. And on the revenue front, when you mentioned this 15 to 20% CAGR, we can factor that in from the next year onwards, right, FY '26? Any outlook for this closing year?

Siva Chittor: I don't want to give you any specific guidance, but I think one of the participants asked this question about the first half being lighter than the second half and Q4 being heavier than Q3. I would like to reiterate that without actually giving you specific guidance.

Rahil Shah: Okay. No problem. Thank you, and all the best.

Moderator: Thank you. The next question is from the line of Radha Kothari from Archer Advisory. Please go ahead.

Radha Kothari: Thank you for the opportunity and congratulations to the management for the listing and the good results. Sir, just wanted to understand the employee cost. I was just going through your expense base and the employee cost in your Company is relatively very high as compared to the other listed CDMO peers. So, is there any one-off this or something has been, you know, preponed and that should be normalized going forward?

Siva Chittor: I think if you look at the mix of the business that we have, 40% of our business is the CRO business and the 60% is CDMO, and we have a very big piece even within the CDMO that kind of works towards development. And in this particular segment of the business, employee is the biggest capital that we actually employ from running this business and hence employee

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costs of Sai cannot be directly compared to a pure play CMO, where employee costs are much lower.

Now having said that, we have invested over the last couple of years in terms of significantly enhancing our employee talent

base. This was done during the period when we were actually looking at 15 tech transfers to augment our overall commercial pipeline. What we believe over the next two, three years, this will help us get better leverage. So, if you look at where we are, you know, in terms of margin, some of the improvements in margin that we are talking about will also come from the overall reduction of employee costs as a percentage of revenue.

Radha Kothari: This is very helpful, sir. Sir, just the whole industry, we are saying that in the recent past, we are very excited about the upcoming or the potential opportunities coming up in the states, especially in CDMO and mainly more on GLP-1 space. Are you also in line of pursuing those things? Do we have the capabilities for that? And have you seen any inquiries or the requests coming for this?

Krishna Kanumuri: Look, I think it's fair to say that there is a big shift in GLP-1 across all pharma companies. and anybody in CDMO business will see traction in the GLP-1 space. It could be peptides. It could be building blocks of peptides or even pure small molecules. We do have clinical assets in that space, but I won't comment beyond that, but I guess everybody will be involved in some form or fashion in the metabolic disease area.

Radha Kothari: Sir, just last question. Can you just provide your CAPEX? Because I believe that being in the CDMO, the CAPEX usually is very high. So, what are the CAPEX you have earmarked for this year and if possible you can throw some light on the next year's CAPEX as well?

Siva Chittor: So, for this year I think we have overall I think nine months we have said we have incurred 300 crores. We will probably get to another 100 -125 crores for the remainder of the financial year. As far as fiscal 26 is concerned, we are working through this process and we will come

back to you when our plans are finalized and we will give more details to everyone.

Radha Kothari: And would this be funded through internal accruals?

Siva Chittor: It would be funded a combination of internal accruals and debt.

Radha Kothari: Okay. Got it. Thank you very much, sir. Best of luck.

Moderator: Thank you. The next question is from the line of Rahul Jeewani from IIFL Securities Limited. Please go ahead.

Rahul Jeewani: Sir, within the CDOMO business, can you also talk about how do you see commercialization playing out for your Phase 3 pipeline molecules? We had around 8 to 10 products in Phase 3.

So, how many of those do you see getting commercialized from the next two to three year period and whatever your expectations are in terms of some of these Phase 3 products?

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Siva Chittor: I think there is couple of products that are actually getting commercial by the end of this financial year, at least based on the PDUFA date that the regulator has given them. There is one large molecule that we are working on today that is in Phase 3. We expect that to kind of get to fiscal '26-'27 timeframe in terms of commercialization. We have a few other molecules,

Rahul, but I am saying, you know, from an overall perspective, there is at least three, four molecules that we are seeing that will get commercialized over the next 2 -3 year period.

Rahul Jeewani: Okay. And can you talk a bit more about this molecule in the large molecule category because historically we have focused on the small molecule segment. So, what kind of capabilities are we bringing to the table to scale up in the large molecule segment?

Krishna Kanumuri: I think he meant to have a large size of market, not the therapeutic molecule. So, I think Siva got that. We are talking about a large opportunity.

Siva Chittor: Oh, there is no large molecule. Sorry.

Rahul Jeewani: Okay. Sure, sir. No worries. And sir, with respect to this CAPEX, which we are under taking of

around 350 -400 crore, apart from capacity expansion, what kind of incremental capabilities are we adding on to the business? So, at the time of the RHP, we were also talking about having an Amidites block investing in oligonucleotide. So, have you any traction in some of these niche capabilities or segments?

Krishna Kanumuri: Rahul, just going back to what we have stated is that there would be four areas we are going to focus on. One is peptides, which we are having reasonable traction with. Another one is Amidites, which we are part of several commercial products on Amidites. Another is ADCs, and the next one would be basically any kind of conjugation technologies going for peptide conjugation, prototype conjugation. These are all three areas of interest.

We have various conversations with multiple customers and opportunities going forward. And that's what we are evaluating of what we are going to prioritize and what we are going to do. But we have traction in all three areas, but we will prioritize it based on what is the most immediate need and what we can do most effectively.

Rahul Jeewani: And for all of these segments, we would have the requisite capacities in place to drive growth in some of these segments.

Krishna Kanumuri: We will have to, we are doing capacities on some scales, but we might have to enhance capacity depending on the demand situation coming up at this point. We have capabilities. Capacity will depend on the demand situation, but we have capabilities in all these areas.

Rahul Jeewani: Sure, sir. And one last question from my end. Can you also talk about how has the scale-up been with respect to the dedicated project which we had with Schrodinger on the CRO side? Thank you.

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Krishna Kanumuri: I would just, it's going very well. We have expanded that collaboration. I will leave it at that, but it's going well and it's expanded.

Rahul Jeewani: Okay. So, you had around 75 scientists dedicated to that project. So, have you increased the number of scientists, if you can talk on that?

Krishna Kanumuri: I don't think I am at liberty to share how much it grew, but it has grown.

Rahul Jeewani: Okay, sure, sir. Thank you, sir.

Moderator: Thank you. The next follow-up question is from the line of Alankar Garude from Kotak

Institutional Equities. Please go ahead.

Alankar Garude: Sir, if I look at our presentation, you have mentioned 31 commercial molecules in the current portfolio. If I remember correctly, that number used to be 38 molecules. Can you highlight the reason for this lower number in the current presentation?

Krishna Kanumuri: Alankar, it's 38 products going to 31 molecules. So, those couple might have two intermediates in there.

Alankar Garude: Okay, understood. The other one is, can you comment about the pricing of FTs? There have been reports for the last one year about China being more aggressive. Anything which we have seen at our end or you continue to see the pricing being more or less stable?

Krishna Kanumuri: China has been more aggressive. There is no question about it. They have priced more aggressively, but we have not dropped pricing. In fact, we continue to grow at the 2-3% increase annually for most customers, and we are sticking to our pricing at this point.

Alankar Garude: Understood, sir. Yes, that's it from my side. Thank you.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

Siva Chittor: Thanks everyone for the call and for all your questions. We remain committed to providing long-term share of the value and if you have any specific questions, I think, you know, appreciate asking us any questions now or, you know, we would talk to you again in the next call.

Krishna Kanumuri: I am just kind of echoing Siva's comments. We actually feel very good about the business. A lot of opportunities coming our way. We continue to see business momentum, and we will keep you on the loop as we kind of evolve. Any questions, feel free to reach out to us.

Moderator: Thank you. On behalf of Sai Life Sciences, that concludes this conference. Thank you for joining us, and you may now disconnect your line.

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(This transcript has been edited, without altering the content, to ensure clarity and improve readability.)

About Sai Life Sciences Limited (BSE: 544306 | NSE: SAILIFE)

Sai Life Sciences is a leading global Contract Research, Development, and Manufacturing Organization (CRDMO) that partners with innovator pharmaceutical and biotech companies to accelerate the discovery, development, and commercialization of new medicines. Headquartered in Hyderabad, India, with a strong global presence, the company offers integrated solutions spanning medicinal chemistry, process development, clinical and commercial manufacturing, and advanced technology platforms. Sai Life Sciences is committed to delivering high-quality, cost-effective, and scalable solutions while upholding the highest standards of safety, compliance, and integrity. With a focus on innovation and operational excellence, the company continues to strengthen its capabilities to support emerging therapeutic modalities and meet the evolving needs of the life sciences industry.

For more information, please visit www.sailife.com

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Call: May 2025

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Date: 21 May 2025

To

National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G, Bandra Kurla

Complex, Bandra (E), Mumbai – 400 051

NSE Scrip Symbol: SaiLife To

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street

Mumbai – 400001

BSE Scrip Code: 544306

Sub: Transcript of Earnings Call for the Financial Results of the Company for the quarter and year ended on 31 March 2025.

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015, please find attached herewith the transcript of the Earnings Call for Financial Results of the Company for the quarter and year ended 31 March 2025 held on Wednesday, 14 May 2025, at 4:00 PM (IST).

The Transcript is uploaded on Company's website at below link:

Link: https://www.sailife.com/wp-content/uploads/2025/05/Transcript-Q4FY25_21May__.pdf

We request you to take note of the same and oblige.

Thank you.

For Sai Life Sciences Limited

Runa Karan

Company Secretary & Compliance Officer

Membership No.: A13721

Encl: As above

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"Sai Life Sciences Limited

Q4 FY '25 Earnings Call"

May 14 , 202 5

MANAGEMENT : MR. KRISHNA KANUMURI – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – SAI LIFE SCIENCES
LIMITED

MR. SIVA CHITTOR – DIRECTOR AND CHIEF
FINANCIAL OFFICER – SAI LIFE SCIENCES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Sai Life Sciences Ltd Q4 FY25 Earnings Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Diwakar Pingle from EY. Thank you and over to you, sir.

Diwakar Pingle: Thank you, Navya. Good evening to all the participants in this call. Before we proceed to the call, let me remind you that this discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risk that could cause future results, performance or achievement to differ significantly from modest success or implied by such forward-looking statements. Please note that we've made the results and the same available on the company's website. In case you have not received the same, you can write to us and we'll be happy to send the same over to you.

To take us through the results of the Q4 FY25 earnings call and answer your questions today, we have the top management of Sai Life Sciences represented by Mr. Krishna Kanumuri, Managing Director and Chief Executive Officer and Mr. Siva Chittor, Director and Chief Financial Officer.

We will start the call with a brief overview of the quarter gone past and then conduct the Q&A session. With that said, I'll now hand over the call to Krishna. Over to you, Krishna.

Krishna Kanumuri: Thank you. You're welcome. Good evening and thank you for joining us today. We are pleased to report robust performance for FY25, strong growth in Q4 driven by consistent execution and growing traction across our integrated service offering. Our CRD MO model continues to be a key differentiator, enabling us to provide seamless support from discovery to development and manufacturing.

During the year, we've made meaningful progress across multiple fronts. We expanded capacity at key facilities, onboard high-quality scientific talent, and deepened our relations with customers across the US, UK, and EU and Japan, including 18 of the top 25 global pharmaceutical companies.

A major highlight of the quarter was the launch of our dedicated Peptide Research Center at our integrated R&D campus in Hyderabad. The facility is equipped with advanced automation, robotics, and high-throughput systems to support complex peptide syntheses and discovery. As demand rises for peptide-based and other emerging modalities, there's investment positions as well to cater to next-generation therapeutics.

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We're equally proud to have been certified as a great place to work for FY25-26. This recognition reflects a strong culture, collaborative environment, and our continued focus on building an organization rooted in integrity and scientific excellence.

Sustainability remains central to our long-term vision. In line with this, we partnered with DHL to implement their Go Green Plus program for emission reduction and international shipping. We're also embedding sustainable practices and digital transformation across our operations to drive efficiency and reduce our environmental footprint.

Now turning to our financial performance for FY25. We delivered strong growth, supported by demand across both our CDMO and CRO segments. Revenue grew in double digits year-over-

year with the CDMO and CRO contributing 63% and 37% of revenues respectively. EBITDA grew by 42% with margin expansion of 458 basis points. Our PAT saw a 105% increase over the previous year driven by oper

ating leverage and improved efficiencies. Looking at the broad industry, the global C RDMO sector continues to see strong momentum, increasing emphasis on supply chain resilience, cost pressures, and dealt markets. The rise of complex new modalities are driving demand for integrated, high -quality outsourcing partners. India with its scientific capabilities, cost advantage, and growing infrastructure is well -positioned to capture this opportunity. This year, global policy changes and supply chain shifts have continued to reshape the pharmaceutical industry. As companies seek reliable cost -effective partners beyond traditional hubs, India is emerging as a strong alternative. With our scientific depth, integrated model, and global customer relationship, Sai Life Sciences is well -positioned to support this transition.

At Sai, we are confident in our ability to play a leading role in this shift. Our investment in talent, capacity, and technology are aligned with evolving customer needs and market dynamics. We remain focused on delivering high -quality, efficient, responsive solutions to our global clients. In conclusion, FY25 has been a year of progress, resilience, and preparation for the future. Over the next few years, we aim to drive sustainable growth by expanding capabilities, deepening customer partnerships, and strengthening execution across the value chain. With that, I will now hand over the call to Siva, our CFO, who will walk you through the financial performance.

Siva Chittor: Thanks, Krishna. Thanks, everyone, for joining us today. I'm pleased to share the financial highlights for FY25, which reflect a year of strong execution, operational discipline, and a continued focus on building a resilient and scalable business. We closed fiscal '25 with a revenue from operation of around INR1,695 crores. This reflects a 16% year -on-year growth as compared to INR1,465 crores in FY24.

This growth was driven by sustained momentum across both our businesses, the CDMO and the CRO sections, with strong contributions from ongoing projects and increased customer engagement. Our EBITDA for the year stood at INR425 crores, a 42% increase from INR300 crores in FY24. This translates to an EBITDA margin of 25%, up from 20% last year. The Sai Life Sciences Limited

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margin improvement was supported by better operating leverage, cost optimization, and increased capacity utilization.

We are pleased to see our profitability profile moving closer to a long -term guidance of 28% to 30% EBITDA margin. Profit after tax for FY25 stood at INR170 crores, compared to INR83 crores in FY24, makes a strong 105% year -on-year increase. This growth was supported by improved operational performance, stable finance costs, and disciplined cost management.

From a balance sheet perspective, we completed the planned INR720 crores debt repayment as part of the money raised through the IPO process. This significantly reduced our leverage. As a result, we expect to see lower interest costs from FY26.

On the return metric side, our ROCE increased to 12% as compared to 10% in the previous year. This has been supported by better asset productivity and earnings. We have maintained financial discipline throughout the year. This is seen in the working capital data that stood at 117 days , showing efficient cash and inventory management.

We ended the year with a cap ex spend of INR408 crores, in line with our investment plan to expand manufacturing capacity and strengthen our discovery capabilities. These investments are core to our strategy of supporting complex programs across late -phase commercial stages, and to further scale our service offerings in the year ahead.

As we look to FY26, we remain confident in our financial foundation and growth trajectory. Our focus will remain on expanding capacity, optimizing margins, and improving cash flow generation.

We are committed to the growth projections we have given in the earlier calls, and we continue to build on the momentum for FY25.

Thank you. I would now like to open the floor for the Q&A session.

Moderator: Thank you very much. We take the first question from the line of Binay from Morgan Stanley. Please go ahead.

Binay: Hi, team. Congratulations on a good set of numbers. I just wanted to focus on the quarter. So when we look at revenues, they are up around 31% , but the EBITDA growth on a Y oY basis is lagging revenue growth. So could you talk a little bit about that? In particular, this operating expense line item, which has seen almost a 70% jump on a Y oY basis. So that's the first question.

Siva Chittor: Sure. Thanks, Binay. I think one of the things that we have mentioned in the prior calls and in our shows over the leading to IPO is that this business needs to be looked at on a year -on-year

basis rather than a quarter -on-quarter basis. On your specific question on the operating expenses or other expenses going up, there was a prudent provision that we had taken on bad debt and contract assets, and that's the reason for a one -time increase in costs and that line item.

Binay: And how much was this provision? And could you talk a little bit about what exactly is this provision?

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Siva Chittor: So this is a question of de -stocking situation with the customer, where we have not been able to realize what we needed to get from the customer. And while we are at this point in time working towards it, we thought it would be prudent for us to take the impact, given that it's slightly older. And we've taken 100 % provision against it, and that is the impact. The number is close to around INR34 crores .

Binay: Okay, and that is all sitting in other expenses in this quarter.

Siva Chittor: Correct . And that's the reason why the other expenses line item is showing up. Technically, that is a significant impact as a percentage of revenue for this quarter , and a 2 % impact on the entire fiscal 2025 revenue.

Binay: Right. And secondly, could you talk a little bit about next year? What is your current capacity utilization rate about capex next year? I recall there is one line capacity coming up in April, so if that already happened.

Krishna Kanumuri: So just for capacity goals, we added manufacturing capacity in two places. One part came online probably in the November time frame. Another half is coming online in May. So we feel that that would increase the capacity by close to about 30 % for the year. And capacity utilisation is fairly high, and we're seeing good visibility in the business. So I think there's been significant traction in the CDMO business, both from the R&D side and manufacturing side, as well as discovery.

So we have significant capex plans, which I can talk a little bit more, both in further expanding our manufacturing capacity from where we are now, also increasing our process development capacity and discovery capacity, and also some new modalities as well, which is a growing part of our business. But it seems to be pretty strong going forward.

Binay: And Siva, could you comment on the capex number for next year?

Siva Chittor: Sure. I think to start with, I think the question on capacity utilization, I think we had a very good capacity utilization of 67% for the last financial year. We expect, I think, just overall market where there seems to be a lot of growth momentum that we are seeing on both sides of the business.

Remember, while there has been comments about slowing down on the biotech sector, but if you look at our CRO revenues, our CRO revenues have grown around 26% from the last financial year. If I look at the profile of where we are with respect to our CRO, we had kind of given you an indication during the IPO process that our pharma revenue h

as gone from a very minimal

number to around 30 %. That was what we said last year.

Today, that number has increased significantly , close to around 37 %-38%. So we are very confident in what we are seeing in the market. Our current biotech customers that we are working with seem to be well -funded. That said, the funding situation is a little bit of a wait and watch at this time.

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However, based on the visibility that we are seeing, we are broadly looking at a capex of close to INR700 crores for the next year. The way we are looking at this is we are probably looking at close to around INR550 crores or so as we are currently looking to do. This capex will be necessary for us to deliver our fiscal '27 numbers based on where we see visibility.

In addition, we are working on investment of around INR50 crores to INR60 crores on the new modality side, followed by there are also other capex that the balance is actually based on business visibility that we are currently envisaging, which would then increase our capex to INR700 crores. That's how we are looking at capex for fiscal '26 .

Binay: Right. No, no, that's an ambitious plan. Any views on funding of this capex?

Siva Chittor: It will be both from internal accruals and debt in addition to the money that we still have from the IPO process.

Moderator: We take the next question from the line of Alankar Garude from Kotak Institutional Equities.

Alankar Garude: So, you have grown very well in the CRO segment over the past two quarters. And you did mention about a higher share, 30 % increasing to 37 % from the big pharma clients. Firstly, what

is driving this higher engagement? And secondly, I mean, when you talk about your biotech customers being well funded, I mean, clearly things have slowed down further over the last few months after seeing a recovery in CY '24. So how should we look at growth in the CRO segment going forward?

Krishna Kanumuri: Alankar, if you look at just taking a step back, the CRO segment has been slowing down significantly in the last couple of years as well. So, I think what you will see in the next couple of years, at least both on the discovery and overall push to India diversification, I think pharma will be the lead indicator as we go forward. Biotech, again, there'll be the better fund of biotechs who will basically work both India and China.

So, what we're saying is that while the sector itself is slow, this is just – I'm talking sector specific, and not Sai specific. You will see a lot of the business coming to India driven by pharma looking to invest long-term in diversification. These are not short-term contracts where they're coming in and giving huge volume day one, but they're really building up this capacity over the next 4 or 5 years.

So, you'll see pharma continue to build relations in India, which will grow over a period of time. The better funded biotechs right now, which will do work both in India and China, but you won't have these huge spikes in revenue which came in the past in 2021-'22 with all the funded biotechs. So, I think you will see a period of levelling off next 2 years.

So that said, wait and watch. We have to see how the biotech environment shakes up, see if there's any upside to it. But our thesis and most thesis is based on pharma continue to expand the portfolio and the better funded biotech still managing global footprint. That's how we're looking at it. But the environment is still very tough and very hard to read right now because they're just reacting to the Tariff news and it's all relatively new. So, I think everybody's just taking stock of the situation right now.

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Alankar Garude: Understood. Apart from these tailwinds for India as a whole, as a sector, I mean, would you like to call out anything specific for us? I

mean, for instance, say the Boston Center really contributing more meaningfully or has it contributed more meaningfully in FY '25 versus FY '24 or any other such qualitative insights would really be helpful?

Krishna Kanumuri: I don't know if this is a qualitative insight. We are the only one who's been growing discovery for the last, let's say in two segments, right? We're the only company so far which has really been growing discovery for the last 3 years, irrespective of what the market is. So that trend continues. And that is a combination of everything, right? The Boston site, India site, the combination of overall integration package.

And the fact of the matter is on the CDMO side, we are one of the strongest R&D bases. So if you see our contribution is coming not only from just commercial molecules, it also comes from the development pipeline. So we are meaningfully engaged with customer's end-to-end right from discovery to development.

I don't think anybody has this footprint at this point. So I think our business model is uniquely different enough and we're deep enough across the value chain, which is really creating this upside potential for us. And also it helps us better balance upside and downside of the business, right? Because the business essentially is a fluctuating business. But because we're well diversified between discovery, development, and commercial, we're well-hitched at that point to balance out the growth.

Alankar Garude: Understood. The second question is on CDMO. If you look at our growth in CDMO or CMC in FY '25, while we saw very strong performance in FY '24 in terms of growth, FY '25 growth was I mean, relatively more modest. So in terms of the commercial visibility we have, going into FY '26 and maybe beyond, how are you thinking about the opportunity specifically for the company?

Siva Chittor: Yes. Alankar, going back to what we have spoken during the roadshows, I think what we had specifically stated was the timeline on certain molecules had kind of scaled up for the first time and then the follow-on for this order will result in lower growth than the previous year. This is the commentary that we had provided last time. However, where we are seeing today in fiscal '26, we see strong growth momentum. We see much better visibility and stronger pipeline.

Alankar Garude: Got it, sir. And one final question before I come back. How should we assess the impact of the two macro events for the industry? One is tariffs and the other is the recent MFN order.

Krishna Kanumuri: I think it's too early to tell. I do not think anybody yet is making any decision on what is transparent because it is still very fluid, and nobody will know for any longer time exactly where it is going to settle. So I think nobody is making any short, long-term or short-term, any decision yet in terms of how they want to proceed. And any impact will be very long-term, it won't be short-term in nature.

Alankar Garude: Understood, sir. Thank you.

Moderator: Thank you. We take the next question from the line of Geeta Parekh , an individual investor.
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Geeta Parekh: Wanted to understand the split of discovery business between chemistry and biology and what is the outlook for biology? Are you seeing any pricing margins there? This is the first question.

Second is, how has the pricing moved for FTEs given the China plus -one pressure?

Krishna Kanumuri: To answer that question, I think the way we look at it, biology and DMPK together, we consider them biology services . The split is 60% discovery chemistry, 40% is what we call biology services , which includes both DMPK and biology. And so far, we have not had any pricing pressure. We have held up pricing . It is business as usual from a pricing standpoint. We have not seen any pricing pressure yet.

Geeta

Parekh: Okay, thank you.

Moderator: Thank you. We take the next question from the line of Bino Pathiparampil from Elara Capital .
Please go ahead.

Bino Pathiparampil: Hi. I was just trying to figure out your 1Q FY '25 numbers from the three quarters that you have reported. Mathematically, I am getting an EBITDA margin of only 9% for the first quarter of the year versus 25% to 27% in the next three quarters. So is that correct or is there something, some error somewhere there?

Siva Chittor: No, it is correct. I think this is primarily some bit of seasonality on the CDMO side , which in fact, a lot of the costs are fixed in nature which then impacts our overall margin. And we had, if you look at our first half versus the second half, there is definitely a scale improvement with respect to EBITDA as deliveries kind of ramp up in Q3 and Q4. And you are correct about what you saw.

Bino Pathiparampil: Okay. So should we expect a similar seasonality? I mean, to some extent, it is a lumpy business that I understand . But this kind of volatility should we expect in 1 first QF most years or is it going to be more or less even?

Siva Chittor: Generally, the first half, without going into a specific for the next quarter or the second quarter, specifically, I would say that our first half will be lower than the second half. As business kind of grows in terms of larger commercial volume products, we expect that will get smoothened out much better than what it was in the past. But we will continue to see some amount of swings between H1 and H2.

Bino Pathiparampil: Understood. So the full year growth of 15% that you have done and the full year EBITDA margin of 24%, that I can take as more or less a guiding sort of number going forward. Is that correct?

Siva Chittor: Our long -term guidance that we have provided, and we continue to reiterate is that we expect to get to a EBITDA margin of 28% to 30% in the next couple of years. We expect to over a 3 to 5-year period and we are reiterating the fact that this business has set an amount of lumpiness where you will see higher growth in a year and probably a lower growth in the following year. We are saying on a 3 to 5-year period, our average growth taker on revenue will be between 15% and 20%.

Bino Pathiparampil: Got it. Thank you very much.

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Moderator: Thank you. We take the next question from the line of Madhav from Fidelity. Please go ahead.

Madhav: Hi, good evening. Thank you so much for your time today. Just want to understand the capex. I think you have steadily increased the capex guidance which is quite positive. But could you give us the capex momentum for the business? I guess you understand that we need to front -end in this industry, the capex to win more business in the future. But if you could just throw some more light, that will be very helpful.

Krishna Kanumuri: Just to give a little, I think as going into the year, as we are looking at maybe capex forecast last year, now we've seen more visibility in terms of several molecules scaling up and needing more demand. So this is really driven by what we're seeing in terms of pipeline demand from our molecules scaling up and going commercial.

Plus, a big difference for us is we've seen a huge demand in terms of our process development work, where we have done multiple leads on process development, where we're seeing a significant increase in our R&D resources for the pipeline we have accommodated, which also will directly play to manufacturing. So I think a lot of this capex increase is based on increased visibility we've had in the last six months more than anything else.

Madhav: That's quite positive. And what would be the state of this INR700 crores into our sort of research

business and the manufacturing business?

Siva Chittor: I would say, so on the, so I'll have to give you, I

don't have this as such right away Madhav, but

broadly I would say 60 % to 65% would be on the manufacturing side and 35% will be on the R&D side. That said, these capex, most of the capex that we would spend this year, other than equipment that Krishna alluded to with respect to the increase in R&D, will all be for capex that we will need in fiscal 27, because most of the infrastructure that we will start building this year will start resulting in a plant or an R&D center in fiscal '27 post construction of the buildings.

Madhav: And just one more question from my side, now that we step up on capex, do we still sort of think we can -- I know you've reiterated the margin guidance of 28 % to 30%, but is it like kind of factored into our guidance? Because I assume that if you step up on capex, you would have some fixed costs that should come in, but does that subsume in the guidance itself?

Krishna Kanumuri: We continue to maintain the guidance of our ability to get 28 % to 30%. We're not changing the guidance. That's what we're targeting for still.

Madhav: In the next couple of years, you said, right?

Krishna Kanumuri: A couple of years, exactly.

Madhav: Okay, perfect. Great. Thank you.

Moderator: Thank you. Participants who wish to ask questions, may please press star and one at this time.

We take the next question from the line of Dhawal Khut from Jefferies. Please go ahead.

Dhawal Khut: Hi, team. Thank you for taking my question. My first question is, what is our current FTE strength and how do you see it moving in FY26? Secondly, how do you see your CDMO

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molecule pipeline shaping up in next year? Any commercial molecules that you expect in FY26, any meaningful phase 3 addition in next 12 to 18 months, which is giving us a lot of visibility and confidence? Lastly, on the capex side, what is our maintenance capex out of this INR700 crore capex that we are going to do?

Siva Chittor: Let me take the CDMO question first. I think with respect to new molecules going commercial, dates are not within the control of the CDMOs like us. We've seen two large volume of products that received phase 3, a good phase 3 readout as announced by the pharmaceutical companies. The timing of when it will add to our commercial pipeline is something that we don't know at this time, but these are data that we've seen in the public space. I think with respect to commercial products, I think a lot of the growth that we have seen this year, commercial product volume has increased, and that is driven by certain products scaling up. We are seeing visibility with respect to some of these products scaling up better again in the next year.

That is what is giving us the confidence. The second reason for the confidence of the CDMO business is primarily what Krishna mentioned earlier. The FTE deals that we are working on today are leading into scale-up opportunities that then kind of results into manufacturing revenue in addition to the R&D revenues that they get. So, these two factors combined is what is making the pipeline look very strong.

Dhawal Khut: And what is our FTE strength right now, and do you see it meaningfully changing during the course of the year?

Siva Chittor: I think we expect our FTE business to kind of change an average FTE from last year to this year. We expect at least 12% to 15% growth from last year to -- from fiscal 2025 to 2026.

Dhawal Khut: And what was the growth in FY25 in the FTE strength?

Siva Chittor: We grew by close to 27 %.

Dhawal Khut: Got it. And lastly, what is our maintenance capex?

Siva Chittor: Roughly around INR70 crores or so.

Dhawal Khut: Okay, got it. Thank you.

Moderator: Thank you. We take the next question from the line of Deepak from Carnelian Capital. Please go ahead.

Deepak: Yes, thanks for taking my question. So, first ques

tion is on the gross block and the capex part.

So, when I see the gross block is around INR 1,680 crores of gross block, and our sale is also very similar. So, 1x asset turn, which we have -- and I see that there is almost like more than 30% comes from the CRO, where generally asset turns are better. And when I compare with the other CDMO companies, so there also asset turn is one and a half to 2x. So, any reason why our asset turn is not similar to the other companies in the same space?

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Siva Chittor: Well, I think what you have to factor in is the capacities that we are bringing in today are fairly new. So, we are an investment base. There are organizations, and if you look at the overall CDMO globally, asset turn in comparison with a lot of the players that are expanding on a constant basis, we see ourselves reasonably comparable to the rest of the market. I believe even with the addition, I think we have given a guide in the next three, four years of a 1.2 to 1.4 net fixed asset. That's what we had actually committed. And I believe we will get to 1.2 to 1.4 based on where we see our long-term.

Deepak: Thanks. And second, how much is the rental part in the P&L in this FY25?

Siva Chittor: I don't have that number, but we can provide that data separately.

Deepak: Okay. And third, if you can provide the outlook for FY26, have we given any guidance for FY26? Because I couldn't see in the press release, and PPT was not, I don't think it has been released.

Siva Chittor: So, we are not giving guidance for fiscal '26. We continue to reiterate what we mentioned in our conference call. Our revenue growth catered for the three to five-year period will be 15% to 20%. And the longer-term effect will be around the 28% to 30%. And if you look at what we said, we were at 20% in fiscal '24, and we said we reached 28% to 30% in three to four years' time. We are currently at 25% in fiscal '25.

Deepak: So, this 25 % will go to around 28% to 30% in the next two more years.

Siva Chittor: Yes.

Deepak: Okay. Thank you very much. And all the very best.

Moderator: Thank you. We take the next question from the line of Alekhya from Athena Investments. Please go ahead.

Alekhya: Hey, guys. Thanks for the opportunity. Yes. So, I have seen in the CRO segment, there's a five-year agreement with the Schrodinger. So, how much this deal would contribute to overall CRO's revenue? And when do you think that this deal is going to expire for this CRO segment?

Siva Chittor: We generally don't comment on specific customers or specific customer revenue. But we had announced at that point in time that there is a five-year deal, and it is a five-year deal. So, without going into much detail, that's really where I would leave it.

Alekhya: Okay, sure. And the other thing is, I would like to know the revenue split in the case of geographical regions, like how much we are getting from the U S and UK or something like that?

Siva Chittor: We don't provide that information, given that information is not meaningful from a CDMO CRO perspective, because you could ship compounds at different locations, depending on where that compound needs to go, as opposed to where the company is located. And hence, we don't provide our factor information.

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Alekhya: Okay. Sure. And the other thing is, if I look at the manufacturing facilities, this Unit 3 and the Unit 4 are the major facilities for you. And what's the revenue contribution from each site, it would be like? And if you are, I mean, I have seen that in capacity expansion, you're going to open one more unit, right? So, what's the difference in between them?

Siva Chittor: So, we don't, you know, products work in both units simultaneously or serially during a chemical transformation process. We don't track re

venue contribution by units. We look at it from a business perspective.

And we've actually provided the data between the CDMOs and CRO segments. I think from the expansion that we are talking will happen both at either, and we're also working on an alternate site just from a security of supply perspective. These are two locations. We would not expand our Unit 3 capacity.

Alekhya: Okay. So, is that new facility is very similar to the peptide research center?

Siva Chittor: Yes and no, in terms of they are small molecule facilities. There will be changes in terms of what you actually put in there without getting into technicalities, but they are broadly small molecule facilities for manufacturing of intermediates and APIs. That way they are similar, yes.

Moderator: Thank you. We take the next question from the line of Arjav. We take the next question from the line of Raaj from Arjav Partners. Please go ahead.

Raaj: Sir, how much is the CDMO pipeline?

Siva Chittor: Sorry, can you repeat the question? We don't give any pipeline guidance. I think all that we are saying is that we would have a longer-term growth CAGR. We don't provide specific pipeline guidance with respect to any of the business.

Raaj: All right. Sir, can you provide the breakup of capex? I just skipped a point in your earlier comment.

Siva Chittor: I think what we said is that for an overall INR700 plus crores of capex, broadly split around INR550 crores or so of capex based on current visibility that we already have, and these are

capex. Majority of them are for capex for fiscal '27 delivery.

We are investing between INR50 crores and INR70 crores of capex on new modalities, which is peptides, ADCs, and oligos. And then there will be some follow-on capex based on visibility that we are currently envisaging, but we would trigger those capex based on visibility during the year.

Raaj: All right. And sir, I also skipped a point on the provision which you made in Q4 around 34 crore rupees. What exactly was that provision about?

Siva Chittor: As we've mentioned, this provision was against a delayed billing to our customer. And as a matter of prudence, we have taken a provision in the books while we continue to work on recovery.

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Moderator: Thank you. We take the next question from the line of Nishant Gupta from Minerva Capital Research Solutions. Please go ahead.

Nishant Gupta : Hi. Sir, thank you for the opportunity. Sir, I am very new to your company. Sir, I just wanted to get a broader view. You are saying that the target for a longer-term top line growth is around 15% to 20%. The company is very expensive, if I look at it from an investor point of view.

So, could you explain how will the growth happen in the longer term? Or are you being very conservative when you're giving a 15 % to 20% kind of growth versus how much is the return on equity which the company can deliver? I'm just trying to put the pieces together. Is there any particular molecule which is bringing some kind of substantial growth eventually? I just wanted to understand this.

Krishna Kanumuri: I think, just to be honest, this industry, just to be very clear, overall, if you just look at the industry as a whole, this itself is a cyclical industry. There are so many variables, right? Variable one is clinical success of molecules.

It's basically timing of commercial launch, successful or failure of commercial launch. So, essentially, we're an industry which is basically cyclical and doesn't have a straight-line growth projection. Historically, the upside, if you look at the last 10 years, the industry has grown.

So, we never give you guidance by year or quarter because we just don't control it. And obviously, we are investing based on the pipeline visibility. But obviously, we're giving guidance 15% to 20% over a three-year period or a five-year

period. That's how we look at it. But we make investments as we see opportunities arise.

And that's what we're guiding you to at this point. It's not anything different from what we are seeing. And it's hard for us to forecast. If I make investment today, it doesn't mean that revenue is going to come tomorrow. A product might come in 18 months. So, it's very hard for me to give you those indications at all. So, I think what you're asking for is not possible to give you in this industry. And so that's a hypothesis you'll have to make yourself based on the trends you're seeing in the industry.

Nishant Gupta : Got it, sir. And any view on return on equity, like what is that number that can probably look like in the years to come? On a more longer-term perspective, obviously, there are a lot of variables which will influence it, but if there's a number that you can give?

Siva Chittor: Sure. So, we generally track ROCE and then provide guidance through ROCE. We've done it even on the last call. We have committed to a mid-to-high-teen ROCE. We committed that during the IPO process. And we've also committed that during our last call. And we continue to meet if we would be able to get to the same mid-to-high-teen ROCE.

Nishant Gupta : Got it, sir. So, thank you and all the best.

Moderator: Thank you. We take the next question from the line of Madhav from Fidelity. Please go ahead.

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Madhav: Hi, good evening. Thank you so much for the follow-up. I just had one more question. I think if you look at the global CRDMO landscape today, obviously, there is people are saying that demand is a bit softer. Funding has not recovered as the pace of which it was expected. But it's quite supportive to see your commentary that we can sort of, we're stepping up capex and seeing good client flow.

Could you sort of put the two together in terms of the weaker global environment, we continue to grow at a good pace. So, is it more the supply chain shift which is kind of helping us or what's kind of helping us sort of maintain our steady growth momentum?

Krishna Kanumuri: As you're right. Right now, it's mostly supply chain shift. I think that's what you have to attribute it to more than anything else. It's not like the sector is doing any more different than usual, but I

think the supply chain shift is a major factor. And the fact that we had relations with most of the stuff for the last 20 years and those are panning out for us at this point.

Madhav: And have you seen like active projects already shifting from some of the larger CRDO players in China and coming to Sai into India? Have you seen that kind of projection?

Krishna Kanumuri: That's been going for the last five years plus ever since COVID hit. So, that's business as usual nowadays.

Madhav: Right. Okay. Got it. Understood. Thank you.

Moderator: Thank you. We take the next question from the line of Alankar Garude from Kotak Institutional Activities. Please go ahead.

Alankar Garude: Sir, given we are one of the few integrated players based out of India and pretty big, how would you assess, how would you compare the supply chain diversification trends across CRO and CDMO? How would you differentiate between the two?

Krishna Kanumuri: I don't think, see, I think it's a question of timing and space. I think everybody wants to diversify CRO and CDMO. The trends change by time. If I take a step back and just look at the diversification, the first diversification started in early 2021 post -COVID. You saw basically commercial molecules or later phase molecules shift to India. Then you saw the diversification in terms of R&D pipeline shift in India on the CDMO sector. And then we've seen a significant shift in the discovery business also starting to shift to India from large pharma primarily. In between, there was a lot of shift to biotech, which

has slowed down a little bit. But essentially,

you're seeing shift across the board. And every company we are talking to now is taking a much more global view of saying how do we integrate our discovery operations to our manufacturing and development operations.

So I think the trend is all pieces are moving. They're moving at different paces. But the end goal is companies want to do as much as possible with as few as companies as possible. And that's only not talking about discovery development commercial, but what other modalities we can do with people.

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Can we do ADCs? Can we do all the different types? So I think people are looking to concentrate their footprints more and more with fewer companies who can integrate better with their supply chains, essentially. So I think this trend will continue and the integrated players will definitely benefit more in the long run.

Alankar Garude: Got it. Would you say, sir, this was possibly one of the reasons behind investing in the Peptide Research Center as well? Discussions with client incoming interest and possibly, I mean, some benefit coming in from diversification trends as well?

Krishna Kanumuri: I think, look, I think we've been talking to our customers actively in terms of what are the areas of interest. And they've given us three, four areas of what is their key focus. They say 50% of the molecules are traditional small molecules. And the three main areas they're focusing on right now internally are all their ADCs. I'm just not saying ADCs. It's all the conjugation products. It could be a peptide conjugated product, or it could be ADC conjugated product, or nucleotide conjugated product, organonucleotide and peptides. These account for about 80%, 90% of the pipeline today. And most customers are working with us actively as well to kind of build our capabilities into helping them support in those areas, actually.

So I think most customers are helping us and guiding us in terms of where we need to go in terms of being future -proof for them as their pipelines move, essentially. So that's why we're following our customer. In this way, we're not following the molecule, we're following our customer, if I would put it that way.

Alankar Garude: Got it, sir. This is very helpful. The other question was, how many of the 90-plus CMC programs are in Phase 2 and Phase 3?

Siva Chittor: Alankar don't have a split right now, but we can provide that separately.

Alankar Garude: Okay, sir. And one final one. Can you quantify the revenue contribution from the two overseas centers in FY '25?

Siva Chittor: Roughly around \$14 million - \$15 million.

Alankar Garude: And profitable in FY '25?

Siva Chittor: Yes. EBITDA profitable from an FY '25, which is what we had kind of stated when we began the year.

Alankar Garude: Got it, sir. This is very helpful. Thank you, and all the best.

Moderator: Thank you. We take the next question from the line of Dhawal Khut from Jefferies. Please go ahead.

Dhawal Khut: Hi, sir. When you say you are expanding capabilities on peptide and, other new areas like ADC, Oligo, does it mean more synthesis capacity, or is it more lab capacity, more discovery work, and addition of scientific stuff? So, what are you exactly doing when you are saying, you know,

you're adding capabilities?
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Krishna Kanumuri: It's going to be a gradual process, right? I think end of the day, I don't think you're coming directly commercial. I think you're adding both discovery capabilities and development capabilities and clinical supply capabilities. You would probably follow the pattern, because end of the day, all these technologies are very complex, and companies are doing more and more complex technologies.

So, I think you will see people and lab capacity coming on Board, along

with early phase assets

for supplying phase one, phase two materials, I think. And as these progress, obviously, and we build the capabilities, and we progress with the molecules, but most of these assets are going to be focused much more on the, look on the oligonucleotide. Obviously, we're commercial, we're much further along than other areas, but most of the other areas are more focused on most of the clinical pipelines, because majority of the pharma assets, actually, are clinically in these areas, very few on the commercial side. Most of these are modalities pharma has just come back to in the last few years. So, most of the assets are early phase, and that's exactly what we're building support right now.

Dhawal Khut: Did I hear you correctly? Just now, you said you have commercial assets on the oligonucleotide.

Krishna Kanumuri: On Amidites, yes, I'm going to do commercial.

Dhawal Khut: Okay. And, in earlier comments, you said there is significant demand for process chemistry. So, can we expect significant expansion on overseas site, especially Manchester, because I think that's where you do, you know, these kinds of...

Krishna Kanumuri: No, actually, most of our people are actually a combination of Hyderabad and just together. Manchester is running at a really high capacity. And so that is growing, but we're also adding significant Indian capacity also. I don't see us adding Manchester dramatically, but Manchester, we're adding more people, as much as we can accommodate.

And India, obviously, we're increasing significant capacity in India. But it's really the question of how do we combine these two together, which is giving us a key differentiation more than anything else. With the best practices across both sides, it gives us a much more, much stronger R&D platform than what others can provide at this point.

Dhawal Khut: Lastly, going ahead, we can expect significant improvement even on overseas profit, profitability, and the gap will continue to decrease between company level or India Ops and overseas Ops. Can that be...

Krishna Kanumuri: We've always maintained that overseas Ops as a percentage are going to continue to decline because we are adding those capacities. So, I'm not coming and saying, because overseas is going to be more or less a fixed cost or fixed revenue, you're not significantly increasing, but the proportion of the overall contributions continue to drop. So, I think in terms of value to the company, overall, they'll increase, but in terms of impact on the cost, they'll be more minimal as we move forward.

Dhawal Khut: Okay. Thank you.

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Moderator: Thank you. We take the last question from the line of Geeta Parekh, an Individual Investor. Please go ahead.

Geeta Parekh: Thank you for the opportunity. I wanted to ask that in the CDMO business, what are the OTIFs on time in full. Do you capture that? And what are those ratios looking like?

Siva Chittor: We capture and we work with our customers on a day-to-day basis on this metric, but we don't generally disclose this metric outside. But to say, we run a very high customer satisfaction across our customer base.

Geeta Parekh: Got it. And can you tell the percentage of large pharma in the business, discovery versus development?

Siva Chittor: I think we mentioned that we are on 37% pharma versus biotech on the CRO side. On the CDMO side, we are probably closer on 70% large pharma as opposed to 30% biotech.

Geeta Parekh: Thank you very much, sir.

Moderator: Thank you. I would now like to hand the conference over to the management for closing comments.

Krishna Kanumuri: Again, just thank you everyone for taking the time to attend the call. We continue to be excited about the path forward. And I think the trends can still be positive for the entire sector in general.

I'm just not talking about us in

particular, but I think India, as a general rule, will do well. I don't think anything systematically has changed in the industry. And I think we execute well, and we are pacing very well. Thank you, everyone.

Moderator: On behalf of Sai Life Sciences Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This transcript has been edited, without altering the content, to ensure clarity and improve readability.)

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Sai Life Sciences Limited
Q1 FY'26 Earnings Conference Call

August 08, 2025

MANAGEMENT : MR. KRISHNA KANUMURI – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER
MR. SIVA CHITTOR – DIRECTOR AND CHIEF
FINANCIAL OFFICER

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Moderator : Ladies and gentlemen, good day and welcome to the Sai Life Sciences Limited Q1 FY '26 Earnings Conference Call.

As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

I now han d the conference over to Mr. Diw akar Pingle . Thank you and over to you, sir.

Diwakar Pingle : Thank you so much. Good evening, good morning to all the participants in this call.

Before we proceed on the call, let me remind you that the discussion may contain forward -looking statements that may involve known or unknown risks, uncertainties, and other factors. It must be viewed in conjunction with our business risks that could cause future result performance or achievement to differ significantly from what is expressed or implied in such forward -looking statements. Please note that we have mailed the results and the same is available in the Company's website. In case you have not rec eived the same, you can write to us and we will be happy to send the same over to you.

To take us through the results and answer your questions today, we have the top Management of Sai Life Sciences Limited represented by Krishna Kan umuri – Managing Director and Chief Executive Officer, and Mr. Siva Chittor – Direct or and Chief Financial Officer.

We will start the call with a brief overview of the quarter gone past and then conduct the Q&A session. With that said, I will now hand over the cal l to Krishna. Over to you, Krishna.

Krishna Kanumuri: Thanks, Diwakar. Good evening, everyone. Thank you for joining us today.

We are pleased to share that FY '26 has commenced on a robust footing, with Q1 performance reflecting strong momentum across Discovery, Development, and Commercial Manufacturing.

This growth is a result of deep partnerships we have nurtured with global pharma innovators, underpinned by scientific rigor, operational excellence, and our ability to scale with speed. The revenue for the quarter grew 77% year -over-year, supported by broad -based growth across businesses, particularly CDMO, which grew by 113% year -over-year. This growth has translated to strong profitability with EBITDA increasing by 305% year-over-year, with margins expanding significantly.

Beyond the numbers, we continue to make significant strategic progress.

We expanded our Integrated Discovery platform, with the launch of state -of-the-art biology facility at our Hyderabad campus. This will enhance our ability to support complex targets and

deepen our role in large , integrated programs. Looking ahead, we are commencing work to add
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two new production blocks by the second half of next year, to further scale up operations and support future growth. And we have also just started building a new Process R&D block, which will nearly double our Process R&D capabilities , and add clinical -scale peptide capabilities, as well as early -phase formulation capabilities.

We are also on track to add about 30% extra space in Discovery at the end of the fiscal year. So, we are adding capacities across, and this will really enable us to support both clinical and commercial supply programs, aligned with the increasing scale and complexity of molecules we work on. Talent continues to be a core of our delivery engine. We have on boarded over 250 scientists and technical professionals during the quarter, expanding our team's depth and bringing in capabilities aligned with new modalities and next -gen science.

I am pleased to share that during the quarter, we successfully completed 11 client and regulatory audits across our sites, further reinforcing

our consistent track record of quality and compliance.

Our digital -first mindset, integrated quality systems continue to be a key differentiator for us.

As part of our going green initiative, we have expanded our Go Green Plus initiative with DHL, furthering our commitment to greener logistics.

As we look ahead, we are closely monitoring the changes in the macro environment and remain confident of the long -term trajectory of our business. We remain sharply focused on scaling responsibly, investing ahead of demand, and strengthening our scientific depth to serve the evolving needs of our global clients.

With continued expansion of infrastructure, keeping our talent , and increasing traction across modalities like peptides and ADCs , we are well -positioned for sustained profitable growth.

With that, I would now like to hand this over to Siva Chittor , our CFO, who will provide an update on our financial performance.

Siva Chittor: Thanks, Krishna, and good evening, everyone. Thank you for joining us today for our Q1 FY '26 earnings call.

We are excited to share our financial performance for the quarter, which underscores the strength of our business fundamentals and the progress on our long -term priorities.

We are pleased to report that our revenue for Q1 FY '26 reached Rs. 496 crores, a remarkable 77% increase compared to Rs. 218 crores in Q1 FY '25. This growth was primarily driven by strong performance in our CDMO business, which recorded Rs. 314 crores, an impressive 113% growth from Rs. 148 crores in the same quarter last year. Additionally, we also saw solid growth in our CRO business with revenues of Rs. 182 crores. This represents a 38% increase from the Rs. 132 crores in Q1 FY '25. This overall revenue growth was fueled by continued traction in our fully integrated delivery model and deeper engagement with our global clients. The growth in the CDMO business is attributable to increased revenues in certain commercial products and
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growth in the early phase R&D revenues with pharma companies. The CRO business continues to grow on the back of Integrated Discovery programs. While we expect a strong start to the fiscal year to provide some momentum for the rest of the year, we would like to reiterate that the CDMO business by nature tends to be lumpy and is better reviewed on a longer term basis. Our EBITDA for the quarter stood at Rs. 125 crores, an increase of 305% year -on-year compared to Rs. 31 crores in Q1 FY '25. This impressive growth in EBITDA has resulted in an expanded margin of 25%, reflecting a year -on-year improvement of 14% in EBITDA. This enhancement in margins is attributed to operating leverage, scale efficiencies, and improved productivity across our sites. As we have stated in our previous calls, we believe that this business can be scaled to achieve 28 %-30% margins as our revenues grow and our results for this quarter show a positive movement towards that goal.

We are also pleased to report a positive turnaround of our profitability. Our PAT for Q1 FY '26 stood at Rs. 60 crores, a significant improvement as compared to a loss of Rs. 13 crores in Q1 FY'25. During the quarter, we invested Rs. 134 crores towards capital expenditure. This is in line with our planned investments to expand capacity and enhance our capability. We believe these investments are critical as we focus on supporting next generation and emerging modalities, including peptides, ADCs, and oligonucleotides . Our commitment to investing in new R&D infrastructure and process development capabilities positions us well to meet the evolving needs of our clients.

As we look ahead, we remain optimistic of our growth trajectory. With a strong foundation in place, we are focused on scaling execution, strengthening client partnership, and investing in

technology and talent to deliver sustained performance and long-term value. We believe that our strategic investments and operational efficiencies will continue to drive our success in the coming quarter.

In conclusion, I would like to thank our dedicated team for their hard work and commitment without which all this would not have been possible, as well as our clients for their continued trust in us. We are excited about the opportunities that lie ahead and are confident in our ability to deliver exceptional services.

With this, I turn this around to questions.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Dhara Shah from Morgan Stanley. Please go ahead.

Binay: Hi team, this is Binay. So, my question is, in the past we've talked about H2 being better than H1. Will that hold for this year also and for both the segments, CRO and CMC? So, that's the first question.

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Siva Chittor: So, Binay, without getting into the specifics of the year, that's a general trend that we have seen across the years and we believe that trend will continue, but I am not giving any specific guidance for this year.

Binay: So, there is nothing in a way that is lumpy in this quarter that will sort of break that trend down.

So, that's the understanding we are trying to get.

Siva Chittor: There are no one-offs that have been accounted in Q1 as far as I can tell.

Binay: Great. And secondly, one of the lines in the presentation we've added that the strategic investments will double our overall capacity by FY '27. So, that is basically taking us to 900 KL, right? So, we are doubling versus FY '24 levels or so. Is that the right understanding?

Krishna Kanumuri: No, I think, Abhinay, we are talking about two doublings. We are doubling our process R&D capacity by next year and manufacturing capacity will go up by 80% by 2027. So, both are actually going up.

Siva Chittor: The base reference number for the manufacturing is 1,200.

Krishna Kanumuri: Between 1,200 and 1,300.

Abhinay: Okay. And within that, we are also saying that, we will be diversifying our footprint and reducing concentration risk. So, could you elaborate a little bit more on that? Is it more with new customers that you are going to work in the big pharma side? Is your share of new modalities which you've called out in this presentation, that is increasing? Any few qualitative points on that? Thanks.

Krishna Kanumuri: We've continued the momentum, we've onboarded several new large pharma customers, as well as we have expanded our depth of collaboration with customers. So, I think this is based on not only basically the existing pipeline, but also the fact of a lot of new relationships which we have started and existing relationships which are getting much broader and deeper.

Moderator: Thank you. The next question is from the line of Karan Gupta from ACMI IL. Please go ahead.

Karan Gupta: One question regarding the revenue split. We are targeting that our CRO space will be close to 40% something or 50% something in the overall pie, considering the lumpiness in the CDMO, as we are also seeing the other peers that are quoting numbers. So, what's the target for the CRO to take ahead?

Siva Chittor: Sorry, you're not very clear, but I am assuming that your question is about the CRO CDMO split. Our broader guidance is somewhere around the two thirds to one thirds. In a quarter or in a year, there could be specific movements that could be slightly not matching the two third to one third, but broadly it remains in that territory.

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Karan Gupta: Okay, so in the CDMO space, we are not seeing any demand scenario where the customers are maybe not expanding or not giving the orders. This kind of scenario, we are not expecting in the CDMO space.

Siva

Chittor: Not at this time.

Karan Gupta: Okay. Any large customer contributing to the major portion of the CDMO?

Siva Chittor: We reported our client concentration and we do this on a full year basis. And I think the client concentration that we reported, I think top 10 customers is around 40% and we do this on a full year basis. We don't add these numbers every quarter because the quarterly numbers will not make sense. But we are generally a very diversified platform and that's what we believe in from a concentration perspective.

Moderator: Thank you. The next question is from the line of Divyaxa Agnihotri from HDFC Securities. Please go ahead.

Divyaxa Agnihotri: I just saw your customer split for your CR O business, which was around 38% for Big Pharma and 62 % for Biotech. So, I just wanted to ask a question around the biotech funding environment. I know you give these numbers sort of annually, but where do you see sort of the funding environment shaping up in terms of the customers or in acquiring newer customers? So, are you moving towards Big Pharma? I want to understand the scenario from your end.

Krishna Kanumuri: I don't think there's any specific strategy to go after Big Pharma versus Biotech. We are engaged in the market. It depends on the market cycles, how they go. I think right now, obviously, Big Pharma is building a footprint in India for the long run. So, you will see probably more traction Big Pharma in the immediate term. So, I think Biotech funding is coming back, but it's really focused on more later stage assets, which are more on the CDMO side. And the amount of funding on the Discovery side definitely is coming back, but the level of investment is less. So, I think what you will see is biotech coming back, but not with very large contracts. They'll be coming to what they were doing probably 4-5 years back with maybe 20-30 FTE programs, not the 100 -150 FTE programs they were before. At the end of the day, we basically sell to the whole market and everything goes through the cycle right now. So, we don't specifically target one customer or the other.

Moderator: Thank you. The next question is from the line of Madhav from Fidelity. Please go ahead.

Madhav: Hi. Good evening. Thank you so much for your time. First question was on the six molecules that you mentioned are in phase III or in the pre -registration phase. Could we get some color in terms of phase III readouts or when the client plans to launch if it's already in the pre -registration phase? Are there any such molecules which could be up for launch in FY '26 in the rest of the year?

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Siva Chittor : So, we've had two of the phase III molecules that have provided a positive readout. At least, you know, the new s reports suggest that there is a positive readout on phase III. They were slightly earlier in the year, a couple of months ago. We don't have a very specific date on when, once the phase III is done, they will have to assemble data which then they will have to go back and file with the FDA, which would then enable them to get approved . At this point in time, I don't have very specific information, but we've had movements on two products that are in phase III that have seen a positive readout.

Madhav: Okay. Got it. And any of them in the pre -registration side, like which are maybe already filed and due for launch? Is there any molecule in that sort of part of the pipeline as well?

Siva Chittor : There was one small molecule, I think that just got approved, but it's not a very large. At this point in time, it doesn't need to be a very large revenue, but it just moved very recently.

Madhav: Okay. Understood. Got it. And then in the presentation, you mentioned that the dedicated CRO client has seen 30% growth or 30% expansion in the business that we do with them. Could you give some more color in terms of like, has that already started showing up in the numbers for us

or that comes through in the coming periods? And how large is this client within the CRO business? If you could give a broad sense, that would be helpful.

Siva Chittor : Not commenting on the individual clients because of given restrictions, but the expansion in terms of that 30% has already happened. It happened a month and a half ago. So, you will start seeing that flow through immediately.

Madhav: Okay. So, Q2 onwards, you see that benefit, right?

Siva Chittor : Yes.

Madhav: Okay. Understood. And just one last question goes on the , how is the sort of RFQ, RFP flow through from clients, especially for more mid -stage assets? Like, I remember from earlier interactions, we had indicated that we are seeing good client requests for late-stage molecules as well. So, how is that traction going for us?

Krishna Kanumuri: It's pretty healthy in terms of what we are seeing in terms of RFP coming in.

Madhav: Thank you. Thanks a lot.

Moderator: Thank you. The next question is from the line of Nikhil Mathur from HDFC Mutual Fund. Please go ahead.

Nikhil Mathur: Good evening, all. Many congratulations to the management for such great numbers. So, my first question is slightly higher level. Sai Life Sciences is doing phenomenally well. We are seeing it last quite a few quarters now. Also, we are seeing the industry overall, many of the companies are also doing pretty well in terms of new customer base, and that is starting to get

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reflected in numbers as well. So, I just wanted to revisit the broader thoughts on the industry. What's happening? Is it really China Plus derisking that is kind of starting to play out, or Indian industry itself has gone to an extent, or they have built capabilities over the years, that irrespective of China Plus One or not, the companies are starting to win more contracts and are able to demonstrate better visibility in global CDMO space?

Krishna Kanumuri: Okay. I think to be very candid, right now, apples-to-apples, China is still significantly ahead of India. I don't think India has capability-wise yet caught up with China, both in scale or technology. That's just an honest fact, I think. But the reality is, China Plus One or not, I think diversification is real. The one issue which has come up in China, which is actually moving customers away, is IP issues have come up in China, primarily because China has become a competitor for them on the Discovery side. All the China deals, if you follow the news, the number of biotech deals China are doing have gone up. So, I think at least what we are hearing more and more is that the fear in China is the IP aspect of it. So, I think the Indian industry is set to benefit. I think Pharma is taking a long view that we will build these partnerships, and it's going to take years for us, at least a reasonable amount of time to build partnerships. So, they're going step-by-step to ensure that they have a reliable supply chain outside of China. They don't want to be too dependent on one country. So, I think this broad trend will continue because customers are investing in us, and the companies which are proactively working with them are set to benefit the most. That's the honest answer I can give you on this one.

Nikhil Mathur: Okay. So, the current road that your company is kind of on, the path on which your company is on, were you always fully confident, let's say 2-3 years back, that this growth will emanate, or something has changed in the last 12 months, which is kind of accelerating this growth?

Krishna Kanumuri: We've always been very confident. If you look at the investments we've made, it was in 2018 - 19 when we really changed our focus to really become a science-driven, high-end manufacturing and discovery company. And that thesis has played

out well for us. And the reason I think we are winning business today, is because we've made investments ahead of time based on what we saw customers were looking for based on their existing partners. And as the market has opened up, we are probably a little bit ahead of the curve in terms of the depth of the team we have built, the way we are thinking about it, the systems we've built. I think that forward-looking approach has given us that little bit of an edge in terms of ability to scale up from here.

Nikhil Mathur: Slightly more micro questions now. I missed the capacity enhancement program. So, are you doubling the overall capacity, including manufacturing and research, by FY '27, FY '28? Or you mentioned that research is doubling and CDMO will go up in steps?

Krishna Kanumuri: No, actually, research is doubling. And we are adding, obviously, formulation services, early phase formulation, peptide capability in the research building, which we've already started working on. And manufacturing itself, we are adding two new blocks, which is double capacity. Probably the R&D is going to come up a little sooner, but end of next year, all this capacity should be online.

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Nikhil Mathur: So, let's say till now, or in the past, like you mentioned that you have been trying to invest ahead of curve, so as to win orders. Can it be assumed that now your utilizations will be more matching the order book, in the sense that, given that you are at a particular scale now, there is visibility with multiple clients. So, now the capacity buildup is more in anticipation of the orders that you might see over the next 12-24 months?

Krishna Kanumuri: We definitely have a lot more visibility than when we built in the past, because the past investments also were kind of changing our technology platforms. But now I think what we are seeing is much more visibility, and I think we are much more confident about utilization levels going forward.

Nikhil Mathur: Got it. And one final question. On the new modalities, the four new modalities that you talk about in your presentation, I would imagine that most of these work for you is in a Discovery stage or maybe some bit of on the development stage, I am not sure. How far are we from the first project or two projects that can be commercial in these new modalities? Is this 2 years out, 3 years out? When can be that inflection point for the company in terms of new modalities on the manufacturing side?

Krishna Kanumuri: There are four key modalities we are talking about. As far as oligonucleotides, we are close to commercial and we are fairly far ahead of a lot of people on the oligonucleotides side. For ADCs, we are working on late-phase asset today, which are actually commercial. Peptides are still very early. I think peptides probably will be very early in the clinical stage. Then we have lipids. We have been supplying lipids for a long period of time. So, we have the capabilities. We have a lot of clinical assets. When they go commercial, we don't know, but lipids, we've been working on since the last 7-8 years. Except for, I would say, pure ADC conjugation and peptides which are relatively early right now in the chain, I think most are commercial right now or in the next

probably few quarters.

Nikhil Mathur: Okay. And whatever projects that you foresee going into commercial from your end, would the revenue per project be much higher than what a typical run rate is for small molecules that you have been doing till now?

Krishna Kanumuri: Hard to say. Every product has a different cycle in terms of volume. So, you can have the greatest modality, but if the volume is low, you cannot put a modality and volume together. It really depends on the product class and the target you're going after.

Moderator: Thank you. The next question is from the line of Binay

from Morgan Stanley. Please go ahead.

Binay: Hi, team. Just two questions. One on the broader side. We've seen this news flow on most favored nation policy, letters going to like 17 big pharma. So, in that context, what will be your read through on R&D spend on outsourcing? Do you think it will be neutral for Indian CDMOs or it will be positive because cost cutting moves to low cost location or negative because some of the

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research project gets pushed out? So, any initial thoughts on how big pharma and their plans and where India fits in into that?

Krishna Kanumuri: Look, it's almost impossible right now to figure out the geopolitical angle and what that means from a revenue standpoint for pharma. But purely from a CDMO standpoint, the fact of the matter is R&D is really going to be in Asia. I don't think there's any pressure to do R&D in the U.S. It's really about products. And if you really look at the net-net target for the U.S. administration, is to put whatever facilities which are in Ireland or Switzerland or other parts in Europe in the U.S. So, just as pharma companies are currently manufacturing using us as a supplier into Europe by using European facilities my anticipation is that we will similarly be supplying to U.S.-based facilities.

I don't think the fundamental dynamics will change in terms of the customer demand or what they will do. The geographies we supply to might change and how tariff is affected, what it is to early to comment at this point, early days. But I don't think the basic reshoring to the U.S. of pharma is going to make a significant difference in terms of the supply chain into there at this point. And R&D itself, I think, is still going to be overseas. So, I think there will be short term bumps, but long term in this time cycle, I am still fairly positive that there won't be a fundamental shake-up in what we see in Indian Pharma.

Binay: Thanks. And secondly, just on the financials, we had talked about interest costs coming down in the coming quarters. And we know this year, it seems like, CAPEX versus operating cash flow, there will be a sort of a negative gap. So, is it fair to assume that interest cost decline that we were talking about is largely now happened and is reflected in this quarter?

Siva Chittor: Yes.

Binay: Okay, great. Thanks.

Moderator: Thank you. The next question is from the line of Karan Gupta from ACMI IL. Please go ahead.

Karan Gupta: My question is regarding the CRO side. What kind of growth are we expecting from the CRO side over the next 2-3 years, we can notice from FY'23-'25 it is close to around 15%-17% as the CDMO is growing? But last 5 years we can see 35% you mentioned. So, what kind of growth we can expect for the CRO side for the next 2-3 years? Is it in line with the CDMO? Or it will grow much faster than that?

Siva Chittor: So, what we have presented and what we have told over the last couple of months, and I will reiterate that, I think we are not presenting a separate growth number for CRO versus the CDMO.

What we are committing is a 3 to 5 year, 15% average growth rate. That's really what we are presenting and that's what we are focusing on. We are not presenting a separate data at this time.

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Karan Gupta: Okay, because the thing is, the CDMO is very lumpy in nature. So, it's very hard to think about, as you're saying, 15%-16%. So, margin side, if you can give us a split between the two?

Siva Chittor: No, not really. I think our fundamental belief is that a steady state, maybe the CRO side will have a few bps more than the CDMO side on a steady state. But that's just the general model working. We are not presenting the splits in the numbers today.

Karan Gupta: Okay. So, few bps will be higher for the CRO side.

Siva Chittor

: Yes.

Karan Gupta: Okay. And any new projects that you're not mentioning the CDMO side on the late stage 3 or commercial stage? Not mentioning this thing also?

Siva Chittor: We don't provide any molecule details of phase III or anything.

Karan Gupta: Okay. And just one last question. How are you seeing this CRO space going forward? Just talk about the CRO research side. What's the entry barrier in this space in India domestically? What are the players? How many players are in this space? If you can just give some color on that, I understand this space.

Siva Chittor: Karan, I think we don't generally comment about other businesses. I think there is enough data available in the public space for you to figure out who does the CRO business. I would only want to say that we have a very strong traction in the CRO business. Our revenue growth is what we have presented and we continue to believe that that business will grow. But I would stop short of commenting on others.

Karan Gupta: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Rahul Jeevani from I IFL. Please go ahead.

Rahul Jeevani: Yes. Thanks for taking my question. Sir, on the CDMO manufacturing capacity expansion, last quarter, let's say we were at 600 kiloliters, which this quarter we have added around 90 kiloliter. And on top of that, we have announced another 200 kiloliter by third quarter of 2027. So, that would imply, let's say, a 50% kind of an increase versus FY '25 capacity. So, is that understanding correct? And why I am asking this is because at one point in time, you also indicated that the CDMO capacities actually are going to increase by 80% by FY '27.

Siva Chittor: I think what we meant, Rahul, is we are working on two production blocks with a total capacity of closer on 450 KL. So, if you take that from the capacity at the end of last year, which was around 600 KL, and then you add 550 KL, it will be more than 80%, close to 90% capacity addition. That's what we meant.

Rahul Jeevani: Okay. So, 450 KL addition on this 600 KL base of last year?

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Krishna Kanumuri: 550 plus 600.

Rahul Jeevani: Okay, sure. And let's say of this 550 incremental, you have talked about plans for, let's say, 100 KL got commissioned. You are working on another 200 KL. So, the rest, when do you plan to start the commissioning?

Siva Chittor: So, we expect the 450 KL to be commissioned around the second half of FY '27, with some gap between each other, but 450 KL will get commissioned by the second half of FY '27.

Rahul Jeevani: Okay, sure, sir. And on this CDMO pipeline, phase III pipeline, where we have six molecules now. If I remember the numbers correctly, this number used to be eight to ten phase three projects, let's say, last quarter or end of FY25. So, have a couple of projects gone into commercialization?

Siva Chittor: Couple have gone into commercialization, couple have dropped out.

Rahul Jeevani: Okay. So, the number was 10, which has come down to 6, or was it 8, which has come down to 6?

Siva Chittor: It is 10. I think there is a few movement in, few movement out. So, essentially net-net we moved couple to commercial. There are a couple of entries and there are a couple of, I can give you a detailed summary separately, but it's a list of addition and deletion.

Rahul Jeevani: Okay. Sure, sir. And, sir, you pointed out that the CDMO business obviously has this quarterly volatility. So, just to get some color around the fact that this quarter we saw very significant growth on the CDMO business. So, was there any inventory stocking related to, let's say, some of these early commercial projects which might taper off going forward? Or let's say we can work with this 1Q CDMO revenue as the base for growth going forward.

Siva Chittor: So, as I mentioned earlier, there is no one-off, which includes

any one-time launch related

stocking. I won't comment on how you do the modeling for maybe in Q1.

Rahul Jeevani: Just the last one from my end. You indicated that you have onboarded 250 scientists during the quarter. So, if you can call out the total of scientists across both the CDMO and CRO business, Thank you.

Siva Chittor: I don't have that data, but we can add that and send it out separately.

Moderator: Thank you. The next question is on the line of Anandha Padmanabhan from P GIM AMC. Please go ahead.

Anandha Padmanabhan: Thank you for taking my question. Congratulations on a good set of numbers. Sir, I had two questions. One was on the capacity utilization. What is the capacity utilization at the end of Q1?

And second thing, I wanted to have on clarity on the 550 KL additional capacity that you

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mentioned in the earlier question. In the presentation, you're given that 200 KL will be coming by Q3 FY '27. And in the earlier statement, you said that 400 would be coming by in the second half of FY '27. Just wanted to get a better clarity on this aspect.

Siva Chittor: Sure. So, I think what we are saying is that the first production block will come on scene by Q3 FY'27. The other one will come towards the end of FY '27. That's why we said 450 will come towards second half of the year. That's what we said.

Anandha Padmanabhan: One will come in Q3, other will come probably towards the end of Q4. That's how one should understand this.

Siva Chittor: Yes.

Anandha Padmanabhan: Okay, fair enough.

Siva Chittor: On your first question on capacity utilization, our capacity utilization for the last quarter was around 77%.

Anandha Padmanabhan: And what is the peak capacity that you can typically go up to?

Siva Chittor: So, I think we brought 100 KL capacity end of Q1. So, it was not completely utilized. But I think 77% to 80% is probably full capacity. And the question, reason why I was giving you a slightly roundabout answer is that it all depends on the mix of projects, whether it's commercial or development. So, 70%-75% is a decently fully utilized plant.

Anandha Padmanabhan: Okay. So, with this 91 KL coming online at the end of Q1, the next capacity that will be coming would only be in the second half of FY '27. So, in the interim, is there a chance that you would have some issues of capacity in case you get better projects or higher growth visibility? How prepared would the company be to address that?

Siva Chittor: So, there are plans in place to kind of take that period. We are working through our internal capacity. We are using certain external agencies to kind of do some work that will kind of help us ride through any shortages of capacity. At this point in time, we don't believe that will be an impediment till the next capacity comes on.

Anandha Padmanabhan: Okay. And the Rs. 700 crores CAPEX that you mentioned is for the entire portfolio 550 KL new capacity that is going to come online, or that includes only the 91 KL plus 200 KL that you said that will come by FY '27?

Siva Chittor: So, it'll be portions of whatever, accounting-wise, gets accrued for the particular year. It's not only that. We are working on a Discovery capacity addition. We are working on process R&D capacity addition. We are adding peptides to element capability. A lot of them spread over more than one financial year and also more than one physical 12-month period. So, it is a combination of everything over a period.

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Anandha Padmanabhan: Okay. So, the 700 crores CAPEX is for this year or 700 crores CAPEX would be for this entire capacity addition that would spread over two years?

Siva Chittor: 700 Crores CAPEX is for this year.

Anandha Padmanabhan: Okay. And you could have a similar number next year as well?

Siva C

hittor: We haven't put a number down, but there will be CAPEX for the next year.

Anandha Padmanabhan: Okay. And typically on the manufacturing side, when you're working for new capacities, what is the typical asset turns that you typically work with when it reaches peak utilization?

Siva Chittor: Not distinguishing new versus old or incremental versus existing, but the way we look at it is our belief is that we will be able to do on a net basis between 1.2 to 1.4. That's broadly our internal metrics that we use to track ourselves.

Anandha Padmanabhan: Okay. Thank you, sir. That's all from my end. Thank you for answering my questions.

Moderator: Thank you. The next question is in the line of Madhav from Fidelity. Please go ahead.

Madhav: Thank you for the follow-up. Sir, a couple of more questions. One on the question where you said that the capacity announcements happening in the US is more shift from Europe to US. Is my understanding right that the kind of work that happens with these facilities is anyway more, let's say, fill-finish work or the last step formulations kind of work? And where the Indian companies, including Sai, we come in more of the intermediates and probably the API stage. Is that a fair understanding of how the supply chain works? So, even if there's more capacity expansion in the US, it doesn't really impact the kind of work that we do. Is that a fair way to think?

Krishna Kanumuri : That's a fair assumption.

Madhav: Okay. So, even if big pharma announces capacity in the US, I don't think there's going to be planning to do these advanced intermediates per se, right? I don't think that's in their CAPEX program. I know there's no specific right answer, but is there like a big picture?

Krishna Kanumuri: As far as we have conversations so far, every large pharma we've talked to has no intention of doing intermediates in-house. I think they're focusing on either late stage, GMP stages.

Generally, if you look at most new products used to be tended anywhere from 15 stages to 30 stages. I think they're probably focusing on the last 4-5 stages at best, and source intermediates outside, and the final formulation they will do in the US.

Madhav: Correct. Exactly. So, in that sense, our time is not really impacted, right? That's what we just wanted to clarify.

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Krishna Kanumuri : On paper right now doesn't look like it's impacted. It's just that we shift to change.

Madhav: Yes, exactly. Got it. And the second question was, we are doing a fairly large CAPEX this year, 700 crores. Just wanted to understand that when we decide to take like a large capital allocation decision like this, is it like, you know, with some visibility from the client for, let's say late -stage projects, which will come in the next few years, is that when we sort of decide to announce CAPEX ? It could be obviously 2-3 years out, but is that how it usually works?

Krishna Kanumuri : It's a combination of two factors. It's a combination of existing products, which we see the volume will scale up, which we have, and in terms of a late -stage pipeline, this is based on existing forecasts, plus the number of clinical inquiries and the number of programs you're doing in development with a larger pharma collaborations. And what we see, they're going to be going forward as well. So, I would say right now, at least visibility is strong at this point. I don't know if it's always going to be the case, but this investment is based on a better visibility than we had done in the past.

Madhav: Understood. Thank you.

Moderator: Thank you. The next question is in the line of Vivek Agarwal from Citi. Please go ahead.

Vivek Agarwal: Hi, thanks for the question, sir. Congrats on the exceptional quarter. If you look at your earlier commentary, you indicated that a couple of products have moved into the commercial sta

ge,

right? So, is it the growth in this quarter has been driven by some impact of the products moving into the commercial stage, or is it that existing molecules that have helped in the growth in this quarter? Thanks.

Siva Chittor: A combination of both.

Vivek Agarwal: Okay. Sir, is it possible for you to quantify, for example, how much the growth that is coming from the new products?

Siva Chittor: No, we don't provide the data, for this kind of comparison.

Vivek Agarwal: No problem at all. Just one more question. You indicated that a couple of molecules that have also been dropped out, right? So, is it that the products have been failed into the late stage trials, etc.? Any particular reason for that?

Siva Chittor: So, it is a clinical trial failure. See, I think clinical trial failure is a chapter by itself. The CDMO is one cog in that whole wheel. There are multiple reasons and decision points. Whatever is available in the public data, we believe there are certain clinical trial related failure, but customers don't give you that kind of data because you don't access everything with respect to a molecule when you're working with a customer. There are enough things about everything from a patient selection to deciding their clinical endpoint, there are many things we are not part of.

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So, at this time, we know that it was based on a clinical trial failure, but we don't know exactly why.

Vivek Agarwal: Understood. Thank you, sir. That's from my side.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Krishna Kanumuri: Thank you, everyone. Really appreciate you taking the time to attend the call today. And we continue to be bullish for the business and appreciate your support.

Siva Chittor: Thank you.

Vivek Agarwal: Thank you. On behalf of Sai Life Sciences Limited, Q1 FY '26 earnings call that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This transcript has been edited, without altering the content, to ensure clarity and improve readability.)

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Sai Life Sciences Limited
Q2 FY26 Earnings Conference Call
November 07 , 202 5

MANAGEMENT : MR. KRISHNA KANUMURI – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
MR. SIVA CHITTOR – WHOLE -TIM E DIRECTOR AND
CHIEF FINANCIAL OFFICER

MODERATOR : MR. DIWAKAR PINGLE – EY

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Moderator: Ladies and gentlemen, good day and welcome to the Sai Life Sciences Limited Q2 FY 26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please sig nal an operator by pressing star, then zero on your touch -tone phone.

I now hand the conference over to Mr. Diwakar Pingle. Thank you and over to you, sir.

Diwakar Pingle: Thank you so much. Good evening, good morning to all the participants of the call, depending on the geography you're logged in from. Before we proceed to the call, let me remind you that this discussion may contain forward -looking statements that may involve known or unknown risks, uncertainties, and other factors. It must be viewed in conjunction with a business risk that could cause future result performance or achievements to differ significantly from what is expressed or implied by such forward -looking statements.

Please note that we have mailed the results and the same are available on our company's website.

In case you don't have it, please write to us and we'll be happy to send this same over to you.

To take us through the results and answer your questions today, we have the top management of Sai Life Sciences Limited, represented by Mr. Krishna Kanumuri, Managing Director and Chief Executive Officer, and Mr. Siva Chittor, Whole -Time Director and Chie f Financial Officer. We will start the call with a prepared remark on the quarter gone past and then conduct a Q&A session.

With that said, I'll hand over the call to Krishna. Over to you, Krishna.

Krishna Kanumuri: Thank you. Good evening, everyone. Thank you for joining us today. I am pleased to share that Sai Life Sciences has delivered another strong quarter, continuing the positive momentum across the Discovery , Development, and Manufacturing businesses. This performance reflects the trust of our global innovator clients, the strength of our scientific teams, and our focus on consistent execution.

At Sai, we have been on a journey to evolve into a truly integrated, innovat or-led global CRDMO. Our goal is to be not just a reliable execution partner, but a strategic collaborator for our clients, one that can enable faster, safer, and more sustainable development of new medicines. Our growth strategy continues to rest on three core pillars, scientific depth, technological differentiation, and global scale.

The macro environment. The overriding macroeconomic themes in recent times that have consumed our mind space in the industry have been China +1 and slowdown in Biotech funding.

I want to address both of these directly. Our experience based on multiple conversations that we have been having with pharma innovators is that the companies are definitely seeking to rebalance their global supply chain.

Major events over the last few years have uncovered the risks associated with concentration in one single geography. And so the broader trend towards supply chain rebalancing is already

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underway. We believe that the new outsourcing business will be more geographically balanced, that ongoing geopolitical ups and downs are not likely to impact the fundamental trend.

On Biotech funding, there is a perceived slowdown, which is having an impact on the overall innovation pipeline flowing through the existing and new biotech companies. I'm pleased to say that we've been able to offset the impact of the Biotech slowdown with pharma clients and deliver industry leading growth. Large pharma innovators are still in the early stages of the India supply chain build -out, and this is a process expected to be a multi -year journey ahead.

Biotech funding, too, has

witnessed multiple ups and downs and will return sooner or later,

adding to the overall upside. As a company, Sai Life Sciences has a strong presence in both customer segments, while offering multiple entry points to onboard client programs. This, combined with our quality of science, regulated record , and above all a stable, global and diverse management team, makes us very well -positioned to ride this growth.

Our conversations with companies are more about how we can be strategic partners, covering a bouquet of services over the medium and long -term. The case in point has been the extended number of early -stage development projects that we secured in recent months, with dedicated FTE contracts with multiple pharma companies that will naturally scale up at Sai once the development stage is complete. This is bound to develop a robust pipeline of late -stage and commercial projects over the long term.

During the quarter, we made meaningful progress in deepening our capabilities in new technology and modalities, reflecting our readiness to support the next wave of complex therapeutics. In peptides, we are following the molecule by extending our work with large pharma partners from discovery into development and scale -up capability. In flow chemistry, we have successfully demonstrated commercial scale capability at our Bidar facility , which ensures faster, safer, and more sustainable processes.

In the ADC area, we have commenced work with the large pharma on a long -term collaboration involving linker chemistry . We also successfully completed bioconjugation work at the discovery stage for another large pharma client. We are in the process of building OEB -6 labs to strengthen our capabilities in both Discovery and CMC.

We are validating the phosphoramidite process for a commercial oligonucleotide molecule, reflecting our steady progress in supporting more complex emerging modalities.

Beyond scientific advancement, we continue to invest in building capacity and infrastructure to meet rising client demand. The Phase 2 expansion of our Vivarium at Hyderabad R&D Center is now complete, doubling our footprint and significantly enhancing our preclinical assay capabilities. This investment strengthens our ability to deliver integrated Discovery programs and accelerate early development for global clients.

Alongside our growth, we continue to uphold the highest standards of quality and compliance. For the past 12 months, Sai has successfully completed 35 customer audits and 3 regulatory audits across its manufacturing and R&D facilities, with zero data integrity deviations and zero critical observations. This track record reflects a strong operational discipline and commitment

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to global regulatory excellence, a core reason clients continue to trust Sai with their most advanced programs.

We are also expanding into adjacent growth areas. The launch of our dedicated Veterinary API facility marks our strategic entry into the animal health segment, building on a strong foundation in chemistry and manufacturing. We have already partnered with three of the top five global animal health companies, and we see this as just the beginning of a long -term growth opportunity where Sai can play a meaningful role in shaping the next phase of innovation in animal health.

Our recent collaboration in the UK further enhances Sai's ability to serve clients across the development value chain, from API development to drug products, manufacturing, and clinical trials. This reflects a broader commitment to provide integrated end -to-end solutions on a global scale.

Each of these initiatives brings us closer to our long-term vision of being among the most trusted and science-led global CRDMOs. We are scaling our operations, strengthening our technology base, and expanding our reach to align with the evolving n

needs of innovators worldwide. We

also continue to make progress in embedding sustainable practices across our operations, ensuring that growth remains responsible and environmentally sustainable.

In summary, Q2 FY 26 was a strong and strategic ally significant quarter for Sai Life Sciences.

We are executing well today, while continuing to invest in science, infrastructure, and partnerships that will drive long-term profitable growth.

With that, I would like to hand over the call to Mr. Siva Chittor, our CFO, who will provide an update on the financial performance.

Siva Chittor: Thanks, Krishna, and good evening, everyone. We continue to build on our momentum that we've built over the last couple of quarters. We've delivered solid growth across our business, keeping Sai Life Sciences firmly on track towards its long-term aspiration.

Total revenue for H1 FY 26 stood at INR 1,034 crores, a 53% increase, over INR 675 crores in the corresponding H1 FY 25, driven by healthy growth across both the CRO and the CDMO business. The CDMO business contributed 64% of the total revenue, recording INR 667 crores. This is up 72% year-on-year. This is supported by a continuous scale-up of late-stage and commercial programs. The CRO business contributed 36% of the total revenue. Revenues for H1 FY 26 were INR 367 crores, up 28% year-on-year, reflecting sustained engagement with both large pharma and biotech firms.

EBITDA for the period was INR 281 crores, compared to INR 140 crores in H1 FY 25. This represents a 101% increase. EBITDA margin improved by 650 bps, 27%, driven by better utilization, operating leverage, and continued cost discipline. PAT Tax for the period, stood at INR 144 crores. We incurred a capex of around INR 248 crores for the first half, against a plan of INR 700 crores for the entire FY 26. This expenditure was primarily focused on expanding our R&D infrastructure, strengthening process development capabilities, and advancing investments in new modalities and technologies such as peptides, ADCs, and oligonucleotides.

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Looking ahead, our capacity expansion plan remain on track. We are currently in the process of scaling up our total installed capacity from approximately 700 KL to 1150 KL by the end of FY27, which will further enhance our ability to serve growing client needs across clinical and commercial manufacturing.

Our capex strategy continues to focus on building scalable infrastructure and technology depth, not just for current programs, but also to stay ahead of future scientific and manufacturing needs. We will remain disciplined in our capital allocation and will balance growth investments with profitability and returns.

The focus going forward will be on improving asset productivity, optimizing working capital, and continuing to strengthen our margin profile. We are working with global consulting firms in terms of future-proofing some of our productivity gains and also making sure that our cost structure remains in balance.

In summary, it has been a strong quarter with consistent performance and steady progress on our long-term priority. We are confident that our investments in capability, capacity, and technology will continue to position Sai Life Sciences and support sustainable and profitable growth. With this, we will open the floor for questions.

Moderator: The first question is from the line of Binay Singh from Morgan Stanley. Please go ahead.

Binay Singh: Hi, team. Thanks for the opportunity. My first question is on the gross margin. We have seen gross margins expanding despite the share of discovery coming down. Could you share a little bit about factors that led to gross margin expansion and the outlook on the same?

Siva Chittor: There is an increase in gross margin on account of operational efficiency that we gained on certain commercial products between

the period. That is the reason for the expansion in the gross

margin. We are not giving a specific guidance on where the gross margins are, but what we have given guidance is the 28% - 30% EBITDA. We continue to remain focused on that.

Binay Singh: So there is no one-off, right? So the understanding remains that discovery has higher gross margins, so there is nothing – no one-off sitting over here on the CMC side.

Siva Chittor: There are no one-offs in the gross margin side, is correct.

Binay Singh: And then secondly, just looking at the other expenses, we have seen a pretty sharp increase, almost 60% on a Y-o-Y basis. Could you talk a little bit about that also? What drove that?

Siva Chittor: Yes. Broadly, I think if I look at the Q2 versus the Q2, I think we had around 14% or so in Q2 of FY25, probably around 16% or so in FY 26. I think if I break it into actual dollar numbers,

there is probably 50% plus of this number is primarily driven by dollar increase and rise in operation. What we have done is part of it, I mentioned this in my speech earlier, we are working with the top consulting firms, they kind of work on future-proofing us and benchmarking ourselves with global CRDMO, both in terms of productivity and cost, and working on certain tech-related benchmarking. So we have incurred certain costs, which I would call one-offs because it is a consulting firm piece that is included as part of the cost.

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Binay Singh: Okay. Lastly, I missed the opening remarks. You said something about building pipeline of molecules. Is there any update, because when I look at the presentation, the commercial in Phase 3 looks unchanged versus last quarter. So that is something more you are expecting in the future quarter. Was that the comment that you made in the start opening?

Siva Chittor: No, it is true. I think there are a few that would get to the late phase. It has happened slightly at the end of the quarter, which is why the quarter number is also not mentioned. We also do not update this data on a quarter basis, but there have been some additions to the late-stage pipeline.

Binay Singh: Okay. Any number you would broadly add to that?

Siva Chittor: There are three products that have moved to the late-stage pipeline.

Moderator: Thank you. The next question is on the line of Amey from JM Financial. Please go ahead.

Amey: Yes. Thank you for taking my questions and congrats to the management for good numbers. So the first question I have is on the first half performance. The performance is staggering in terms of growth.

The second half is also likely to be good, looking at the exports. In light of this how should we see the next year for commercial projects or CDMO, do we have some visibility for next year which can help us beat this performance?

Siva Chittor: Amey, good question. I think without getting into a specific guidance with respect to numbers, we feel good about the business. Additionally, the second half has been always, from a Sai's historical perspective, has been better than the first half.

From a pipeline and the next year, based on what we are seeing, we see trends looking very favorable without getting into a specific number, but we continue to remain confident of meeting the 15%-20% revenue growth over a 3-5 period. We continue to believe that number that we have put out.

Amey: Sure, got it. On the CRO side, we are engaging with several partners, but the biotech funding still remains volatile. It's not showing any direction. In light of this, how much growth visibility or conservatively what we can guide for the CRO for our business?

Siva Chittor: I think Krishna addressed this in part of his speech. There are two factors that have helped us grow the CRO business if you look at the last three years or so. Against most indications, our revenues have continued

to grow on the CRO business. We attribute this to two factors. One is, I think, the ability to deliver on integrated programs, which is something that we've been able to achieve along with the presence in the US of a biology center. The second one is our pharma presence over the last 4-5 years has significantly increased – from a very negligible number in pharma, we today have a significant uptick in pharma. Whatever impact a potential biotech slowdown would have had has been more than compensated by an increase in pharma clients and revenue. That's really what Krishna also covered as part of his speech.

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Amey: Sure. Just last thing, if I can squeeze in, we have mentioned on the ADC on the presentation, if you can elaborate on that more, as well as the oligonucleotides, if any project wins, if we have during the quarter. Thank you.

Siva Chittor: So on the oligonucleotides, I think we've said this in the past, we've been working on technology for a fairly long time. At this point in time, we are working on validating a commercial product for a large pharma. The validation, as we have mentioned, is in process and probably takes us 15-18 months before it becomes commercial. With the potential of another product that potentially is in Phase 3.

That's broadly what our oligo pipeline looks like. As far as ADC is concerned, most of our work that we're doing today, we have a collaboration with large pharma where we're working on the linker chemistry. We've also done some work on biocommunication at the discovery.

We've done some linkers and stuff on clinical manufacturing, but that's an area that we said Krishna mentioned last time that we are evaluating very seriously. Once we have some more data, we will come back and make an announcement.

Krishna Kanumuri: I just want to add a little context to this whole ADC and oligonucleotides. There's a lot of confusion in the market. Everybody says they're experts in ADC and bioconjugation, but the actual fact of the matter is that most large pharma companies are building their custom oligo platforms and custom ADC platforms and we're involved with these companies in terms of the next generation modalities and technologies coming in. So we are very close to the pharma development pipeline, just given the collaboration we have. We're not coming in saying we're an oligo company. We have these products, so we're making a payload. We actually are building the pipeline where the companies are evolving.

We are actually working with our customers to grow the pipeline ground up, rather than saying I'm providing you a piece of the puzzle. Our whole strategy is to be a much bigger piece of the overall pie for our customers than just being a product service provider where a lot of other companies are focusing on at this point.

Amey: So, does it mean that we are building a portfolio for linkers, et cetera, where we can provide services to that platform to be innovative?

Krishna Kanumuri: We are working with customers on what their proprietary linkers are. And most companies are building their proprietary linkers, so we are involved in what is going to their clinic in the next generation linkers than what we see today. So, we're involved in working with proprietary linkers. We will not have a product by ourselves.

As a rule, Sai will never have a standalone product by itself. We will only work with our customers on their custom projects. That's our specific strategy, how we operate. We are not a product company we are a services company and strategic partners.

Amey: Sure. Thank you so much. I will join back.

Moderator: The next question is from the line of Sajal Kapoor from Antifragile Thinking. Please go ahead.

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Sajal Kapoor : Hi. Thanks for the opportunity and congratulations for sustaining a

very strong execution in an

uncertain environment. I have two questions. One, how does the organization maintain empathy and ethical behavior under high performance pressure, especially in process R&D and scale-up engineering?

Krishna Kanumuri: That is the fundamental of the company. Our company is based on a foundation of trust and customers. So, that's the ethical value we've built for the last 20 years. Our basic premise of the company is that when you do the foundation and basics right, then you are a successful company. And that's what customers value in us. We take a lot of pride in terms of our integrity as a company and that is non-negotiable for us.

Siva Chittor: That's probably the most amount of time we spend with our employees on. And that's the training that somebody will need when they join us.

Krishna Kanumuri: And you have to understand that our relationships are 10, 15 years old. People don't come to this relationship unless there is implicit trust of every interaction they have with us, be it somebody in the plant, somebody in the lab, or be the management. That is the reason why we have a strong relationship with our customers.

Sajal Kapoor : Thank you. That's very reassuring. And the second question is, how does management determine the optimal degree of spare capacity that balances near-term utilization efficiency with long-term flexibility for capturing large and potentially high-value opportunities?

Siva Chittor: Generally, a 60%, 65% is considered reasonably full if you are working on a CDMO environment and you are talking about the next plant, in a brownfield setup, probably a little earlier if it's a greenfield setup. That's the general sense and a benchmark that most companies tend to follow. That does not sacrifice operational efficiency while taking care and making sure that you are not losing efficiency. That's the broad thought process.

Krishna Kanumuri: I think there's a different way of looking at it. There's one approach, say I'm going to build a large capacity, and guess what suddenly there's immediate need for a large capacity product. I'm set for that. We don't build for that once-in-a-lifetime opportunity. We build more for a question of higher certainty of filling the pipeline rather than the block buster to come in.

Yes, sometimes it feels bad when you lose the block buster. But for us, continuous supply and the progression of pipelines is more important than building a capacity for the few block busters that might happen. So you have to pick where you fit in that market, so to speak. So, we're positioned differently than other companies you're talking to in this space.

Sajal Kapoor : Wonderful, thank you. So, the number of AI-discovered molecules entering early human trials, i.e., Phase-I is increasing quite significantly, upwards of 60% growth annually, based on some reports. That's all AI-discovered, kind of. At this Phase-I success rate is materially higher, 80% to 90% compared to the historical averages of anywhere from 40% to 65% for Phase-I and for traditionally manually-discovered drugs.

So this implies that AI is not only generating higher volume, i.e., more candidates, but AI is also

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particularly regarding safety and early -stage progression. So AI is not just increasing the volume of molecules entering Phase -I, but it's also ensuring that the better -quality, fitter molecules enter Phase -I.

So the key question is, does this not suggest that there is, or there will be at some point a critical juncture where the need for clinical development capacity, including the physical infrastructure and technical staff will probably outpace the available and upcoming capacity? Can that scenario emerge maybe not immediately, but

two to three years out, because AI will get better?

Krishna Kanumuri: Unfortunately, I think at this point, we're way too early to make that determination. If you go back and research the data on AI molecules, the majority of them have failed miserably in the clinic. All the AI companies have actually saw the stock price drop significantly.

We see AI as a tool, which is similar to what you have in terms of computational chemistry, in terms of high -throughput expectations, et cetera. AI probably will enhance the quality of molecules coming in. I don't think that fundamentally changes the volume of pipelines in the immediate future.

So I don't think there's a material impact yet, in terms of pipeline of later -stage molecules yet, which have made an impact in AI. They might happen down the road, but it's very, very unlikely it's ever going to face the capacity you have in Development and clinical trials. That's a long shot at this point.

Moderator: Thank you. The next question is on the line of Madhav from FIL. Please go ahead.

Madhav: Hi. Good evening. Thank you so much for your time once again. On the pipeline, I just wanted to understand that over the next say, 18 to 24 months, how many of our sort of Phase III projects have a clinical readout lined up? If you could give some color there, that would be helpful.

Siva Chittor: Madhav, we don't have that data because a lot of things change in that. We don't track that data as much. But there are at least a couple of them that are expected to kind of show up. I don't have an exact data that I can share with you right now.

Madhav: Okay. Understood. Any visibility into our capex for FY 27? This year, obviously, we are investing a lot, almost INR700 crores. Is there any buildup into next year as well? Thank you.

Siva Chittor: We will come back and provide that guidance. We're working through a few things at this time, but we will come back and provide that guidance.

Madhav: Got it. All right. And just one more question. On the other expenses bit, I think you have clarified to a previous question that the number went up a fair bit year -over-year, almost 60%. You said there was some consulting fees, which is included as part of this. Could you clarify how much of that is that kind of fees sitting in the P&L?

Siva Chittor: So, that number is closer on double -digit crores, where that number is.

Madhav: Just in one quarter, is it?

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Siva Chittor: Yes.

Madhav: Okay. So it's a substantial number then. I mean, it's a meaningful number for us.

Siva Chittor: It is a meaningful number and it was part of the plan.

Madhav: And how long do these projects typically last? Like you said, it might be more of a one -off type of cost, obviously, but is it like a one -year project or six months? Any visibility there?

Krishna Kanumuri: Just to give you a perspective, I think the rate of change, which we are in terms of setting the company for growth, is going to challenge. We will have probably some of the top -tier consultants available for a much shorter duration, but we might use some smaller level consulting firms to kind of offset our resource constraints because we don't have internally.

The number won't be the same magnitude, but it's not to say that we will not use some consulting firms to help execute some of the projects because of bandwidth our teams have internally. But it's not that we have another huge program planned right now. This is a three, four -month project. We're in the middle of it.

Once the strategy is set, we probably will use them more sporadically when needed at that point. But it is substantial. We're really trying to pivot the company more towards the best companies in the world globally and how they operate in best practices. So the value of this will be very significant for us, which is definitely intended for

r that to be on the bottom line on a year -to-year basis.

Moderator: Thank you. The next question is from the line of Sanjay Kumar from iThought Financial. Please go ahead.

Sanjay Kumar: Hi, sir. Thanks for the opportunity. First question on the peptides. Just want to understand our capabilities. The discovery work that we're doing, is it for GLP -1 metabolism -related or for peptide drug conjugates? Because in one interview, Manish had spoken about peptide conjugates.

Krishna Kanumuri: Look, I think peptides we're doing across modalities. I think GLP -1 is only part of the peptide equation. Peptides as a modality have come up in a big way across disease areas. So we're very actively engaged with a lot of companies in peptides in the clinical side, but we're also discussing peptides with other companies which may be in GLP -1, may be not be in GLP -1 space. But the peptide space is expanding rapidly. The technology is actually changing.

I think whatever you think, first generation of peptide technology is not what it's going to be. I think there's nobody in the world not involved in GLP -1 in some form or fashion. We don't know who's going to win in GLP -1. But we are using peptides in a much broader modality set of which conjugation is a piece, but not all of it. There's several modalities of pure peptides which are non -GLP -1.

Just to be very honest, the three big blockers, just data, the three big blockers of peptides coming out, if you have a look at data today, you have Merck PCSK9 coming out with a peptide. You

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have IL -23 from J&J coming with a peptide. These are not all GLP -1. So peptides are coming back in a big way across modalities. So you have to take a very different lens to this than what you normally are taking so far.

Sanjay Kumar: Got it. So would you then look at it molecule by molecule or would you want to go as a pitch as a platform play? So can you talk about what peptide length can we handle today? Are you using hybrid or continuous peptide synthesis? And how much of your peptide feedstock is imported? Like do we do the amino acid protection in -house or do we buy resin -loaded amino acids? If you can talk about your capabilities within peptides.

Krishna Kanumuri: I'm going back to a statement I made in the past. We are not a product company saying I'm going to make this product and this peptide. We are working with our customers to build the peptides which they are interested in.

So we're building it from ground up on their pipeline rather than saying this is a peptide we have and you come and do this with us. So our strategy is extremely different from what a typical product company is. Again, we're a strategic partner service company working with companies. Every company, like it or not, has their own technology they want to use. They have different - - somebody does flow, somebody does solution, somebody does crystallization, somebody does lyophilization. But we work closely with customers to be a technology company which can take cross -modality and some of them want us to make amino acids, some of them want us to buy it. So we don't have a specific strategy. We have a broad range of technologies which can work with five, six different companies with five to six different approaches, so to speak. So it's really we're a technology platform supporting multiple customers at this point.

Sanjay Kumar: Again, on oligonucleotides, the commercial molecule that you spoke about, we are evaluating a phosphoramidite process. Is it for DNA, RNA, or is it much advanced like, say, NNP, or again, this also involves...

Krishna Kanumuri: There are no comments about this right away. We're not at the liberty to say at this point.

Sanjay Kumar: Okay. Final question on ADC. We completed bioconjugation. Does it involve antibody drug conjugation or is it the small

molecule conjugation, which is just linker payload? If it's only small molecule, do you --

Krishna Kanumuri: So far we've done only in the discovery phase. That has been ADC conjugation. But we are actually looking at XDCs as a much broader skill set, which basically would also include peptides, PROTACs, and oligonucleotides, those four things. We're looking at that as a much broader platform and just not ADC.

Sanjay Kumar: Okay. Okay. And do you plan to integrate, say, antibody --

Moderator: I request you to rejoin the queue.

Sanjay Kumar: Okay.

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Moderator: Thank you. The next question is from the line of Nirvana from Badrinath Holdings. Please go

ahead.

Nirvana: Hi. Thanks for the opportunity. So just wanted to confirm to a previous participant, you said that even in this year you're expecting H2 to be stronger than H1?

Siva Chittor : We said historically H2 has been stronger than H1. In fact, business remains good as ever , without commenting on specifically how this year H2 will be. This is what I said.

Nirvana: Sir. Okay. And just one question on the capex, just to get an indicative idea, I'm trying to figure out how the balance sheet might look like over the next two years when we are doing a lot of capex.

So, to reach 1150 KL and double our process R&D, etcetera, by the end of FY 27, how much capex do you think we'll need to do? Ex of the INR250 crores that we have already done in H1. And what is the peak debt that you think the balance sheet will carry over this process?

Krishna Kanumuri: Just to be very honest at this point, we have so many different opportunities at our table right now which are coming down the pipe. Our capex plan is really evolving because we are evaluating several opportunities with several of our customers. So we're not giving you numbers.

It might look very different in two months from now from where we are today. But we have several different opportunities that we are evaluating that might change our capex plans, both in terms of type of capex and scale of capex. So we don't want to make any comment on this.

Nirvana: Okay. One final question on the specific partnership that you have with Schrödinger, I know you don't like to talk about specific partnerships, but this is more a qualitative question. So, you signed the partnership in 2023, and it's a five -year kind of deal.

What I wanted to understand is what are the success metrics of this partnership like is it the number of candidates that are going through to an IND level? Or how do you define success here? How do you think we are doing? What is the likelihood of renewal, etcetera?

Krishna Kanumuri: We cannot talk about the specifics of that collaboration because that collaboration is proprietary to what they work with, and we cannot share that data.

Nirvana: Okay. Then if you allow me one final question on ADCs then, you've mentioned bioconjugation you've done at a discovery scale. Is this the bioconjugation with the monoclonal antibody?

Krishna Kanumuri: Correct.

Nirvana: My understanding is that bioconjugation typically happens at the site where the MAB is manufactured and the linker -payload goes there and then the conjugation happens at that site.

Given that we are not a biologic company, is this a modality that we can hope to scale up in a large fashion in the future given that we won't be manufacturing the MAB?

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Krishna Kanumuri: Look, at this point, we can comment on where the market is going. The preferred option always is to do the bioconjugation where you're doing the final fill finish. But the fact of the matter is right now there are not that many sites globally where this happens.

Wuxi has all the capacities, 90% of the capacity its theirs Most of the companies right now are doing different sites.

Some of them are doing, some of the large pharma are building internal capabilities to do it down the road.

At this point, there's so many bits and pieces going on in this area. We don't know exactly how this will evolve down the road. It could be companies might put bioconjugation in-house. India could be a backup site.

All I will say is that right now, anybody today tells you that I have a strategy for ADCs, I have a defined strategy of peptide, I have defined strategy for oligonucleotides you can park it, because it's changing so quickly because the technology is shifting quickly. We have to be nimble enough to follow the customer.

Right now, except for the existing peptide molecules which have launched the rest of them all pretty much, ADCs are all in terms of new ways of working. The first generations have passed. The next generation are very different from the previous generation .

I think the jury is very well out in terms of who's going to succeed in this space. People are taking different approaches, but I don't think there's any one person right now or any one company which has all the answers and the perfect solution for it.

I think it's too hard to make a prediction at this point of who's going to win this race, to be honest. I'd love to come and tell you there's a magic answer, but there is none at this point, because our customers themselves don't know what the answer is.

Moderator: The next question is from the line of Dhawal Khut from Jefferies. Please go ahead.

Dhawal Khut: Hi, Sir. Thanks for taking my question. There is some product concentration building up for Sai in CDMO business, and several companies quite often go through a sudden inventory correction in large products.

So what kind of conversations do we have with our customers or what kind of arrangements do we have? Is it MSA or is there some visibility that, there won't be any sudden fall -off of these

top products or some kind of arrangement that reduces such kind of risk for us? That's my first question.

Second is on the expanded capacity. I think by 2026, we plan about 1,150 KL. So do we expect all of the expanded capacity to be ready with reactors or some part of it will be a civil structure and addition of reactors will be based on order visibility?

Krishna Kanumuri: So I think as far as product concentration, we've been very clear that we diversified our supply chain significantly, based on the pipeline we have and everything, there's nothing which keeps Sai Life Sciences Limited

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us up at night saying there's one product which goes away and we're not going to have it. At this point, not to worry about that, please.

And there's nothing you can ever put in a contract saying, I'm going to guarantee this volume because we have to understand that our customers are working on a forecast, and their forecast can be missing all the time. So I think that's something you cannot completely eliminate. You only can minimize it by increasing the number of products in the portfolio. And one year you might have one product goes out, another product will come in.

So I think you just have to go case-by-case on those aspects. And we are doing it by working with 18 of the top 25 companies and having a broad pipeline, having discovery, having development, having commercial. We're not a product-heavy company if you think about it, right? So we are three service lines, and so we've really diversified our risk across the board from that aspect.

You can never say that no product is going to go away. Nothing can be put in writing saying that it's going to be dedicated. This is just the reality of the business, to be honest, in terms of inventory management and forecast management.

Siva Chittor: I'll just add on the product concentration. We'll release the numbers probably at the end of the year, but based on what we see, we don't see that we've

been significantly deviated or changed

in terms of product concentration from what we gave you the last year.

We broadly remain within that range. I don't see the data. I'm assuming you're looking at dispatch data from exim sources. As we've mentioned multiple times to you guys, that is really true and matches revenue and period-based revenue. So we don't see our product concentration reversing.

Dhawal Khut: Got it. Just a follow-up on that. So for the upcoming year, is it by March, early April, do we get the clarity that, all of the top products, what kind of sourcing we would be looking at into the upcoming year? Is that the right timeline? And do the conversations start to begin from November onwards?

Krishna Kanumuri: I wish I had the magic answer for that. Typically, I think you will generally have from November onwards. Typically, anyway they might say there's an indication you might not get a PO for it. They might give you ranges for it, what they're looking at. Look, we will probably start getting feels for it, but probably POs, timings can change.

But it's very hard for us to say, in November there's a pipeline or March there's a pipeline. And suddenly you might have a left-field product, which is accelerated clinically, which comes in. In fact, the best thing for you is to ask a pharma guy if he can give you a pipeline. He'll answer. There will be no way. We're basically dealing with a very, what do you call, unplanned business to a great extent. I think I can't give you a direct answer, but I think you have a general sense of what you will at least see for next year.

Siva Chittor: By January end we get a general sense of where the business is going. And commercially, you'll get a sense of where it is. And that's really how we start doing our plan.

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Krishna Kanumuri: We're not trying to be aggressive, but I'm just trying to be -- not being unrealistic also in terms of what the market is.

Dhawal Khut: Very helpful, sir, that answer. And on the capacity, you think you'll put up all the reactors for the expanded capacity? Or some part of it will be more about civil structure?

Krishna Kanumuri: As of now, we're going to put up all the reactors because we think we have a reasonable confidence that we're going to need that capacity as of now.

Siva Chittor: We will keep evaluating this, as I told you guys, every quarter. So we will continue to evaluate it until we get an answer. This is a process that we continue to do.

Moderator: Thank you. The next question is from the line of Ankush Mahajan from Sanctum Wealth. Please go ahead.

Ankush Mahajan: Sir, thanks for the opportunity. Most of the innovator companies are investing in the US. So any

impact on our business related to it?

Krishna Kanumuri: Explicitly, the answer is no because I've talked to almost all the customers. They only want to do the final two stages in the US in formulation. They say advanced intermediates, RSMs, no impact. At least multiple customers told us that should not change our trajectory. If there's an API that we're making, it might be supplied to other countries. But generally, US will buy the advanced intermediate. Instead of supplying intermediate to the European side, we will supply to the US side. So I don't see any material impact.

Moderator: Thank you. The next question is from the line of Amit from Clear Blue Capital. Please go ahead.

Amit: Yes, sorry, thanks. My question has already been asked and answered. Thank you so much.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Siva Chittor: Thank you all for the questions. I think we are learning, too, as part of this process. And, you know, we continue to remain, confident of the business. And as we said, we'll be prudent in term

s of how we manage this. Thanks once again for all the participants on the call.

Krishna Kanumuri: Thank you, everyone. Really appreciate you taking the time to ask questions. And definitely we're learning from every call as well. And we'll do the best we can to keep performing.

Moderator: On behalf of Sai Life Sciences Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

(This transcript has been edited, without altering the content, to ensure clarity and improve readability.)

Call: Feb 2026

Sai Life Sciences Limited
Q3 FY '26 Earnings Conference Call
February 06 , 2026

MANAGEMENT : MR. KRISHNA KANUMURI – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
MR. SIVA CHITTOR – WHOLE -TIME DIRECTOR AND
CHIEF FINANCIAL OFFICER
MODERATOR : MR. DIWAKAR PINGLE – EY

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Moderator: Ladies and gentlemen, good day and welcome to Sai Life Sciences Limited Q3 FY '26 Earnings Call . As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Diwakar Pingle. Thank you and over to you.

Diwakar Pingle: Thank you, Heena . Good evening to all the participants on this call. Before we proceed to the call, let me remind you that the discussion may contain forward -looking statements that may involve known or unknown risks, uncertainties, and other factors. It must be viewed in conjunction with our business risks that could cause future result performance or achievements to differ significantly from what is expressed or implied by such forward -looking statements.

Please note that we have mailed the results and the same is also available on the company's website. In case you have not received the same, please write to us and we will be happy to send the same over to you.

To take us through the results and answer your questions today, we have the top management of Sai Life Sciences Limited, represented by Krishna Kanumuri, Managing Director and Chief Executive Officer, and Siva Chittor , Whole -time Director and Chief Financial Officer.

We will start the call with a brief overview of the quarter gone past. Krishna will give a basic update about the business. Siva will follow it up with financial highlights and then we will open it up to Q&A session.

With that said, let me hand the floor over to Krishna. Over to you Krishna.

Krishna Kanumuri: Good afternoon, everyone and thank you for joining the Sai Life Sciences earnings call. I am happy to share with you my reflections on the quarter.

The global macro environment continues to be supportive of our industry , with India increasingly positioned as a preferred destination for pharmaceutical outsourcing. We are seeing a meaningful rise in strategic conversations with large global pharma innovators , driven by their focus on supply chain resilience, access to specialized capabilities, and long -term partnerships. Against this backdrop, we remain confident that the underlying growth environment for our business remains healthy.

Our business performance continues to track ahead of plan. In our CRO segment, we are seeing sustained growth momentum led by a clear focus on expanding engagements with large pharma customers. In parallel, we are strengthening our discovery engine through targeted investments in next-generation technologies that accelerate speed and productivity, such as AI -based retrosynthesis tools, advanced photochemical and electrochemical platforms, and partnerships with emerging technology innovators. These capabilities are helping us deliver higher scientific value while

shortening discovery timelines.

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Our CDMO business continues to perform well with over 90% of revenues coming from large pharma customers. During the year, we added 7 molecules to our late -phase and commercial pipeline, further broadening our portfolio. We continue to believe that a larger and more diversified pool of commercial molecules enhances business resilience, helping offset volume variability in individual products that are inherently outside the control of the CDMO.

In the development segment, we are seeing strong momentum as global customers increasingly transition to R&D FTEs and development activities to India. The shift has resulted in meaningful uptick in revenues this year and is creating a steady pipeline of downstream opportunities

which

translate to our manufacturing portfolio. Over time, this trend is expected to not only support continuous pipeline additions but also improve our overall material margin profile.

Our capital expenditure programs remain firmly on track. The first phase of R&D expansion at our recently acquired site in Hyderabad, Unit 8, is scheduled to commission in Q4 FY '26 with about 200 fume hoods for discovery chemistry. The civil infrastructure for our R&D building for our process facility is on track and will be commissioned by September '26, doubling our total process R&D capacity.

Our peptide process development and pilot facility is also targeted for September '26 to significantly expand both our discovery and development peptide capabilities up to pilot scale. Additionally, our OEB laboratories for process development are on schedule to be completed October '26. This is in addition to what is already operational to significantly enhance our ADC capabilities both for discovery and clinical supply.

Our Bidar manufacturing capacity expansion is also on track. We intend to add 225 KL by June and another 225 KL by the fourth quarter of FY '27, almost increasing our capacity by 70% in manufacturing. Our Phase I of Animal health is targeted to be completed by March '27 enabling validation activities to commence our API production for veterinary products at this point.

As we scale these opportunities, our ability to execute will be anchored on three priorities, having the right talent, maintaining the right cost structure, and driving efficiency through automation. We are actively augmenting our talent base to support both near -term and long -term initiatives. Along with this, we have launched transformation programs focused on improving productivity and operating efficiency.

In parallel, we are working with an external consulting firm to define AI first roadmap for Sai Life Sciences. As an outcome of this program, we expect increasing automation to allow our scientists to spend more time on high -value science while enhancing consistency and scalability across operations.

Taken together, these efforts reinforce our confidence in the trajectory of the business and our ability to deliver sustainable growth, deepen customer partnerships, and create long -term value for all stakeholders.

With this, I'll hand over to Siva to walk you through the financials.

Siva Chittor: Thank you, Krishna, and good afternoon to everyone on the call. I will now walk you through the financial performance for the third quarter and nine months ended fiscal '26.

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Sai Life Sciences delivered another quarter of strong financial performance with growth that outpaced broader industry trends. This was supported by a robust commercial pipeline, healthy volume growth across businesses, and continued focus on operational discipline.

For the quarter ended Q3 FY '26, total revenue stood at INR556 crores, representing a YoY increase of 27% compared to INR440 crores in the same quarter last year. Growth was broad -based across the portfolio with the CDMO business contributing approximately 65% of the revenues and the CRO business contributing the remaining 35%. On a year -on-year basis, CDMO revenues grew by around 31% while the CRO revenues increased by approximately 19%. EBITDA for Q3 fiscal '26 was INR191 crores, an increase of about 54% year -on-year, translating to an EBITDA margin of 34%. Profit after tax for the quarter was INR100 crores, up 86% year -on-year.

Turning to the nine -month performance, revenues for nine months fiscal '26 were INR1,590 crores, representing a growth of around 43% year -on-year compared to INR1,115 crores in nine months fiscal '25. EBITDA for the period stood at INR472 crores, up 79% year -on-year, with margins expanding to around 30% from approximately 24% in the prior year. This expansion

is mainly due

to operating leverage on employee costs of approximately 450 bps and material margin of 100 bps.

With nine -month fiscal '26 EBITDA at 30%, we are on course to achieving our stated goal of 28% to 30% EBITDA ahead of schedule. We expect to sustain this margin range of 28% to 30% to enable

us to maximize growth while managing growth -related challenges and optimizing margins. Profit after tax for the nine -month period was INR245 crores, reflecting a year -on-year increase of 199%. From an investment perspective, our capital expenditure continues to progress in line with plan and remains closely aligned with long -term customer requirements. As of date, we have invested approximately INR405 crores towards our fiscal '26 capital commitments. All expansion projects are progressing as scheduled, positioning us well to meet future demand. Current capacity utilization stands at around 60%, providing adequate headroom for growth even ahead of new capacities coming on stream.

To conclude, the third quarter and nine -month results reflect healthy revenue growth, strong EBITDA expansion with meaningful margin accretion, and robust improvement in profitability. Supported by solid demand, disciplined execution, and capex programs progressing as planned, we remain confident in sustaining positive growth momentum and creating long -term value for all our stakeholders.

With that, we can now open the floor for questions.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Binay Singh from Morgan Stanley. Please go ahead.

Binay Singh: Hi team, thanks for the opportunity. I just wanted to go back to this provision that you talked about. So last year in the March quarter we had a INR34 crore s provision. Is it the same one that we've sort of done a reversal of INR16 crores in this quarter? If so, then should we expect the remaining part to get reversed in the next quarter?

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Siva Chittor: Yes, you're correct Binay. So we will do this as we progress in our production on the commercial molecule.

Binay Singh: And Siva, in the last call you also talked about a double digit consultancy charge in second quarter which again will not repeat. So is this the reason that when you give the forward guidance you are still in that 28 % to 30% margin range because these provisions benefit of this year, the consultancy project dropping this year, those benefits will not be there in opex next year, right?

Siva Chittor: Yes, but we are also working on additional things. I think if you look at the presentation, we talked about working on another assignment to get AI enablement from a business perspective. So that also will help us, this is an investment we will make as we start this current quarter and head into the next financial year. So you will have some bits of this, but we are still with the 28 % to 30% guidance after including all of this.

Binay Singh: And in the opening remark, I think if I heard it correctly, you guys talked about 7 new commercial molecules this quarter? Did I hear it correctly?

Krishna Kanumuri: We talked about 7 late stage and commercial molecules this financial year is what we added in the nine months.

Binay Singh: Earlier we talked about that the business will have 18 -20% revenue CAGR over a three -year period . Now this year we'll end up being somewhere in the 30% CAGR . So should we look at that , the growth of some of the forward earlier year -- future years is pulled forward into this year? How to think about it?

Siva Chittor: As we mentioned last quarter Binay, there is nothing that we have pulled forward from the prior quarter. This is a broad -based guidance of 15 % to 20%, not specific to a specific year, but we are very confident and bullish about where the business is today.

Moderator : The next question

comes from the line of Dr. Karthik Bane from Bajaj Life. Please go ahead.

Karthik Bane: Thank you for the opportunity and congratulations on good set of numbers. Just wanted to understand, as I see CDMO part is increasing faster than the CRO part in terms of percentage of sales and revenue. So do we have any specific target in mind , that this would be our ideal percentage of revenue coming from CDMO and CRO?

Siva Chittor: Karthik, thank you. I think we've answered this even in the prior quarters too. We believe broad mix between the CDMO and the CRO business will remain around the 65 -35% to 60 -40%. In one particular year, the CDMO can grow faster, in another year the CRO could grow faster. So that variability can remain, but broadly at this point in time, we believe they will remain within this range.

Karthik Bane: Okay. And my second question is on the molecules. Out of all the molecules we have, can you provide us the split between peptides, ADCs or small molecules? How is it there? How many ADCs are there?

Siva Chittor: We don't provide breakdowns of molecules. I think all that we provide is the number of molecules , Karthik, given data restrictions.

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Moderator: The next question comes from the line of Rahul Jeewani from IIFL Securities Limited. Please go ahead.

Rahul Jeewani: Thanks for taking my question. Sir, can you talk about what led to such a strong gross margin expansion for us during the quarter? So both on a YoY and a quarter on quarter basis, we saw almost 300-400 basis point gross margin expansion. So what led to this and what kind of a sustainable number you expect going forward?

Siva Chittor: Rahul, you're an expert on the CDMO business. You know that this business kind of changes and becomes variable quarter on quarter. So it's very difficult to kind of give you a single answer that I will give you, is business mix and product mix, that is not going to give you a lot of detail. Right, but if you look at the nine months FY '25 to '26, the biggest leverage, operating leverage actually came from employee costs.

We mentioned this, we've been saying this consistently over the last four or five quarters and even during the road shows. What we have been communicating is that as our business grows, we have upfronted certain R&D related people costs both here and outside of the country and we said as business grows, this leverage will be very strong for us to kind of take advantage of. And that is something that has come true.

So the nine months number shows a 4.5% leverage. We've also seen a 1% improvement on the material margin. This is a product mix, this is also on account of process efficiencies that we've been talking about in the last couple of calls. Something that kind of increases your margins and the material margin there is higher. So that then kind of contributes to an average margin which then becomes increasingly good. That's what Krishna had also stated in his speech.

Rahul Jeewani: Sure sir. So on the employee side where you have seen an operating leverage playing out this year, so you expect the same will continue going into next year as well?

Siva Chittor: We would broadly think so. There could be periods where we will take decisions on adding employees slightly ahead as we expand, but the broader trend is to get to the 28 % to 30%. I don't look at it line by line, but what we would commit to the market is a sustainable 28 % to 30%.

Rahul Jeewani: Sure sir. And sir in your opening comments you indicated that obviously you have been outperforming the broader trends in terms of the CDMO industry. So many of your peers are let's say, have got impacted because of inventory destocking in some of their molecules. Now this year has been very strong for Sai and if I look at the presentation, the presentation talks about you sustaining growth momentum going in

to next year as well?

So can you provide some color in terms of how you are looking at growth for FY '27 and is there something in the base business which worries you which could see destocking maybe one or two years down the line?

Siva Chittor: So, Rahul, the reason why we are confident as we head into the next year is that the business at this point in time, we are seeing a fair number of conversations that are strategic in nature that we had mentioned both in this call and in the prior calls. We've mentioned this multiple times in our discussions. Our belief is that CDMOs as an entity do not control stocking or destocking.

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We probably get to know it at the time when it actually happens and kind of lot of times get blindsided. And this is the nature of the business and that's the fact of this CDMO business. The only way that we can kind of protect ourselves or minimize impacts against destocking is to make sure that you have a slightly larger portfolio and we are not concentrated on one or two products that then can impact our revenue.

That's the whole objective. That's how, our portfolio is slightly more broader. You know, if you look at this year, we've added close to 7 products this year, 3 of them gone to commercial, 6 of them are part of the late phase. Objective is to kind of mitigate the risk. I do not have a specific, today if you ask me, we don't have any specific visibility of any product that I know was destocking as of today. But do I know can something destock two years or one and a half years later as you asked? Honestly, we don't know. We don't get that kind of visibility all the time. So our best bet is to kind of protect ourselves by adding more late phase and commercial and also keep adding the early phase products from customers. That way I have a steady inflow into my late phase.

Rahul Jeewani: Of the 7 molecules which you have added let's say too late in commercial phase this year, you said 3 are commercial and 4 are Phase III ?

Siva Chittor: Correct.

Rahul Jeewani: In the past you have indicated the product concentration for the CDMO business. I think our top product was somewhere around 10 %-12% of the CDMO revenue. So are we broadly on those or along those lines for nine months of FY '26 as well?

Siva Chittor: Our top customer will probably be around 12% or so of our total revenue.

Rahul Jeewani: Including both the CDMO and the CRO business, you mean?

Siva Chittor : Correct.

Moderator: The next question comes from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

Alankar Garude: Hi, good afternoon, everyone and thank you for the opportunity. Congrats to the management on a strong set of numbers. Sir, more of a continuation of the previous question as well. Based on the

visibility you have currently, will growth over the next couple of years be more led by new commercial molecules or do you expect the three new molecules that you have commercialized in FY26 to continue to contribute to growth over the next couple of years?

Siva Chittor : We expect the new molecules that we have added to contribute to our commercial growth. We also believe that there are some molecules within our existing portfolio we are supplying that can probably increase in terms of revenues.

Alankar Garude: Any sense you can provide on, I mean, what would be the larger contributor? Would it be the newer molecules apart from the existing ones which you mentioned could grow, but will we see a slightly higher contribution from the newer ones or the existing ones?

Siva Chittor : If I have to look at it mathematically, listen, obviously if a product has reached a certain level, the

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growth from there is just going to be incremental whereas the new ones are zero and then starting to go from there. So

it's obviously percentage wise it's going to grow higher, but there is enough juice left within certain molecules in our existing portfolio that can kind of grow.

Alankar Garude: Okay. I was looking at this more from an absolute standpoint. So just trying to understand what should be the incremental revenue breakup between the newer molecules and the existing ones?

Siva Chittor : Alankar, we don't have that much detail at this point in time. Maybe we can give you a color at a later date as we have seen it. But at this point in time, some of them have just entered. We haven't started, in certain cases we've not even started the first commercial supply yet. So it's kind of very difficult. Also you know certain times first order can be higher, second order can be a little lower. So you all of these nuances are there. So we don't have a very specific number exactly because we don't have that much data from our partners as at this time.

Alankar Garude: Fair enough sir. The second question is, if I look at these three commercial projects and the four which are in the late stage, can you call out in how many of these we would be the primary supplier?

Siva Chittor : Probably two of the three we will be the primary supplier.

Alankar Garude: Understood, that's good to know sir. I mean the third question is if you can list down the top three reasons helping us win more commercial contracts. The reason for asking this is the pace has significantly increased over the last couple of years of us winning commercial contracts and that too pretty meaningful ones. So I mean Krishna spoke about outsourcing team and you have been talking about it for some time now, but apart from that anything else which you would like to highlight which is helping us win more commercial contracts?

Krishna Kanumuri: if you look at the win rate, it is not based on one thing. These are customers we have engaged for the last 15 years. We've made investments working with them to build standards they need. They're working with the same teams over a long period of time both from senior management standpoint and for long period of time, they've tested us.

So these are really coming from years of trust building exercise and when you come into India you choose a partner obviously, you're going to pick one you have a long history with. If you look at most other CDMOs they're competing with, they're relatively new in the space. So I think the fact is our long engagement, even the breadth of relationships, doing across the board. For customers looking purely for commercial work, they may have multiple options. But for development-plus-commercial, we are probably ahead of the curve.

So it's really a combination of everything we've done over the years, which are fairly unique to us at this point which is giving us the disproportionate win rate. There is no one trick saying this is the difference. It's really about 20 years of hard work building this trust with these customers.

Alankar Garude: In view of the higher win rates, are you increasingly inclined to invest in capex slightly ahead of time?

Krishna Kanumuri: We are definitely looking at expansion in capex, but we are also balancing that based on the visibility we are seeing from customers. One thing we are doing differently is that we are not building capacity ahead of technology. What we are seeing is most of the areas we see the

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technology is changing pretty rapidly.

So we are taking a technology first approach to our capacity addition rather than just adding capacity for the sake of adding capacity. We want to ensure that our capacity remains best in class as you see five years down the road, as opposed to having capacity to win projects immediately. We want to really be able to be the company which is not redundant five years down the road. And we are not chasing

the short wins, we are chasing the long-term growth.

Moderator: The next question comes from the line of Ameya Chalke from JM Financial. Please go ahead.

Ameya Chalke: Thank you for taking my questions. I have one question on there is a line we have mentioned on the capex, animal health Phase 1 expansion, Is this block for one customer or has the contract

already signed and how much we have spent for this unit?

Krishna Kanumuri : To be very candid, this is a unit we had actually built for another purpose, but that product did not succeed. So we pivoted that to animal health facility and we work with pretty much all the large – all animal health companies right now. So I think we will be working with multiple customers on this site. It's not just for one customer.

Ameya Chalke: Sure. And how much we have spent for this?

Siva Chittor : The current investment, Ameya, is less than INR50 crores at this time on that site. It will -- we will have a phase expansion plan. There will be some additional capex. We will probably invest close to around INR70 crores, INR75 crores as the next phase.

Ameya Chalke: Sure. And in last quarter we said that we had added one Oligo product. Is it possible to give some color when the supply could start for this product?

Siva Chittor : No, we don't talk about products.

Krishna Kanumuri: All that we can tell you is it's under validation. Once the validation is completed, we will start commercial supply.

Ameya Chalke: On the CRO momentum. We continue to show like 20% plus growth in CRO, while the biotech funding still remain weak and many of the peers are not showing this kind of a growth. So what is working in our favor here?

Siva Chittor : Ameya , one factor that has kind of helped us is the growth we have seen with the large pharma over the last four - five years. Our pharma component within the CRO business was probably negligible, maybe if I you look back five years . But it has steadily increased over a period and that increase is what is kind of helping us grow from over the last two, three years.

Ameya Chalke: You expect this growth to maintain despite the funding remain ing weak?

Krishna Kanumuri: If you look at the trajectory also. You have to understand that we have gone through significant investments like in our discovery business , a lot of the work we do is integrated programs as well. So it's just not pure chemistry. So I think a lot of our business has come from biology, DMPK etcetera plus the pharma pipeline is big enough which is coming to India, it probably give you enough cover for the next couple of y ears.

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I don't think any meaningful new company formation in biotech is going to start at least for the next 18 months, 24 months. But I think there's enough growth in this space for large pharma looking at India. So I think we are reasonably well covered for the next couple of years as the biotech funding kicks in.

Ameya Chalke: We have set the 28%, 30% margin guidance we have already achieved. But is there any scope further to improve these margins and also what will drive it? What are the areas which can help us to improve margins going ahead?

Siva Chittor : I think the way we look at it and we've actually put this in our presentation too Ameya. I think our objective is to sustain the 28% to 30% while maximizing growth. I would probably use that as the model because growth in large pharma comes with open book and transparent pricing. But that can also give us a larger volume and a faster growth trajectory.

We would optimize margins. Can there be additional? Yes, there will be our internal targets are generally higher than the street targets and there is an always a push to kind of do this on a day in day out basis. But I would leave the 28% to 30% as the mar gin from a street perspective while we internally work to do higher work to

move it.

Krishna Kanumuri: Look I think I guess one thing I also want to put in perspective. I know everybody talks about margin, but the reality is you have to understand that pretty much almost every CDMO player, CRO players is subscale compared to China who are operating at 28% -30% margin. And if you end of the day you will have to compete with companies at that scale, which will involve significant investment both in people and costs.

So if you over-optimize for margin, you potentially will be leaving market share never be able to scale and compete in the long term. So I think we have to be careful what we wish for. We believe right now India should be working on getting market share with reason able return as opposed to trying to over optimize the margin, but continue to keep working on optimizing your costs not to be inefficient. But we really have to continue to invest is more so what we are talking about at this point.

Ameya Chalke: So what I understand is that largely we have optimized the margin so there is no low hanging fruits in terms of where we can get the incremental costs?

Krishna Kanumuri: That's not, let me be clear. I'm not saying there's no scope for improvement. What I'm saying that there's always a preference to continue to invest and grow and increase your market share as well.

So that investment could be different type of technologie s, which have a long ramp up time. It could be higher quality people which will take time to settle in. So question is we have to optimize between growth and margin there. So I am just trying to kind of be pragmatic about giving an approac h rather than just saying that there is no scope for cost improvement.

Siva Chittor : As we have committed over the last few quarters, we will continue to operate with financial

discipline both in terms of operating expenditure and capital expenditure and that's something that we will continue to do. If you ask me, would you maximize margins or optimize your growth overall, I would probably optimize my growth where I maximize my growth potential and optimize my margins and to stay steady around the 28%, 30%, but grow faster that would then get us into a dominant larger position, that's essentially what we are saying.

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We are not saying that there is no levers in the business that is not touched. We are not saying that we have exhausted every possible margin option in the business, but what we are saying is that we would stay there and as we kind of grow as we enter into larger capex cycles you will also you will see periods where you will have growth related challenges which is utilizations in upfront investments in people technology, which will also need to get factored into your operating costs. That's why we are saying we'll sustain the 28% to 30%. I hope we gave you a reasonable answer for this.

Moderator: The next question comes from the line of Dhawal Khut from Jefferies. Please go ahead.

Dhawal Khut: Hi sir, I wanted to get your comments on the oligonucleotide space. How do you view this space? Is it like a niche capability to build new relationships and then continue to get you know typical small molecule contracts? Or you think it can become meaningful space in itself on manufacturing side? I ask this question as most of the indication for oligo drugs are for rare ultra rare disease and the volumes are extremely low. So happy to know your thoughts how do you view this space.

Krishna Kanumuri: I think your points are very valid. So if you look at the oligo space right now, there are very few molecules which are large volume indications. But interestingly, if you look at the pipeline, early development pipeline, there is a lot of development going on in terms of new programs in early development. So it's a very old field with few products that have gone commercial.

But what we look at pipeline w

ise right now is the number of molecules in development in oligos have gone up pretty significantly. Where the volumes themselves might not be large, the complexity is fairly high. So from revenue standpoint, they could be meaningful. From a volume standpoint, they might not be that high. But the revenue might be meaningful because of the complexity is molecules. Does that answer your question?

Dhawal Khut: Yes, very helpful. And secondly you know you have given sales contribution from new modalities. So any hierarchy among the four modalities that you have mentioned and specifically any area that you believe is most promising from next 2 -3 years perspective based on you know customer demand and customer conversations that you are having.

Krishna Kanumuri: To be honest, if you have to go back in history you always will have four, five things which are hot. Which two will make it, two won't make it. But today if you have to say which two are going to get very hot, it's very hard to say.

But if you look at history of the discovery sector, it's very hard to pinpoint say and say this is definitely going to be the hottest thing 4 years down the road. It might be out of these four only one or two might be hot. Other two might just kind of go on the back burner. So it's very hard to predict at this point what it looks like 4 years down the road. Very hard to predict.

Dhawal Khut: Okay if I were to force you to make a guestimate which one of these would be?

Krishna Kanumuri: I'm not going to make a guess.

Dhawal Khut: Okay . Just one last one. How are pharma intermediates categorized right now? Are they part of pharma industry or will they be categorized as chemical inputs and you know there could be US

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tariffs of 18% or on them? Or is it part of Section 232 and whatever is the outcome of 232 that will be applicable for various intermediates that you know many of the CDMOs provide. So where is the categorization?

Krishna Kanumuri: I wouldn't worry about categorization because pretty much all pharmas have exemptions from tariffs right now. Almost every pharma has negotiated with the government for reduced, actually no tariffs on imports. Majority of them and majority will. So I don't think that will be a factor in our industry.

Those will be negotiated by pharma sooner than later.

Moderator: The next question comes from the line of Manish Poddar from Invesco AMC. Please go ahead.

Manish Poddar: Hi. I just have two questions. One is you know if you could talk about the healthcare platform which you are wanting to do versus the earlier approach of working by products. If you could probably spend a couple of minutes to help us understand this platform approach which, let's say, global players adopt. Where are we in the journey and what is the thought process behind it?

Siva Chittor: Manish, sorry to interject you. We are not able to hear you clearly. Can you repeat your question please?

Manish Poddar: Okay. Yes, Yes. So, I'm just trying to understand, let's say, I understand you all are incrementally working on a platform approach on the healthcare side versus, let's say, earlier having products as a product suite. I'm just trying to and this is the approach which a lot of global players adopt?

So probably if you can help me understand what is the broader thought process and where are we in the, let's say, journey to better appreciate how is the development for this vertical looking, let's say from medium term perspective that will be helpful. Thanks.

Siva Chittor: As a service industry we don't do any platform -- if you are a discovery player or a pharma, you can actually create a platform technology against which you can screen multiple different compounds or kind of get to different therapeutic areas. We don't do that. Our focus is to create ability in, let's say, 80% of the total broad chem

istry ranges. That kind of gives us that ability to kind of look at a wide spectrum of molecules that you can work with customers.

There will always be one or two niche things, let's say, fermentation or whatever that we probably will not have, but the objective is to create capability across a wide spectrum. And that's really what we are focused on. That will be our chemistry platform that's really and then we add engineering capabilities along that to kind of make sure that we can take it up to the plant. That's really what we do.

Manish Poddar: Just another one. I'm sure in the journey of Sai over the years there have would -- there would have been years when you would have done significantly well and there were have been this inventory stocking destocking which we see in other players this fiscal year. You would have seen that in some of those years in the last you know 20 -25 years of existence?

What are the measures which the company would have adopted in order to offset that, let's say, from our earlier experiences? If you can help us understand, let's say, two three variables that will be useful. Thank you. And congrats on the performance. Than ks.

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Siva Chittor: We have definitely seen years where we have seen destocking and I'm not going to say this was a few years ago. We have seen products that have undergone destocking and we've been hit by in those years. I think the lesson that we picked up from that scar wa s that try and keep your portfolio as broad as possible.

We don't tend to get excited only if a molecule is \$10 million, \$20 million or \$50 million. We tend to get excited if a molecule is \$5 million -10 million. Because that's a reasonable size for on an average to kind of work for. That also helps you or gives you an ability to quickly add additional molecules within the pipeline to kind of take care of ups and downs. Because there is no way a pharma services company like us controls the destocking. We get impacted by destocking when it gets announced. So that's th e only thing that we can do and that's what has been our focus.

Manish Poddar: Okay. Got it. No, so because you effectively mentioned that the top customer is 12% and product diversification is at play and there are new venues of growth coming into play. So, I hear you. So, got it. Thanks.

Siva Chittor: Thank you.

Moderator: The next question comes from the line of Nirvana Laha from Badrinath Holdings. Please go ahead.

Nirvana Laha: Hi, thanks for the opportunity. I have a couple of questions. The first question is on your revenue recognition. Is it always the case that you recognize revenues after dispatch? Or do you also have some take or pay kind of contracts where as per the contrac t you recognize revenue even if there are no dispatches?

Siva Chittor: So, our revenue recognition is based on completion, not based on dispatches. A detailed revenue recognition policy is actually in our financial statements and you would actually see how we recognize revenue. And this is fairly in sync with the global prac tices and in consonance with the IFRS and Ind AS regulations.

Nirvana Laha: Sure. So, just to sort of clarify that means that there would be certain commitments or contracts from customers where revenue recognition would happen as part of the contract and not depending on dispatch, right?

Siva Chittor: Yes.

Nirvana Laha: And typically if you are comfortable sharing what would the mix be out of 100% of these kind of arrangement?

Siva Chittor: We would not share those details, but any contract that becomes eligible there are certain regulations under Ind AS that allows you to recognize revenue on a on a completion basis and as long as a particular contract satisfies that that criteria then we will be able to recognize revenue. If a contract does not satisfy that criteria then we will recognize revenue ba

sed on dispatch.

Nirvana Laha: Sure, sure. Understood. And the payment would definitely be linked to dispatch in either case or would the payment from the customer also sometimes get triggered upon the revenue recognition?

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Siva Chittor: In certain cases it gets triggered by a different milestone rather than dispatch. In certain cases it gets triggered based on dispatch.

Nirvana Laha: Okay. That's helpful. Second of the seven molecules the late stage ones that you have added this year, could you highlight if you see blockbuster potential in any or are all of them small just curious to understand?

Siva Chittor: We don't look at blockbuster technically from a customer perspective as long as the API is complex, even if a product is, let's say, \$500 million, I may make more money than a \$5 billion molecule where I am doing two steps. So honestly it does not matter whether the end product is a blockbuster. But broadly we can see at least a couple of products could have decent run from a Sai revenue perspective. At least that is our read based on what we are hearing from industry sources.

Moderator: The next question comes from the line of Yash Doshi from Unifi Capital Private Limited. Please go ahead.

Yash Doshi : Congratulations for good set of numbers. I just had a question regarding this Biosecure Act . For the past 1 - month are we seeing any customer RFQs for the existing commercialized molecules, like shifting from China to India as second source?

Krishna Kanumuri: So we've seen molecules shifting from China to India. We saw a fairly large tranche around the '23 - '24 timeframe. If you actually look at our DRHP we actually mentioned the number of molecules we tech transferred. A significant portion of the molecules that we tech transferred during that phase was primarily a supply source diversification.

Outside of that, we see tactical movements in even outside of just a Biosecure worry, I think customers always go for a couple of sources. If a customer already has a China source, they would probably look at an India or a European source to kind of complement that. And or if it's an India source as a first supplier then they would probably look at a Chinese European source.

So there will always be a supply chain tactical, and we continue to get opportunities on the tactical side too. But we did a fair bit of movement when you know around the '23 -'24 timeframe when there was this first tranche that moved.

Yash Doshi: Okay. And regarding our facilities which will be coming online next year. Do we see a ramp up of those facilities in near term or it will basically depend on the any customer demand? Like I was asking this question relating to your margins as well because I think in '22 -'23 phase also I think we commercialized a facility then for initial three year as the demand was not good the margins tapered off a bit. So in that perspective as we are adding significant capacity next year. So I was just asking how will the ramp up be?

Siva Chittor: So the statement that I made with respect to sustaining the 28 % to 30 % without saying I will grow, I had also suffixed it by saying that this will also take care of growth related challenges which could be you know costs inefficiencies, that could get built, on account of upfronting people investments or operating expenditure investments.

And our long -term goal continues to remain the 28% to 30%. While you were right in pointing out Sai Life Sciences Limited

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the fact that in '22 or '23 the margin profile had dropped. The fact is that post '23 we've grown faster or probably we probably had one of the fastest growth in the sector, primarily because we had upfronted certain investments.

And the decision to invest or take an upfront expenditure on R&D or operating expenditure or even capex will

be guided or will continue to be guided by longer term factors and also visibility from our customers. So it will not be a one -year decision and that some thing that we are willing to take to grow the business longer term.

Yash Doshi: Regarding the animal health business I think by 2027 our facility will be coming online. Since animal health, generally what we have seen is, basically a larger share comes with a CDMO partner compared to a pharma product as in general. So are we working on molecules in the R&D phase, and do we expect the orders to start flow once the facility gets commercialized maybe in FY'28?

Siva Chittor: It's a little bit of slightly more technical and slightly long winded, but I will say that we currently do certain products in that bucket. We've also mentioned and I think Krishna mentioned in his speech that somewhere in 27 we would start we intend to validate a product

As we complete the phase one expansion from the site, and it probably take filing time before the product becomes commercial. At least that's really the indication at this time and that's really what we are focused on. We work with three out of the top five animal health companies and we believe there are significant opportunities particularly on the companion health space which is what we are focused on.

Moderator: The next question comes from the line of Rahul Jeewani from IIFL Securities Limited. Please go ahead.

Rahul Jeewani: Thanks for the follow -up. So sir second half of this calendar year would be quite busy for us in terms of commercialization of several facilities. So we will have the process R&D lab, the peptide lab and then this 450 KL incremental capacity also coming in?

So can you talk about in terms of, how the discussions have been ongoing with customers in terms of ensuring, that we hit, let's say, a steady state kind of a utilization for all this infrastructure which we are putting up? And particularly if you can also talk about in terms of the discussions with the

customers as far as the peptide space is concerned?

Krishna Kanumuri: Look as far as capacity we have let's say we talking about ADCs. We have several pharma customers right now which we are doing a lot of discovery work with who want to expand with us. There are companies we are doing development work with optimization of peptides which we need capacity for.

There we have a reasonable visibility in terms of both peptide expansion as well as the ADC expansion. The plant expansion also is based on the fact that we have several new molecules adding to the pipeline, plus we also have several commercial discussions ongoing at this point also which we feel fairly comfortable we don't need that capacity come online to fill it up.

Again what timing is it going to be a quarter here quarter there, when the product comes is there but
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is not capacity building with let's say a three -year visibility upfront. These are shorter windows where we think we can fill the capacity up. But it's not like real time that the plant is ready and you have something to go because, but at least the capacity coming online is based on relative visibility with conversations we having with customers.

And with customers where we have active engagements going on or we have products already in development Phase 2 potentially going to Phase 3 and we see that needing capacity going forward. They might fail then they might not make it, so there's not easy a answer but it's based on an educated guess based on what we're seeing from pipeline standpoint.

Rahul Jeewani: Sure sir. And beyond this 450 KL which we will add in FY'27, do you think that for a year or two we might go slightly slow in terms of ramping up this utilization before adding incremental capacity or with the visibility which you have right now do you think that we might need to embark on a

nother

capacity expansion in FY'28 itself?

Krishna Kanumuri: Rahul, we had if you had mentioned we already are starting expansion to a new site in Hyderabad about other side of Hyderabad where we also are going to start implementing and hopefully have that up and running the next 18 -24 months. And we will need that capacity also coming online.

Rahul Jeewani: Okay so this is beyond the 450 KL which you are already adding?

Krishna Kanumuri: Correct.

Rahul Jeewani: Okay and what kind, and have we have we drawn up plans in terms of what kind of a capacity would we be putting up at this new plant?

Krishna Kanumuri: I give you very broad guidelines. There will be a non -GMP capacity because a lot of customers want us to go faster early stage so we will be setting up non -GMP capacity to accelerate development.

There will be significant peptide capacity based on forecast from our pipeline, and also GMP capacity additional GMP. It's going to be a mixed use facility coming up. So it will give us much more diversity of platforms than we have at this point.

Rahul Jeewani: Okay sure sir. And sir just one bookkeeping question you said that the remaining part of the INR34 crores write -off which you had taken last year so INR18 crores, then you would reverse in fourth quarter of this fiscal year?

Siva Chittor: So what I said is we will reverse as we get the recognition and ability to reverse, we will do that.

Rahul Jeewani: Okay but not specifically in the fourth quarter so as you as you go ahead you will do that?

Siva Chittor: As we go ahead, we'll do that yes.

Moderator: Thank you. Ladies and gentlemen due to time constraint we will take the last question from Dhaval Khut from Jefferies. Please go ahead.

Dhaval Khut: Hi sir just one question. Wanted to know your comments on GLP based product in our pipeline. Are they peptide based, non -peptide based? Are any of them in the clinical stage like Phase 1, Phase 2?

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That will be very helpful.

Siva Chittor: So Dhaval we don't comment on specific product pipeline. Other than two products that have already been launched , everything else is still in clinical pipeline . And you know who are the two players who are commercial at this time on the products . So anybody who is working today on it is right now working on a on a product that's not commercial yet. I'll leave it at that.

Dhaval Khut: So can I you know interpret that that some of them the products that you are working are in commercial beyond the discovery stage? So will that be the right interpretation?

Siva Chittor: I will leave you to interpret Dhaval. I will not comment further.

Dhaval Khut: Okay no problem that's it from my side. Thank you.

Moderator: Thank you. I would now like to hand the conference over to management for closing remarks.

Siva Chittor: Thanks everyone for the presence and taking time on the call. I hope we were able to provide you the right answers and if you have any specific questions that we have not answered, please be feel to reach out to us at investorrelations@sailife.com . Thank you have a great day.

Moderator: Thank you. On behalf of Sai Life Sciences Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This transcript has been edited, without altering the content, to ensure clarity and improve readability.)

Call: May 2026

Sai Life Sciences Limited
Q4 FY26 Earnings Conference Call
May 15, 2026

MANAGEMENT : MR. KRISHNA KANUMURI – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER –
MR. SIVA CHITTOR – WHOLE -TIME DIRECTOR AND
CHIEF FINANCIAL OFFICER– SAI LIFE SCIENCES
LIMITED

MODERATOR : MR. DIWAKAR PINGLE – EY

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Moderator: Ladies and gentlemen, good day and welcome to Sai Life Sciences Limited Q4FY26 Earnings Conference Call. As a reminder, all participants will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Diwakar Pingle from E&Y. Thank you and over to you sir.

Diwakar Pingle : Thank you, Yusuf . Good evening to all the participants on this call, and good morning if you're logging in from the West. Before we proceed to the call, let me remind you that the discussion may contain forward -looking statements that may involve known or unknown risks, uncertainties, and other factors. It must be viewed in conjunction with our business risks that could cause future result performance or achievements to differ significantly from what is expressed or implied by such forward -looking statements.

Please note that we have mailed the results and the presentation, and the same are available on the company's website. In case you have not received the same, you can write to us and we will be happy to send the same over to you.

To take us through the results and answer your questions today, we have the top management of Sai Life Sciences, represented by Krishna Kanumuri, Managing Director and Chief Executive Officer, and Siva Chittor , Whole -time Director and Chief Financial Officer.

We will start the call with a brief overview of the quarter and the full year gone past , which will be followed by Siva focusing on the financials , and then we'll go over the Q&A session . With that said, I'll now hand over the call to Krishna Kanumuri . Over to you Krishna.

Krishna Kanumuri: Good evening , and thank you all for joining us today. We are pleased to report that Sai Life Sciences has delivered a strong performance in FY26 with overall revenue growth of 29%, EBITDA growth of 56%, and PAT growth of 109%. Both our CRO and CDMO segments registered healthy growth despite operating in an environment characterized by geopolitical uncertainty, supply chain disruptions, evolving regulatory expectations.

This performance underscores the strength of our integrated CRDM O platform and our increasing relevance to global innovator companies. A key highlight of our growth continues to be increasing contribution from large pharma in FY26 . The revenue contribution from our 19 pharma clients went up from 28% FY22 to 49% this FY26 . We are increasingly seeing a trend of large pharma moving to consolidate the full life cycle from early development to commercial manufacturing, similar to trends witnessed in China.

Our CDMO strategy remains firmly anchored on deepening engagement with large pharma clients. As you are aware, Sai Life Sciences today works with 19 of the top 25 global pharma companies. We believe that this foundation gives us a strong platform to build our growth on. We continue to build a strong pipeline of commercial molecules with the tally standing at 34 commercial molecules, 11 in Phase III pre-registration, and about 155 in earlier stages of development.

Importantly, we are also seeing strong traction in our dedicated development R&D team model with large pharma, an initiative we started scaling last year. We believe this model will fundamentally

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reshape how we partner with large pharma towards a larger, more customized and longer duration programs.

On the CRO side, our Integrated Discovery strategy continues to gain momentum, particularly with biotech customers. Our CRO revenue mix bet

ween pharma and biotech stands at 48% versus 52%.

We're also seeing increasing cross-selling opportunities with our CDMO large pharma customers, reinforcing the strength of our integrated model.

A key differentiator for us is our focus on automation and scale in DMPK and biology, enabling us to handle large integrated programs for our clients. At the same time, we are investing in next-generation technologies, particularly in ADCs, where we are seeing significant interest and program inflow from large pharma.

Let me touch upon a few broader industry trends shaping our strategy. First, evolving regulatory landscape, particularly the FDA's push towards newer approach methodologies is expected to reshape discovery workflows over the next several years. While animal testing will continue to remain relevant for complex toxicology and global regulatory environments, we expect increasing demand for biology-heavy discovery services, including in-vitro biology, human cell-based assays and organoids. We believe Sai is well-positioned to capitalize on this shift, and we continue to invest in these areas.

Second, biotech funding has shown encouraging signs of recovery with year-to-date funding up 52% year-over-year, and April 2026 funding reaching \$10.6 billion, up over 4% year-over-year. IPO activity has also strengthened significantly. While funding remains somewhat constrained at larger late-stage biotech companies, this trend still supports overall CRDMO demand, particularly through increased outsourcing and program progression.

Third, we are closely monitoring the evolving global trade environment, including potential tariff-related developments. Encouragingly, we are seeing large pharma increasingly structure deals in a way that mitigate tariff exposure.

We also remain mindful of near-term challenges. Ongoing geopolitical tensions, including the Middle East situation are impacting input costs and disrupting logistics of supply chains. Despite this, our customer conversations and visibility give us confidence as we enter FY27. We continue to believe that our growth will be led by pharma, driven by increasing outsourcing intensity, movement of biotech assets into pharma pipelines, and strategic long-term partnerships.

As we scale, a few priorities remain central to our approach science-led capacity expansion rather than purely reactor-led growth; continued product and pipeline diversification, especially in CDMO given the inherent variability in product life cycles; careful management of customer concentration. In FY26, top 10 customers contributed 54%; top 5, 37%; and top 1, 12% of revenues.

Our top customer engagement spans multiple services, reducing concentration risk at any service level. Given the momentum we have seen through FY26 and the nature of customer discussions underway, we are entering an increased investment cycle to support future growth opportunities.

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Our current estimate for investments in FY27 is in the range of INR1,100 crores to INR1,300 crores. Importantly, these investments are being undertaken either with clear demand visibility or through active strategic conversation with the large pharma customers.

Finally, on the digital and AI transformation, we are investing in capabilities that improve productivity, speed and transparency across the organization. We believe this will be an important lever in enhancing competitiveness and narrowing productivity gaps across the industry. At the same time, adoption of AI within the CRDMO sector must be carefully balance customer confidentiality and data security considerations. Over the next 18 months, 24 months, we expect AI and digital to become increasingly embedded not only in enabling functions, but also across core scientific and development workflows.

As we enter FY27, long-term opportunity for the CRDMO sector remain

s very robust and our

integrated model with strong pharma relationships and technology investments position us well for sustained growth. We would like to reiterate our stated aspirations of maintaining revenue growth of 15% to 20% while maintaining EBITDA margins in the 28% to 30% range over a three-year period. Just a pointer, given some of our new capacities and investment progressively coming on stream during the year, we expect the second half of FY27 to be stronger than the first half.

With that, I will now hand it over to our CFO, Siva to talk through the financial performance.

Siva Chittor: Thank you, Krishna. Let me begin by reiterating that fiscal '26 has been a year of strong financial performance and disciplined execution. We delivered a revenue growth of 29%, an EBITDA growth of 56% and a PAT growth of over 100%. This growth was supported by balanced contribution from both the CRO and the CDMO businesses alongside continued operational efficiency.

The CRO and the CDMO business for the year demonstrated a healthy growth rate, 24% for CRO and 33% for the CDMO business. Our revenue contribution from the top 19 out of the 25 global large

pharma companies increased to 49% in FY26 as compared to 28% in FY22, demonstrating the steady deepening of our strategic relationship.

Our revenue mix continued to evolve in line with strategy with increasing contribution from pharma clients across both segments. While the overall revenue growth in fiscal '26 was 29% as compared to 16% in FY25.

The year fiscal '26 witnessed a relatively even distribution of revenues with the split between H1 and H2 being 48% and 52% , respectively, as compared to 40% and 60% in fiscal '25. In addition, Q4 in fiscal '25 was skewed at 34% of the total revenues as compared to 27% in fiscal '26.

As we've often stated, the CRDM O sector is inherently characterized by a degree of quarterly lumpiness, particularly as projects transition across different stages. While this will lead to periodic fluctuations in revenue and margin, as Krishna mentioned, the long -term opportunity for th e CRDM O sector remains robust , and our integrated model with strong pharma relationships and technology investment position us well for sustained growth. We remain confident in our ability to sustain our long-term revenue gr owth guidance of 15 % to 20% and the EBITDA range of 28% to 30%.

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As we enter fiscal '27, a key focus area for us is to invest in proactive capacity creation aligned with customer demand. In fiscal '26, we incurred a capex of INR633 crores against the budgeted spend of INR700 crores. For fiscal '27, we expect capex in the range of INR1,100 crores to 1,300 crores, split between CDMO at 65% and CRO at 35%. We expect to fund the capex through a mix of internal accruals and debt.

Our capex allocation will be split across capacity expansion, capability and technology. 75% of the capex will go towards capacity expansion and the balance towards capability and AI and technology. At the same time, while we've put these numbers of INR1,100 crores to 1,300 crores, we will continue to calibrate the pace and the phasing of these investments in line with the evolving business environment and closely align the spend with our customer 's strategic priorities and demand visibility. Importantly, o ur approach to capex remains science -led as Krishna mentioned, rather than capacity -heavy, ensuring flexibility and higher long -term returns.

During the year, we navigated external headwinds including increases in input costs and higher logistics cost , and shipment delays arising from evolving geopolitical environment , which are still continuing. At this point, we do expect some short -term impact on our cost structure. We have approached our customers for appropriate cost revisions in certain areas. However, we believe that the recovery of these

increases may not always be contemporaneous with the incurrence of costs. We continue to manage these challenges through operational efficiency, strategic sourcing initiatives, disciplined execution and ongoing engagement with our customers.

In closing, I want to reiterate that we remain committed to disciplined growth, prudent capital allocation and margin resilience . Our balance sheet remains well -positioned to support the next phase of expansion, both in terms of debt and in terms of internal accruals that we are projecting. Near -term volatility can persist , our medium to long -term outlook remains strong.

With this, we'll be happy to take your questions.

Moderator: Thank you very much, sir. We will now begin the question -and-answer session. The first question is from the line of Binay Singh from Morgan Stanley. Please go ahead.

Binay Singh: Hi, team . Thanks for the opportunity. My first question will be on the capex announcement that you shared. We've seen a very sharp increase in capex from INR200 crores or so that we did two years back to now taking it up to INR1,300 crores. Could you talk a little bit about what is giving us the confidence for this level of jump in capex ? And is there any one -off project that you're doing next year, which is leading to this, or this becomes our new level of capex ? Could you share thoughts on these points?

Krishna Kanumuri: Binay, if you look at what we had indicated as capex couple of years back, it was based on what we thought the demand was. But if you look at the last 18 months or so, we've been getting more involved with customers across the value chain. And as we work with them closely, they're giving a better sense of w hat they would like us to look like , and what volume they could potentially come in our direction on the discovery side.

And CDMO side, as we are getting into more integrated collaborations, really being development partners, we're having greater visibility in terms of pipelines rather than waiting for RFPs to come

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through. So , I think given what customers are telling us, where we have to go in terms of technology, in terms of better visibility of what they have in the pipeline and what potentially can come our way .

And what they want us to see in terms of other technologies coming in is building next -generation technologies, ADC development, for changes in peptide development, in terms of high -throughput screening and biology to do more integrated programs, and in terms of the level of data exchange

they need between us and them, and also just the visibility in terms of not only what they are giving us for development in pipeline, we're seeing a lot more of the programs than we have in the past, and that will give us better sense of what likely will translate probably 12 months - 15 months down the road to commercial manufacturing.

So, it's just better visibility, a better engagement with our customers across both diversity of areas to invest in, like, a new area was we were not very sure about what formulation would look like, but we're seeing a greater need for formulation development early on. And so there's a lot more new things we're getting from customers as we engage more and more with them.

What is extremely clear is companies want to develop strategic partners in India at this point, and they want to see who will be relevant in next five years, and they want to see partners who can understand, work with them and build along with them, and that's how we're playing this game at this point. So, we have a lot of conviction behind these investments.

Binay Singh: One thing I notice in your presentation, you've added one more large pharma customer, earlier you were working with 18 of 25, now it is 19. And did I hear you correctly in the opening remarks you said that you are now have a dedicated research tie-up for

or large pharma?

Krishna Kanumuri: No. That's not what we're talking about. What we're talking about is what pharma has done. So, if you look in the past, pharma never gave us late-stage opportunities for outsourcing and process development. They generally used to give us lateral tech transfers. So, over the last couple of years, several large pharma have started getting into FTE agreements for late-stage and mid-stage development.

This is not a dedicated facility or anything of that kind, it's just that these are dedicated FTEs we are running for large pharma between our global sites both in India and Manchester, which has greater visibility into doing development, so they're mid and late-stage assets. And that's what we mean by that, as opposed to a dedicated center, they're dedicated FTE teams working on development. I hope that clarifies that.

Binay Singh: That's very clear. And lastly, could you comment a little bit about where the capacity will go with this capex? And that's it from my side. Thanks.

Siva Chittor: The capacities that we are adding today, our current capacities will take us to around 1,150 KL capacity that we had mentioned as far as the Bidar capacity expansion is concerned. What we are doing, a lot of this is actually going towards; one, our investments in discovery; second, there is investments in development phase that is adding to our cost numbers.

If you remember last year, we had mentioned to you that we had started the plan for going from 700 KL to 1,150 KL, and we said that the FY26 capex would only take into account capex that will be incurred in that fiscal year, while both the plants will not get completed, a majority of the capex will

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also fall in this year. So, capacity expansion, as I mentioned earlier, out of the INR1,100 crores to INR1,300 crores capex direction that we have provided, 75% of that will actually go and satisfy capacity requirements, 25% will be for capability.

Moderator: Thank you. Next question is from the line of Amey Chalke from JM Financial. Please go ahead.

Amey Chalke: Thank you for giving the opportunity, and congrats to the management on good numbers. So, the first question I have, the CDMO segment has delivered more than 30% growth during FY26. So, what would be the outlook for '27, '28?

While answering that, there are two data points from the PPT. One is we have added two large pharma customers on the commercial supply side, as well as our commercial products have gone up from 30 to 34 from the last quarter. So how these two, three opportunities on the commercial side in terms of the scale, as well as in what areas these opportunities are? Thank you so much.

Siva Chittor: Thanks. So, Amey, on the CDMO side, as stated earlier, including the last conference call, we had mentioned there are three new products that have actually gone commercial, and we've added one more product since then, which makes it 34. So, some of them, at least a couple of them will see production and commercial revenue starting this year.

Other question, Amey, you asked about is how is the growth prospect? I think, we believe that the CDMO, as we start this fiscal year, based on the visibility, we believe the growth will be strong and we're confident about a good financial year at this point in time.

Amey Chalke: Sure. And the second question I have on the margin front. You have given the guidance that we will aim to maintain margins in 28% to 30% range, but there are two headwinds for the margins. One is the RM cost inflation, which could be there next year, as well as the capex, which is getting commercialized at the end of the year or the second half of the year. So, how should we look at the next year particularly in terms of the margin? Thank you.

Siva Chittor: Our stated aspirational margin is to remain around the 2

8%, 30% and I'll tell you two reasons for it.

One, with pharma generally there's an open-book pricing and from what we've seen, and we've seen this across the Chinese companies operating at much larger scale, the margins tend to remain between

the 25 % to 30%, which is what we've seen and our pricing with pharma indicates that a 28% to 30% is much more comfortable from a pharma pricing perspective.

The second thing, I think, will there be an operating leverage as we scale up? Yes, but there's also capacity coming in and there's going to be some amount of inefficiency as we scale up new capacity, which would then add cost into the equation. So that is also something that we need to take care of and that's why we're giving you an aspirational guidance of 28% to 30%. I know we've hit 30% this year, but we still want to give you with this guidance and this is consistent with what we've stated all through including last quarter.

Amey Chalke: Sure. The last question if I can squeeze in on the CRO side. This is the second year I believe where we have delivered 20% plus growth, and over these years the large pharma contribution or the big pharma contribution have consistently gone up. So, is this contribution going up, is it incidental because the biotech funding has slowed down, or is it also strategic in nature and should we expect this large big pharma contracts to keep driving our CRO business going ahead? Thank you so much.

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Krishna Kanumuri: So, I think, they are actually both at play, right? One is strategic. I think large pharma is very clear that they want to build the India footprint. I think the large pharma business did not exist in India couple of years ago. There were only two, three large pharma who were actively doing med-chem in India, I would say as close as three years back. But now every large pharma is looking at coming to India to do discovery. So, this will be a structural trend for the next few years in terms of -- as they pick partners.

But also I think biotech is just going through a little bit of a slowdown as well on the new company formation, and we expect that to pick up in the next couple of years. So, I think secular trend you will probably see larger pharma coming in and filling the gap for the next couple of years, but biotech will come back in the next 24 months and give us secular growth. So, I think from that way the industry is well-positioned for both short and long-term as where we are right now.

And we're also at the early part of this big wave. People are just coming to chemistry, but eventually the whole goal right now is to be fully integrated. So, I think the opportunity is significant for us, because our integrated story is something we've invested in on the biology and DMPK front, which should probably give us an advantage in terms of being a preferred choice going forward.

Moderator: Thank you. Next question is from the line of Sajal Kapoor from Antifragile Thinking. Please go ahead.

Sajal Kapoor: Thank you, for giving me this opportunity. In emerging modalities, many outsourcing relationships begin in discovery, but don't necessarily translate into late-stage clinical or commercial manufacturing. So, I'm alluding to one of your other CRDM competitors in India, a Bangalore-based company. What precisely increases the probability that Sai retains a molecule across the life cycle, and where do you still see the highest leakage points today? That's my first question. Thank you.

Krishna Kanumuri: So, I think there's a difference in how we have been built versus other companies. If you look at where we have been built from day one, so we actually were a discovery company first, but then we took a gap in terms of discovery investment and went very heavy in terms of becoming a preferred commercial partner. And so as we become a preferred commercial partner,

we also now in the last

few years have become a preferred development partner.

So, we right now are working with companies in all three areas; discovery, development and commercial. And what is happening because we're integrated, there's a technology thing. So essentially what happens is when you're doing discovery, people are looking at newer technologies like ADCs, first-generation ADCs will be very different from next-generation ADCs. And so, whatever we're doing in discovery, the development teams also are doing development to reflect what their new generation ADCs look like, and what the technologies are.

So, because we are partners there as well and we are commercial partners, it's much easier for them because we're qualified by all three departments to work with them, whereas, other companies have not made that transition. Either they're very manufacturing heavy or discovery heavy, and they overlap a little bit on the discovery side, a little bit on the development side, but we're the only company really stitched all these together and we're approved by all three of these areas.

And that's the strength why we believe that we can retain a majority of the molecules, but that said, some molecules definitely leak out of us, because either we don't have specific capacity, people want

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diversity, or they want to take the molecules in-house. But the chances of us retaining are higher than most other players at this point. That's how I would frame it.

Sajal Kapoor: Thank you, Krishna. That explains the whole scenario very well. So, thank you for that. My second question is, historically many CRDM O scale revenue faster than organizational capability, which eventually creates execution fragility.

So, in that context, as Sai increases integration across discovery, development and manufacturing,

where do you believe complexity is compounding faster internally, or fastest internally, that is complexity is compounding fastest internally, and what are the leading indicators you monitor before those stresses show up in numbers or financially? Thank you.

Krishna Kanumuri: That's a very broad question, but again, unfortunately, we're at a point right now that we are getting into a very interesting part. We're scaling capacity, we're scaling technology, and we're getting deeper in relationships. So, I think what gives us the advantage to understand where the gaps are, because we are very deep in relationships and not doing one-offs, we get to have a much more visibility in terms of what we are doing from a performance standpoint.

I think, if you ask me where the key gap will be down the road, is really figuring out how AI plays a big role in terms of bridging the productivity gap vis-à-vis India and other geographies so to speak, and getting the right talent pool who's next-generation ready in terms of working in the digital space, because we believe AI is a great equalizer in terms of, one, is intellectual horsepower in terms of basically knowing what's going on everywhere, more rapid problem shooting.

So, I think we're putting all the tools in place so we have a much better view of how to scale up, where the gaps are, and be proactive in terms of scaling up at this point. So, the idea is there's no magic bullet here rather than having your ears to the ground, talking to your customers regularly, and this is a 24/7 business. It's about every customer, every product one day at a time, and that's how we are able to scale up. It's that's really how it works.

Siva, you want to add something to this?

Siva Chittor: So, to add to what Krishna said, the one advantage that we've seen, working with these large pharma companies gives you an edge. Because you work with them closely, they actually train you, they work with you, they teach you their thought processes, everything from setting up of a lab,

setting

up of experiments, how do you train, what kind of things to look at, how do you look at a problem.

So, I think that gives us that ability to understand things. And what we are doing to reinforce and strengthen this, we have just taken this as part of our learning, we've created our own, what we call an internal Sai Academy that then reinforces this teaching not just to that team that is involved with any particular program to broad-base this across the organization.

This is now headed by a senior head of research from a large pharma who has now taken this full-time as an activity so that this can be a focus area for us. And that's how we make sure we keep at technology and science that keeps changing every day.

Krishna Kanumuri: And just kind of adding to that. One thing we keep talking about is that we are building a technology-led growth, so we really are focused on building the foundation, just not trying to over-index in one area, because we realize that if you over-index one area, then you're really not building the

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foundation. So, we are very, very clear that we want to get the foundation right here and that's where we're spending most of our effort. Sorry, go ahead, if you had another question.

Sajal Kapoor: That's sensible, Krishna. Thank you for that. Just on that AI thing, I mean, is it homegrown capability, or is it something off-the-shelf that even the competitor can buy off the shelf? I mean, how do we plan to differentiate AI, so that it adds to the real advantage?

Krishna Kanumuri: Look, I think it's a question of getting the framework ready for using AI, and there are a lot of tools coming in. One is obviously you want to use the tools available, and you have to understand we're going to be restricted in terms of what we can use of customer data. So how much internal data we can use is going to evolve. Right now, we have to depend on external sources, but it's not a question of just integrating AI, it's a question of what is the long-term strategy of how you integrate across the board. It has to be a fundamental shift, it cannot be I'm buying a single tool and this is what's going to work. It's not a single tool, it's a complete way of operation has to change.

And right now we don't know how it's going to evolve in terms of internal tools, what customers want from IP standpoint. It's early days, but the idea is to make ourselves digital-ready to be able to plug-and-play different tools as they come in, but our core processes themselves should be data-rich to give us the opportunity to evolve with as the tools evolves.

Moderator: Thank you. Next question is from the line of Girish Bakhru from Orbi Med. Please go ahead.

Girish Bakhru: Thanks for taking my question. Just on the Sajal's question, actually on the new modalities, Krishna, possible to give a ballpark figure you are targeting for revenue contribution from new modalities by say FY30, given they are right now sub -10%?

Krishna Kanumuri: Right now we're not in the position to give that information yet at this point. So, we're not that far along to be able to give projections of what that will be. But generally what happens if you really look at the trend of CROs just to be put in perspective. We tend to basically follow whichever way the pharma companies are going.

If you look at where pharma is going today, it's 50% pure small molecule, then the next 30% will be peptides, oligonucleotides and ADCs. So that's what they consider biologics, 80% is going to be covered there.

So, over a probably a five to seven year from now, you would see a similar mix in purely from, a not the Sai perspective, but anybody who plays in these areas, you tend to follow the customers from that

standpoint. If you look at the way the market is -- that might flip , right, in two years people might think , no, peptides are

useless, we go someplace else, but it's very hard for us to forecast what it looks like, because we are almost like we are following the customer , and that can switch anytime. But the important part of being a CRO , in our opinion , is to be a fast follower, be close enough to be able to change the trend, but not be on the bleeding edge where you're left with the dead investment. So that's , kind of, how we look at it.

Girish Bakhru: Understood. And , of course , you've highlighted four of these key ones. Just one key question there, I mean, there are a lot of low -hanging fruits, but where do you think you will potentially take a high market share? Is it more peptides or you're doing right now fragments, you're limiting yourself to Sai Life Sciences Limited

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amides and oligos, ADC side also you said that you're evaluating clinical conjugation. So , which area do you think will be a possibly a big a focus area of these four and probably easy to do as well?

Krishna Kanumuri: Very hard to say at this point. I'd love to come and give you that, but I can't really give you the exact sequence how that's going to go . It's hard . Right now, honestly , we can't predict that at this point.

Girish Bakhru: But, is there any area where customers are asking you ?

Siva Chittor : There's a lot of the in the pipeline, clinical molecules, so you never really know , which will go ahead, which will come down . So, there's going to be other things that will influence the number and the revenue, and that's why it's a little difficult to give you a specific growth rate or a number at the end of a particular period.

Girish Bakhru: Understood, understood. And just last one, I mean, this is probably more like an industry -wide question. We've seen so many companies talking about these new areas, but very few investments going into biologic manufacturing. Do you have any plans for that in future?

Krishna Kanumuri: Look, we evaluate all options and when we're ready to take a position, we'll kind of communicate, but obviously we're evaluating every market at this point. And , obviously , we're looking at all options and even if you look at biologics, you decide where to play. Again, we are constantly talking to customers to see where the demand is, where the gap is, and as our strategy evolves, we'll definitely inform you guys how we look at it.

Moderator: Thank you. Next question is from the line of Sidharth Negandhi from CWC. Please go ahead.

Sidharth Negandhi: Hi, thanks for the opportunity. Just wanted a couple of quick clarification. One, the new technology revenue salience went down from 7% to 4%, which means that in absolute terms also there is likely to have been sort of a decline on a year -on-year basis. If you could explain, what caused that, was there a one -off earlier , or was there any particular project that did not go through from one stage to the to the other, if you could give us some color on that?

The second one was you mentioned about some of the capex being on AI. If you could tell us what's the nature of that AI capex that you are putting up ? That'll be helpful.

Siva Chittor: On the first question, I think we mentioned this even last time when we put up this number. A lot of the work on the new modalities are not commercial from our perspective; they are in clinical pipeline. So, when you work on clinical pipeline, you are going to have a campaign and then you're waiting for another campaign, and so there will always be that stream , and this is the primary reason why CDMO businesses have revenue streams. And so, it is primarily that and it's not about one -off this time or one -off last year.

The second question on AI, I think Krishna addressed, but I'll give you the thought process that we have with respect to AI . So, the way we are thinking about AI , we need to look at our productivity efficiency , and scienti

fic output that can be improved by using AI as technology that can aid and enable a scientist who thinks faster. That's the whole purpose of this AI definition.

There are a few tools that are available from the market, but we're also building things within our overall system. We are defining an AI canvas as we speak. This is to make sure that the teams can Sai Life Sciences Limited

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get as much assistance, automation, analytics, all pulled in one direction in one set of information that the chemist, the team leaders or the leadership team can actually use at any point in time to , kind of, look, analyse and present data.

We're also with respect to the partnerships that we have with some of the large pharma, we're also trying to integrate with their systems and their needs in terms of what data that we will transmit and send out. So that's the broad concept of the AI.

Sidharth Negandhi: Sure. Sir, you also mentioned about some AI capex . Is there any particular capex there , or did I mishear that?

Siva Chittor: So anything that we are building or tools that we are buying will be capex on that's the AI capex that I'm talking about.

Sidharth Negandhi: Got it . So intangible software and stuff , got it.

Siva Chittor: Yes.

Moderator: Thank you. Next question is from the line of Sanjay Kumar Elangovan from i thought PMS. Please go ahead.

Sanjay Kumar Elangovan: Hi. my first question on the capex . So the INR1,300 crores that we have earmarked for capex , but our cash flows will be somewhere around INR600 crores , INR700 crores. So , we'll have to take debt, right? So , how much debt are we planning to take to fund the capex and does this INR1,300 crore s capex , is it only for the 1,150 KL brownfield expansion , or is it also for the greenfield that we'll be starting in the new land that we have acquired?

Siva Chittor: For INR1,100 crore s to INR1,300 crores capex , I'm not going to give you the debt versus the cash flow number because that then means, I'm trying to give you a projection. Based on where we see this number ending for fiscal '27, our debt -to-EBITDA ratio will be fairly healthy, that's really what I believe.

And if I look at the capex spend itself, it will be for capacity also, including the 1,150 KL that we've talked about. As we mentioned, 225 KL of that 450 KL capex will only get done at the second half of this year. The other capex is going to be much longer duration, so most of the capex for the plants would actually happen in this year as opposed to last year, plus we're also adding capacity on the across development side, adding capacity in terms of fume cupboards , and analytical and chemistry equipment.

We're also increasing our discovery capability and biology capability both in terms of fume cupboards and equipment. So , this will all be there. There will be slightly smaller capex on the new site, that new site will probably start towards late this fiscal year and early next year is how I see that capex starting to grow.

Sanjay Kumar Elangovan: Okay. And second question, we've added four commercial molecules compared to the last quarter and five in the Phase III pre-registration phase. Can you highlight some of the high potential ones and the corresponding therapy areas? Do any of them involve new modalities?

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Krishna Kanumuri: So, I think therapy areas are broad, so there are multiple things . When I say high potential, at least in my belief, there are at least three molecules that would show a good progress in this current financial year. We have started manufacturing and delivering or starting to deliver revenue in fiscal '27 on at least three of the molecules that we've currently added into that pipeline.

Of the four molecules, I will say three will have a pretty decent revenue growth in trajectory. The fourth one in our op

inion will be a smaller one, but it was a fairly important capability to acquire and hence we've done this.

Sanjay Kumar Elangovan: Okay . Just a follow -up then. I think Krishna sir had indicated in a media interview that you might even look at acquiring new modalities or acquiring small pharma companies for the tech and for the new modalities. Anything that we're looking at?

Krishna Kanumuri: We are open to options all the time, we evaluate deals as and when they get presented from, the bankers. At this time , we don't have an announcement to make, but as I said earlier, we continue to evaluate multiple deals all the time.

Moderator: Thank you. Next question is from the line of Vileh Rai from KamayaKya Wealth Mangment . Please go ahead.

Vileh Rai: Hi, congratulations sir on great set of numbers. Sir, just one clarity on the capex side. You said 25% of capex is in capability. So , is it predominantly for our new modalities , and which is the key area that we are going to focus on?

Siva Chittor: It's not necessarily new modalities. This could be newer technique even for small molecule. For example, high -throughput experimentation is fairly new in terms of how things work, or a complete automation on a DMPK biology , which end -to-end gives you a different ability to do precision biology , and handle molecules at scale or volumes at scale. Those are the things. So , it is capabilities in both sides, both small molecule and some new modalities.

Vileh Rai: Sir, but this could also include the capex for ADCs and peptides?

Siva Chittor: If you go back to our conference calls in the last year, I think we had stated that the we are adding development capability on the peptide side, we probably will also add pilot scale . This is coming up this year. So , we started the capex last year, so peptides is definitely included in the capex that we're talking about this year. We're adding some capability on the ADC side, but that's more on the discovery side. We have some thoughts and we are working on the ADC on the development side, we will come back to you as soon as we are able to make a public announcement on that.

Vileh Rai: Okay. And just one last question. Even in the CRO business, we are seeing that pharma is constantly at a higher share of revenue compared to biotech companies. So , do you see this increasing in the coming years and how has been the pipeline , or how has been the development from a biotech companies?

Krishna Kanumuri : I think , we already answered early part of the call, right? It's just where the market dynamics are right now. I think biotech will always be a significant part of discovery. Long -term, I think the 50 /50 ratio will hold. Short -term there might be a imbalance in terms of pharma, maybe the next couple of years,

but long -term biotech still in the development engine for large pharma.

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So, we do expect that balance to maintain at 50 /50-ish long -term on the pharma versus biotech. It's just that the short -term you will see pharma probably drive the growth, longer term biotech will come back, but overall the pie should get larger in next couple of years. I hope that answers your question.

Moderator: Thank you. Next question is from the line of Viraj Shah from PGIM. Please go ahead.

Viraj Shah: Hi, thank you for the opportunity. I just have one question. In your presentation, you have mentioned 15% to 20% revenue CAGR on a current revenue run rate of INR2,200 crores with expected capex of INR1,100 crores. So , fair to assume the asset turn would remain in the similar historical range as it was?

Siva Chittor: So, I would see a little bit of a dip before it comes back , because we are doubling down on our capex , that's really what we have stated. So , what we had committed and we continue to commit this is that our asset turn on a net basis, will be 1.2

times to 1.4 times , but that's a medium -term commitment.

We would see some fluctuations, but we continue to remain committed to our steady -state 1.2 times to 1.4 times .

Krishna Kanumuri: Look, and I think the important aspect to understand is that no matter what capex you put in, it's going to take a two , three year cycle to get back to that scale. It's not like you put , it's going to be day one that revenue, so I think as such , we expect that as a long -term trend to maintain whatever we forecast, but obviously there'll be a two , three -year ramp -up period to get to there for any capex you put in.

Moderator: Thank you. Next question is from the line of Akshay from AK Investment. Please go ahead.

Akshay: Hi, sir. Thanks for the opportunity. Sir, my first question is generally the quarter four should be the strongest for our kind of business, right? So , in this quarter we have seen year -on-year growth of only let's say about 4%. So can you put some light on that ? And then I will ask my follow -up question.

Siva Chittor: Yeah. Akshay, I think , I answered that question in my opening remarks. What I was mentioning to you was if you look at our fiscal '25 and this has been the general trend even for Sai, we had a 40% in the first six months , and a 60% revenue split in the second six months in fiscal '25, while in fiscal '26, even though we delivered close to a 30% growth, our revenues actually fell almost even. So , we were like 48 /52.

So, it's not about and as we've always told you this business cannot be ascertained on a quarter -to-quarter basis. So difficult to say when a PO becomes due and when the PO gets delivered because this is not a business where you produce in anticipation, you produce only based on what the customer wants. So , it just depends on how the PO is.

Akshay: Okay , sir. And my second question is despite the heavy capex of anticipation of around INR1,100 crores to INR1,300 crore s, so are we confident of maintaining 28% to 30% margin in this financial year and going forward?

Siva Chittor: So, Akshay, again, we've said this last year, we continue to state this this year. So , 28% to 30% is our steady -state aspiration, that's really what we committed and we actually committed we'll get there in two to three years' time frame , and we've gotten to 30% last year based on how we look at EBITDA, and I believe that we will continue to aim for that same number.

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Moderator: Thank you. Next question is from the line of Avikshit Vij ay from Global Consilient Research . Please go ahead.

Avikshit Vijay: Yeah . Hi, thank you for the opportunity. I had a couple of questions. So first one is we had set aside amount of INR1,100 crores to INR1,300 crore s as capex . So when do we expect it to come live?

Siva Chittor: A typical plant takes somewhere around 18 months or so to complete construction. So , depending on what project , so for example, we've started the 700 KL to 1,150 KL capacity expansion sometime during middle of last year , we're expecting 225 KL to come this year and 225 KL next year.

So, similarly we had put up a capacity to double our process R&D capacity last year, so it will take anything will take around 12 months to 15 months' timeframe in terms of capacity , and capex will be incurred in part in one year and maybe the remainder will come in the second year. And these are all brownfield expansions within sites that are already developed. If it's greenfield sites, it's probably going to take you 24 months to 30 months.

Avikshit Vijay: Okay, yeah. That answers my question. And the second one is, is there a possibility that we could name some of our molecules and the end clientele?

Siva Chittor: We will not be able to do that due to confidentiality restriction.

Avikshit Vijay: Not even the clients if possible?

Krishna Kanumuri: Client is de

finitely not possible.

Moderator: Thank you. Next question is from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

Alankar Garude: Hi, thank you for the opportunity. Sir, first question, apart from the four commercial molecules that you added in FY26, you also now have 11 Phase III or pre-registration molecules. Now, this number as of third quarter FY26 was around six. Now assuming there have not been any drop-offs or further additions, it seems that you've added about five incremental opportunities in Phase III or pre-registration. Can you elaborate, on which modalities would these be in, any technologies that you'd like to call out?

Siva Chittor: Most of these, Alankar, we've identified one that is already there on the new modality, which we said is currently undergoing validation. There is probably one more on new modality, but the rest of them are all small molecule. And some of it is coming from I think what Krishna was talking about. This whole integrated CDMO play that pharma wants to consolidate as they look at long-term outsourcing partners in India. So, customers who were probably not doing a lot of late-phase in India are looking to do some of those, which is also a result of some of these additions.

Alankar Garude: Got it. And out of these 11 molecules, sir, do you expect any to commercialize in FY28?

Siva Chittor: Alankar, right now too difficult, some of them have just moved, very difficult for us to predict, but as soon as we hear something we'll definitely come back and provide the information.

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Alankar Garude: Fair enough, sir. The second question is what is your view on the impact of AI on drug discovery?

You spoke about the investments, you spoke about the opportunities, but specifically on drug discovery, do you see that as a threat or an opportunity?

Krishna Kanumuri: So, we see it as an opportunity. I don't see it as threat. Siva, go ahead if you.

Siva Chittor: No, go ahead, Krishna, you finish, and then I'll add.

Krishna Kanumuri: Look, I think it's a, opportunity. I think end of the day the synthesis part does not change, and the AI moieties are much more complex to make than regular synthesis. Yes, you might make fewer molecules, but the resources needed to make the molecule are more than the past, and plus AI itself helps us be more efficient in terms of route design and better options.

So, I think net-net, I think my view of AI is going to be that you probably won't drop the R&D dollars, you probably will do more with less to have more targets. And I think everybody we've talked to so far has indicated that the design part is what is going to be affected the most, not the synthesis part. Synthesis part is going to be an important aspect of it. And I think AI for us is a net positive because the complexity of the molecules are higher, and we don't see R&D dollars dropping in terms of what they want to do on the AI front.

Moderator: Thank you. Next question is from the line of Bharat C Shah from BCS Capital Ideas Limited. Please go ahead.

Bharat C Shah: Hi. This has come right at the fag-end, I have another call to catch up in two minutes, so I'll be just brief. But I was intrigued by Krishna's statement about AI in terms of aiding the digital capability. I thought in specifically for pharma, AI probably would be a very potent research resource. I'm from a non-science background, but whatever I understand, pharma drug discovery is much more of serendipity, some hard work and some amount of luck, trying out zillions of molecules. And AI along with quantum computing can tremendously accelerate that process and make the drug discovery process smoother and much, much faster and far more efficient. So, I was bit intrigued by AI merely as a digital capability rather than the fundamental core capability of

the CDMO-CRO organization?

Siva Chittor: There are two things. From our perspective, what we presented to you is what we can do without impacting confidentiality and IP of our customers. That is what we can do within AI. But if you look at AI on the drug discovery side, I think if you really look at AI today has been great at generating molecules. It gives you novel binding targets and things like that. But that's probably the least expensive part of drug discovery. If you really look at programs actually succeed or fail, and the bottlenecks is actually when they move from pre-clinical to clinical. There are many things that today success of these program actually hinge on judgment calls.

AI will get you efficiency, gains in enrolment and all that stuff, but there is so many things that the model today is not yet trained. I'm not saying five years, 10 years down the road how they will behave, but today it is attacking the probably the lower cost piece of the AI and the lower complexity part of AI. There is definitely software is giving you great output, workflow optimization, etcetera, but I think the whole development side or synthesizing a molecule that is, kind of, super complex, because AI has created things without a constraint is creating more work on that side. That's really what we're talking about.

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Krishna Kanumuri: Yeah. And I just want to add a little bit to that. I think we're not saying about digitalization, okay, AI you're talking about quantum computing, yes, in terms of discovering what molecule to develop, right? But now you're synthesizing a molecule, scaling up the molecule. AI will help you design the

molecule ; synthesis route itself is better, it'll give you a better translation from lab to plant. So, there's a lot more AI, which goes beyond digital. AI is inbuilt into everything, you have become an AI-native company. But what I say digital is getting to be enabled to handle AI is as in -- unless you get to the platform, you won't be able to apply tools across the board. And AI is just not related to just discovery of new molecules; it's a question of increasing efficiency of scaling up every molecule as they go commercial and reducing that timeline.

So, I hope that is clear. We're not talking digitalization here. We already are a complete digital company ahead of the curve. We're talking about how to take that data and increase your accuracy and speed in terms of scaling it up and what's the correlation between lab data to plant data and so forth. I hope that gives you a little more clarity as we're talking about this.

Moderator: Thank you. Next question is from 8 the line of Gourav Bhama from JM Financial. Please go ahead.

Gourav Bhama: Yeah. Sir, thank you for the opportunity. First, I would like to begin with congratulating the company on the good set of annual numbers. I had a question regarding the CRO business. It's more of a bookkeeping kind of question. So, I just wanted to understand how many scientists do we have in the discovery or the CRO business, and what was the similar number in FY25?

Siva Chittor: We don't provide Discovery CMC scientist, we have scientists across discovery and CMC. I think, we've provided this number as part of our annual disclosure and you will see that number.

Gourav Bhama: Understood. And on the second question, I think you did answer it a bit earlier, but nonetheless, I'll confirm again. So, the INR1,100 crores to INR1,300 crore capex outlay, large part of it is going towards the 1,150 KL expansion plan, right? The 75% of this FY27 guidance?

Siva Chittor: It's not necessarily the 700 KL to 1,150 KL only. There are also capex that for discovery, R&D capability, fume cupboards, all of that stuff included.

Moderator: Ladies and gentlemen, we will take this as a last question for the day. I now hand the conference over

to the management for the closing comments.

Siva Chittor: Thank you for the call. As we mentioned, as we enter fiscal '27, we believe the trend in terms of

outsourcing with respect to the CRDM O remains very robust and we believe we are positioned well to capitalize on this growth.

Krishna, do you want to add something for closing comments?

Krishna Kanumuri: It's very exciting time, for India in general and for Sai as well. This multi-year trend and nothing has changed dramatically. India is set to become a strategic player in terms of the global supply chain over the next five years. So, I think the trend is good, and we're well set to benefit from this opportunity at this point.

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Moderator: Thank you, sir. On behalf of Sai Life Sciences Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

(This transcript has been edited, without altering the content, to ensure clarity and improve readability.)